

**Iowa City Community School District
Iowa City, Iowa**

Comprehensive Annual Financial Report
Year Ended June 30, 2018

Iowa City Community School District Iowa City, Iowa

Comprehensive Annual Financial Report
Year Ended June 30, 2018

**Official Issuing Report:
Craig Hansel
Chief Financial Officer**

**Office Issuing Report:
Education Services Center**

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Iowa City Community School District

Educational Services Center

Stephen F. Murley Superintendent of Schools

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November 9, 2018

The Board of Education and Residents
Iowa City Community School District

I am pleased to submit the Comprehensive Annual Financial Report of the Iowa City Community School District (the District) for the fiscal year ended June 30, 2018. The report has been prepared to conform to guidelines recommended by the Association of School Business Officials International and the Government Finance Officers Association of the United States and Canada. The responsibility for the accuracy and completeness of the presentation, including all disclosures, rests with the officials of the District's Central Administration staff. We believe that the data is accurately presented, in all material respects; that the data is presented to fairly set forth the financial position and results of operations of the District as measured by the financial activity of the various funds; and that all necessary disclosures have been included in order to enable the reader to gain the maximum understanding of the District's financial affairs.

RSM US LLP, Certified Public Accountants, have issued an unmodified ("clean") opinion on the District's basic financial statements for the fiscal year ended June 30, 2018. The independent auditor's report is located at the front of the financial section of this report.

The Comprehensive Annual Financial Report is presented in four sections: introductory, financial, statistical and single audit compliance. The introductory section includes this transmittal letter, the District's organizational chart and a list of principal District officials. The financial section includes the independent auditor's report, the Management's Discussion and Analysis, the basic financial statements, and the combining and individual fund financial statements and schedules. The statistical section includes selected financial and demographic information, generally presented on a multi-year basis.

Management's discussion and analysis (MD&A) immediately follows the independent auditor's report and provides a narrative introduction, overview and analysis of the basic financial statements. The MD&A complements this letter of transmittal and should be read in conjunction with it.

The District was required to undergo a single audit in conformity with the provisions of the Single Audit Act Amendments of 1996 and U. S. Office of Management and Budget Circular A-133, *Audits of States and Local Governments and Nonprofit Organizations*. Information related to this single audit, including a schedule of expenditures of federal awards, summary schedule of prior audit findings, the independent auditor's report on internal control over financial reporting and on compliance and other matters, independent auditor's report on compliance with requirements applicable to each major program and internal control over compliance, a schedule of findings and questioned costs and corrective action plan are included in the single audit compliance section of this report.

This report includes all funds of the Iowa City Community School District. The District provides a full range of programs and services including instructional, administrative, transportation, food service, maintenance of sites and facilities, custodial, clerical, extra co-curricular and athletic activities, and community education.

Profile of the Government

In Iowa, school districts operate in accordance with Dillon's Rule with local control and have fiscal independence from other governmental entities. The District operates in compliance with the accounting principles generally accepted in the United States of America (GAAP) and currently prepares its financial statements per the Governmental Accounting Standards Board (GASB) Statement No. 34.

The Iowa City Community School District is a political subdivision of the state of Iowa and operates public schools for children in grades pre-school through twelve. The District is governed by a seven member Board of Education whose members serve four year terms and are elected on a nonpartisan basis. The Board of Directors is a policy-making and planning body whose decisions are carried out by school administrators.

The Iowa City Community School District serves nearly 115,000 people who live in Iowa City, Coralville, University Heights, Hills and North Liberty and the surrounding predominately agricultural territory in central Johnson County. Covering nearly 133 square miles, the District has developed around the City of Iowa City and The University of Iowa. The District has experienced consistent growth over the last 20 years, growing from 10,444 in 1997 to 14,286 in October 2018. The District is currently the fifth largest public school in the state of Iowa.

The District operates three comprehensive high schools, an alternative high school, three junior high schools, 20 elementary schools and center for offsite programs. The District also maintains a maintenance/warehouse facility, three athletic complexes and an administrative office/professional development center. The Iowa City Community School District provides a comprehensive educational program appropriate to students in early childhood and grades pre-school through twelve. These services include basic, regular and enriched academic education, special education, vocational education and numerous individualized programs such as instruction for students at-risk, gifted and talented or limited English proficiency (LEP).

Relevant financial policies

The Iowa City Community School District operates under the laws as defined in the Code of Iowa and policies as determined by the local Board of Directors. A comprehensive accounting system is promulgated by the Iowa Department of Education including account numbers for revenues and expenditures by function and object. The District additionally tracks revenues by source of funds and expenditures by location, curricular program and funding source. Annual budgets are provided to the Department of Management and annual financial reports are provided to the Iowa Department of Education in their prescribed formats. Periodic financial reports are submitted to the Iowa Department of Education or other granting agencies for many federal and state grants.

The Iowa City Community School District's Board of Education takes its fiduciary responsibility very seriously. It has adopted policies defining a budgeting process, quarterly financial reporting, purchasing, facilities planning, insurance and cash management. Idle cash is invested in Board approved allowable investments which include certificates of deposit, money markets and pooled investment trusts. A quarterly investment report is provided indicating performance of investments to a comparative benchmark.

Economic Condition and Outlook

The District is located in the eastern part of the state, within the larger Iowa City metropolitan area and ranks as one of the top growth areas of the state. The economic condition and outlook of the District has remained strong during the past ten years despite some economic downturns experienced in many areas, including several years of high economic growth and steady enrollment growth in the local area. This growth has had a positive effect on employment and the District's tax base. The District has experienced steady increases in its tax base over the past 25 years and continued with an increase during 2018 of more than five percent.

Major employers within the District include The University of Iowa and The University of Iowa Hospitals and Clinics, American College Testing and Pearson Educational Measurement as well as two other hospitals. These employers provide a strong employment base in the education and health care industries. The unemployment rate of the Iowa City area is consistently one of the lowest in the state of Iowa and well below national averages even during periods of recessionary trends. In addition, the Iowa City area is served by two nearby regional airports and two major interstate highways. The economic development organizations of Johnson County have teamed with similar organizations in Linn County to the north to develop a "technology corridor" which combines the strong health care and education industries of Johnson County with numerous manufacturing and financial service organizations in Linn County for a wide range of economic and employment opportunities. Iowa City is also consistently promoted in major business publications as one of the best places in the United States for business, schools and quality of life. These recognitions include a #3 ranking for best place to live in America by Outside Magazine in August 2016, #2 ranked "Least Stressed City in U.S." by Smartasset.com in June 2016, #5 for "Best College Town in America" by Business Insider in January 2017, #5 "Healthiest City in America" by 24/7 Wall Street in 2016, #4 on the "Best Places to Live" by Liveability.com in 2018 and #1 state in the Country by USNews in 2018. The area has also been recognized for its quality as a best college town, city for college grads and workforce quality by various sources. Iowa City was also designated by UNESCO as the world's third City of Literature in 2008, the only designation in North or South America and is home to the International Writing Program. In April 2018, MSN Money named Iowa City Community School District the #1 school district in the state using an index that measures child poverty, per-pupil expenditure, graduation rate, teachers per student, percentage of adults with a bachelor's degree, preschool enrollment and advanced placement enrollment.

The tax base for the area is estimated to continue to grow in the three percent range. The District has experienced an enrollment growth of nearly 2,200 students over the last seven years. Future projections indicate a continued trend for enrollment increases, however, a slower annual rate is expected over the next five years. The District has experienced an increase in its October 2018 official enrollment of 88 students.

Retail sales, building permits and population increases in the area continue to exceed that of most other areas in the state of Iowa during the past several years. Future increases are projected to continue, however economic conditions on the national and state levels in the area will impact local growth levels. A large percentage of the past area increases have occurred within the School District boundaries.

The District's budget is largely dependent on the Iowa school funding formula and various economic factors. For the years 2001-2011, the state of Iowa experienced economic conditions that hampered its ability to fund schools at annual levels of approximately four percent as in prior years. This period included an across the board reduction of \$5,600,000 from the Governor's executive order which the District used its General Fund balance to absorb the reduction. The District also implemented a cash reserve levy for fiscal year 2011 to partially replenish the fund balance and the District maintained significantly all of its programs and services during these conditions. During the last seven years, the state legislature has provided annual growth from zero to four percent. The impact on future periods is unknown as funding is determined on an annual basis by the Iowa Legislature.

The District serves the nearly 14,300 students in buildings built from 1917 to 2018. The District has maintained a building envelope and roof maintenance program for many years to monitor the physical considerations of its facilities. District officials have also developed a 10 year facility master plan for planning the maintenance and capital project needs of the district, including life cycle programs for major maintenance and equipment needs, remodeling and renovation of existing facilities and the construction of new facilities throughout the District.

The District has completed numerous construction projects during the last ten years. A large fine arts addition at Iowa City West High School was completed in January 2008 and a new gymnasium and classroom addition at South East Junior High was completed and placed in service in October 2008. The District opened Buford Garner Elementary for classes in August 2010. The District completed a major addition on Horn Elementary that was opened in August 2011 and Norman Borlaug Elementary School was opened for classes in August 2012. The District has also completed construction of a fine arts addition at City High School that opened in August 2013. The District opened Alexander Elementary School in August 2015 and completed major additions on three elementary schools and an eight classroom addition at City High School during 2015-2016. Liberty High School, a third comprehensive high school in North Liberty, Iowa was opened for in August 2017 with a total cost of nearly \$57 million. Athletic complexes and additional classroom space will be constructed in future years to accommodate student growth and will be funded from general obligation bonds as approved by district voters in September 2017. The District also completed construction of a new elementary school in August 2017 that will be used for two years to serve students from three elementary schools during the historical renovations of those facilities. Construction of

a new elementary school in North Liberty and major additions and renovations have started on two junior high schools as well as City High School and West High School.

During 2006, the U.S. Green Building Council awarded the District a silver certificate for Leadership in Energy and Environmental Design (LEED) in connection with the construction of James Van Allen Elementary School. In 2013, the district received an Excellence in Energy Efficient Design award for the efforts in reducing energy use for Norman Borlaug Elementary School. The District has also received energy efficiency awards for the recent renovations of Twain, Weber and Penn Elementary School and construction of Alexander Elementary School, Hoover (east) Elementary School and Liberty High School.

The District owns parcels of land of 18 and 42 acres in the northern portion of the District for the future construction of school facilities. During the year ending June 30, 2014, the District purchased land for Alexander Elementary School that opened in August 2015 and Hoover (east) Elementary School that opened in August 2017 and Liberty High School completed in August 2017. The District also purchased the land and building utilized by the District's transportation provider. In July 2016, the District purchased a parcel of land containing approximately 18 acres near North Liberty for the construction of Grant Elementary School expected to open in August 2019. The District has also purchased two units previously leased for one its special education programs.

In February 2007, the residents of Johnson County approved a resolution and Revenue Purpose Statement for a 1 percent local option sales tax for a period of 10 years that began on July 1, 2007. The sales tax resulted in revenues of approximately \$13-14 million annually for the first five years, \$10 million annually for several years, but have returned to approximately \$13 million due to growth in the state's economy. In February 2013, district voters approved the extension of the sales tax Revenue Purpose Statement through June 30, 2029. The District is using these sales tax revenues to fund various projects in the facility master plan as allowed in the Code of Iowa and the approved Revenue Purpose Statement.

The high schools provide a full selection of opportunities in their music departments. Each year, the District has a high number of all-state musicians in addition to consistently earning Division I ratings at state contests. Each of the high schools has earned at least one Grammy Award for their music department in recent years.

The three comprehensive high schools offer athletic programs in 19 different sports. State championship honors have been earned in boys' soccer, tennis, swimming and basketball while state placing went to boys' and girls cross country, football, track, volleyball and girls' tennis and basketball during the last four years. The District's three junior high schools also offer athletic programs in 10 different sports.

The high schools also support strong programs in math, debate and journalism that regularly receive state, regional and national recognition.

Students of the District continue to achieve high rankings on college entrance exams and are recognized as National Merit Scholars. The composite averages on these exams are consistently in the top 5 percent of the state and significantly exceed the national averages. These students achieved a graduation rate over 90 percent in 2017 with over 85 percent planning to continue their education at colleges and universities.

Other Financial Information

Management of the District is responsible for establishing and maintaining an internal control designed to ensure that its assets are protected from loss, theft or misuse and to ensure that adequate accounting data are compiled to allow for the preparation of the basic financial statements in accordance with accounting principles generally accepted in the United States of America. The internal control is designed to provide reasonable, but not absolute, assurances that these objectives are met. The concept of reasonable assurance recognizes that the cost of a control should not exceed the benefits likely to be derived and the valuation of costs and benefits requires estimates and judgments by management.

Single Audit. As a recipient of federal, state and county financial assistance, the District also is responsible for ensuring that an adequate internal control is in place to ensure compliance with applicable laws and regulations related to those programs. This internal control is subject to periodic evaluation by management and external auditors.

As a part of the District's single audit, described earlier, tests are made to determine the adequacy of the internal control over financial reporting and its compliance with applicable laws and regulations, including those related to major federal awards programs. The results of the District's single audit for the fiscal year ended June 30, 2018 provided no violations of applicable laws and regulations.

Budgetary Controls. In addition, the District maintains budgetary controls. The objective of these budgetary controls is to ensure compliance with legal provisions embodied in the annual appropriated budget approved by the Board of Education. Activities of the General Fund, special revenue funds, Debt Service Fund, enterprise funds and Capital Projects Fund are included in the annual appropriated budget by program. Project length financial plans are adopted for the capital projects funds and budgeted accordingly on an annual basis. The level of statutory budgetary control (that is, the level at which expenditures cannot legally exceed the appropriated amount) is established at the function level for all funds combined rather than at the individual fund level.

Basis of Presentation. The charts and accounts used by the District have been prepared in conformity with accounting principles generally accepted in the United States of America as prescribed by the Governmental Accounting Standards Board and Audits of State and Local Governmental Units issued by the American Institute of Certified Public Accountants. In addition, the District's accounting records conform to the Uniform Accounting System for Iowa Schools, Chapter 11 of the Code of Iowa and Area Educational Agencies issued by the Department of Education, state of Iowa. The chart of accounts manual is updated annually and the District is in full compliance with these requirements.

Cash Management. Cash, while temporarily idle during the year, was invested in money market deposit accounts and other short term investments as allowed by law. Interest rates have started to rise over previous year rates and the district was able to increase its interest revenue compared to amounts received in previous years. This aspect of the District's finances has gained importance in recent years as the District has sought to maximize the yield on our investments in accordance with the Board approved investment policy without forfeiting the use of fund balances.

Risk Management. The District utilizes a single medical care facility and dedicated physician program for its workers compensation program to lower the claim expense and experience modification factor as it relates to workers' compensation. A safety committee has been operational for several years and meets periodically to review the District's facilities and programs. The District manages a self-funded health insurance plan for its employee medical and prescription program. The health plan is funded at the maximum expected claim levels and coverage for individual and aggregate stop loss coverage is purchased by the plan. The District is also managing the health plan in accordance with the provisions of the Patient Protection and Affordable Care Act.

Awards and Acknowledgments

Independent Audit. The accounting firm of RSM US LLP was selected to perform the annual audit in accordance with Chapter 11 of the Code of Iowa. In addition to meeting the requirements set forth in state statutes, the audit was designed to meet the requirements of the federal Single Audit Act Amendments of 1996 and related Uniform Guidance. The auditor's report on the basic financial statements, combining and individual fund statements and other schedules is included in the financial section of this report.

Awards. The Government Finance Officers Association of the United States and Canada (GFOA) awards a Certificate of Achievement in Financial Reporting and the Association of School Business Officials International, (ASBO) awards a Certificate of Excellence in Financial Reporting. The Iowa City Community School District received both of these Certificates for its comprehensive annual financial report for the fiscal year ended June 30, 2017. Each Certificate is a prestigious national award, recognizing conformance with the highest standards for preparation of government financial reports.

In order to be eligible to receive the Certificates, a governmental unit must publish an easily readable and efficiently organized Comprehensive Annual Financial Report (CAFR) whose contents conform to program standards. This report must satisfy both accounting principles generally accepted in the United States of America and applicable legal requirements.

These Certificates are valid for a period of one year only. The Iowa City Community School District has received these awards for the twelve previous fiscal years Comprehensive Annual Financial Report. I believe that our current CAFR conforms to the requirements for both awards and, therefore, we are submitting to the GFOA and ASBO to determine its eligibility for each Certificate. The Iowa City Community School District had not applied for the Certificates in any years prior to 2006.

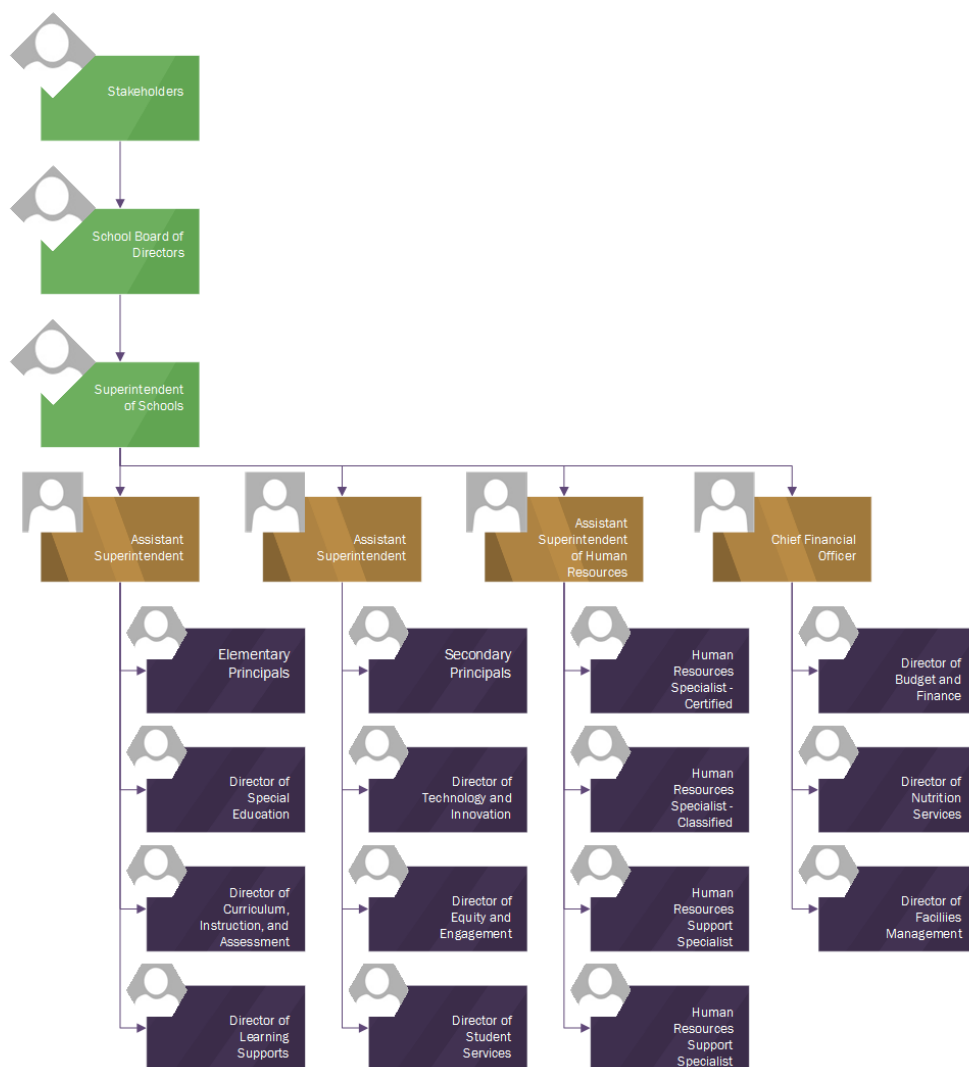
Acknowledgment: The preparation of this report on a timely basis could not have been accomplished without the efficient and dedicated efforts of the accounting staff and our auditors, RSM US LLP. I would like to express my appreciation to all staff members who assisted and contributed to this report as well as members of city and county governments. Also, appreciation is expressed for the interest and support of the Board of Education in conducting the financial operations of the District in a most responsible and progressive manner.

Respectfully submitted,

A handwritten signature in cursive script, reading "Leslie J. Finger". The signature is written in dark ink and is positioned above the printed name and title.

Leslie J. Finger
Director of Budget and Finance, Treasurer

Iowa City Community School District Organizational Chart



Iowa City Community School District

**Board of Education and School District Officials
Year Ended June 30, 2018**

Board of Education

For the Period July 1, 2017 to September 12, 2017:

Name	Title	Term Expires
Chris Lynch	President	September 2017
Brian Kirschling	Vice President	September 2017
LaTasha DeLoach	Board Member	September 2019
Phil Hemingway	Board Member	September 2019
Chris Liebig	Board Member	September 2017
Lori Roetlin	Board Member	September 2019
Paul Roesler	Board Member	September 2019

For the Period September 12, 2017 to June 30, 2018:

Name	Title	Term Expires
Janet Godwin	President	September 2021
Lori Roetlin	Vice President	September 2019
J.P. Claussen	Board Member	September 2021
Shawn Eyestone	Board Member	September 2019
Phil Hemingway	Board Member	September 2019
Ruthina Malone	Board Member	September 2021
Paul Roesler	Board Member	September 2019

School District Officials

Stephen Murley	Superintendent	
Craig Hansel	Secretary	Appointed
Leslie J. Finger	Treasurer	Appointed
Joe Holland	Attorney	Appointed



ASSOCIATION OF
SCHOOL BUSINESS OFFICIALS
INTERNATIONAL

**The Certificate of Excellence in Financial Reporting
is presented to**

Iowa City Community School District

**for its Comprehensive Annual Financial Report (CAFR)
for the Fiscal Year Ended June 30, 2017.**

The CAFR has been reviewed and met or exceeded
ASBO International's Certificate of Excellence standards.



A handwritten signature in black ink, reading 'Charles E. Peterson, Jr.'.

Charles E. Peterson, Jr., SFO, RSBA, MBA
President

A handwritten signature in black ink, reading 'John D. Musso'.

John D. Musso, CAE
Executive Director



Government Finance Officers Association

**Certificate of
Achievement
for Excellence
in Financial
Reporting**

Presented to

**Iowa City Community School District
Iowa**

For its Comprehensive Annual
Financial Report
for the Fiscal Year Ended

June 30, 2017

Christopher P. Morrell

Executive Director/CEO

Independent Auditor's Report

To the Board of Education
Iowa City Community School District

Report on the Financial Statements

We have audited the accompanying financial statements of the governmental activities, business-type activities, each major fund and the aggregate remaining fund information of the Iowa City Community School District (the District) as of and for the year ended June 30, 2018, and the related notes to the financial statements, which collectively comprise the District's basic financial statements as listed in the table of contents.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express opinions on these financial statements based on our audit. We conducted our audit in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Opinions

In our opinion, the financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of the District as of June 30, 2018, and the respective changes in financial position and, where applicable, cash flows thereof for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Emphasis of Matter

As explained in Note 15 to the financial statements, the District adopted GASB Statement No. 75, *Accounting and Financial Reporting for Postemployment Benefits Other than Pensions*, which restated beginning net position and other postemployment benefits liability of the governmental activities. Our opinion is not modified with respect to this matter.

Other Matters***Required Supplementary Information***

Accounting principles generally accepted in the United States of America require that the Management's Discussion and Analysis, the schedule of the District's proportionate share of the net pension liability and schedule of District contributions for the Iowa Public Employees' Retirement System, the schedule of changes in the District's total other postemployment benefit plan liability and budgetary comparison information, as listed in the table of contents, be presented to supplement the basic financial statements. Such information, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Other Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the District's basic financial statements. The accompanying combining nonmajor governmental fund financial statements, statement of changes in fiduciary assets and liabilities—agency funds and the accompanying schedule of expenditures of federal awards, as required by Title 2 U.S. Code of Federal Regulations (CFR) Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance) are presented for purposes of additional analysis and are not a required part of the basic financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the basic financial statements. Such information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the information is fairly stated, in all material respects, in relation to the basic financial statements as a whole.

The accompanying introductory and statistical sections are presented for purposes of additional analysis and are not a required part of the basic financial statements. Such information has not been subjected to the auditing procedures applied in the audits of the basic financial statements, and accordingly, we do not express an opinion on or provide any assurance on them.

Other Reporting Required by Government Auditing Standards

In accordance with *Government Auditing Standards*, we have also issued our report dated November 9, 2018 on our consideration of the District's internal control over financial reporting and our tests of its compliance with certain provisions of laws, regulations, contracts and grant agreements and other matters. The purpose of that report is solely to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the District's internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the District's internal control over financial reporting and compliance.

RSM US LLP

Davenport, Iowa
November 9, 2018

Iowa City Community School District

Management's Discussion and Analysis For Fiscal Year Ended June 30, 2018

Iowa City Community School District provides this Management's Discussion and Analysis of its financial statements. This narrative overview and analysis of the financial activities is for the fiscal year ended June 30, 2018. We encourage readers to consider this information in conjunction with the District's financial statements.

Financial Highlights

Total net position increased \$2,734,935 from \$194,932,639 as restated in 2017 to \$197,667,574 in 2018. Total revenues for the fiscal year 2018 increased \$8,596,818 from 2017. Total expenses increased from \$179,023,621 in 2017 to \$203,959,860 in 2017.

General Fund revenues increased from \$157,185,362 in fiscal year 2017 to \$162,894,810 in fiscal year 2018, while General Fund expenditures increased from \$153,610,608 in fiscal year 2017 to \$165,761,057 in fiscal year 2018. In addition, the District transferred \$200,000 to other funds during fiscal year 2018. This resulted in a decrease in the District's General Fund balance from \$23,833,105 in fiscal year 2017 to \$21,111,423 in fiscal year 2017.

The increase in General Fund revenues for fiscal year 2018 was attributable to an increase in property tax revenues and 1.11 percent supplemental state aid (formerly allowable growth) as provided in the state funding formula by the Iowa Legislature. The increased expenditures in the General Fund were due to increases to staffing for increased enrollment of over 650 students in the past two years and opening Liberty High School.

Overview of the Financial Statements

This report consists of three parts: management's discussion and analysis (this section), the basic financial statements and required supplementary information. The basic financial statements include two kinds of statements that present different views of the District.

- The first two statements are government-wide financial statements that provide both short-term and long-term information about the District's overall financial status.
- The remaining statements are fund financial statements that focus on individual parts of the District, reporting the District's operations in more detail than the government-wide statements.
 - ✓ The governmental fund statements explain how basic services, such as regular and special education, were financed in the short term as well as what remains for future spending.
 - ✓ The statements for proprietary funds offer short-term and long-term financial information about the activities the District operates like businesses, such as food services.
 - ✓ The statements for fiduciary funds provide information about the financial relationships in which the District acts solely as a trustee or agent for the benefit of others.

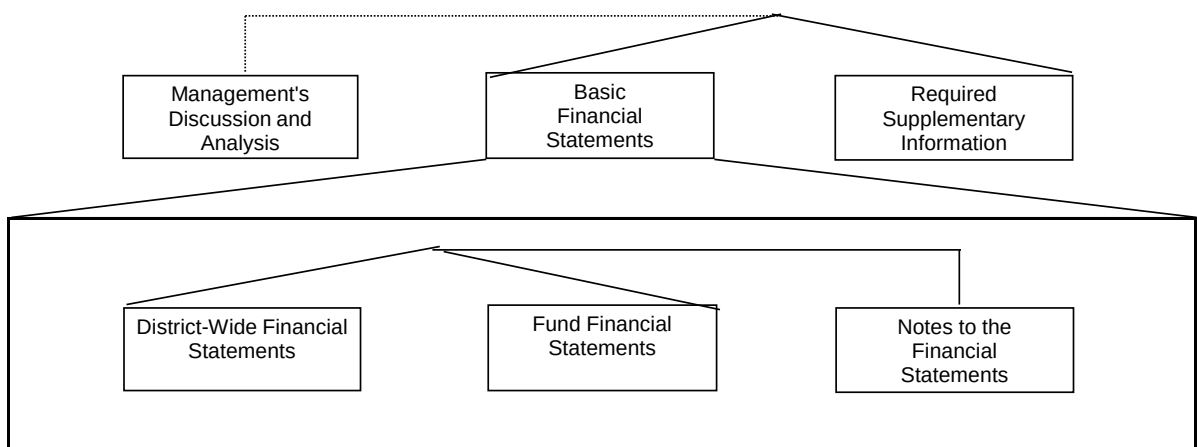
Iowa City Community School District

Management's Discussion and Analysis For Fiscal Year Ended June 30, 2018

The financial statements also include notes that explain some of the information in the statements and provide more detailed data. The statements are followed by a section of required supplementary information that further explains and supports the financial statements with a comparison of the District's budget for the year.

Figure A-1 shows how the various parts of this annual report are arranged and relate to one another.

Figure A-1
Iowa City Community School District Annual Financial Report



Iowa City Community School District

Management's Discussion and Analysis For Fiscal Year Ended June 30, 2018

Figure A-2 summarizes the major features of the District's financial statements, including the portion of the District's activities they cover and the types of information they contain. The remainder of this overview section of the management's discussion and analysis highlights the structure and contents of each of the statements.

Figure A-2 Major Features of the Government-Wide and Fund Financial Statements				
Government-Wide Statements		Fund Statements		
		Governmental Funds	Proprietary Funds	Fiduciary Funds
Scope	Entire District (except fiduciary funds)	The activities of the District that are not proprietary or fiduciary, such as special education and building maintenance	Activities the District operates similar to private businesses: food services and adult education	Instances in which the District administers resources on behalf of someone else, such as scholarship programs and student activities monies
Required financial statements	Statement of net position Statement of activities	Balance sheet Statement of revenues, expenditures and changes in fund balances	Statement of fund net position Statement of revenues, expenses and changes in net position Statement of cash flows	Statement of fiduciary net position Statement of changes in fiduciary net position
Accounting basis and measurement focus	Accrual accounting and economic resources focus	Modified accrual accounting and current financial resources focus	Accrual accounting and economic resources focus	Accrual accounting and economic resources focus
Type of asset/liability information	All assets and liabilities, both financial and capital, short-term and long-term	Generally assets expected to be used up and liabilities that come due during the year or soon thereafter; no capital assets or long-term liabilities included	All assets and liabilities, both financial and capital, and short- term and long- term	All assets and liabilities, both short- term and long-term; funds do not currently contain capital assets, although they can
Type of inflow/outflow information	All revenues and expenses during the year, regardless of when cash is received or paid	Revenues for which cash is received during or soon after the end of the year; expenditures when goods or services have been received and the related liability is due during the year or soon thereafter	All revenues and expenses during the year, regardless of when cash is received or paid	All additions and deductions during the year, regardless of when cash is received or paid

Iowa City Community School District

Management's Discussion and Analysis For Fiscal Year Ended June 30, 2018

Government-Wide Statements

The government-wide statements report information about the District as a whole using accounting methods similar to those used by private-sector companies. The statement of net position includes all of the District's assets, liabilities and deferred inflows/outflows of resources. All of the current year's revenues and expenses are accounted for in the statement of activities, regardless of when cash is received or paid.

The two government-wide statements report the District's net position and how they have changed. Net position – the difference between the District's assets and deferred outflows of resources and liabilities and deferred inflows of resources – are one way to measure the District's financial health or position. To assess the District's overall health, you need to consider additional nonfinancial factors, such as changes in the District's property tax base and the condition of school buildings and other facilities.

For the government-wide financial statements, the District's activities are divided into two categories:

- **Governmental activities:** Most of the District's basic services are included here, such as regular and special education, transportation and administration. Property tax and state aid finance most of these activities.
- **Business-type activities:** The District charges fees to help cover the costs of certain services it provides. The District's school nutrition program is included as a business-type activity.

Fund Financial Statements

The fund financial statements provide more detailed information about the District's funds, focusing on its most significant or "major" funds – not the District as a whole. Funds are accounting devices the District uses to keep track of specific sources of funding and spending on particular programs.

- Some funds are required by state law and by bond covenants.
- The District establishes other funds to control and manage money for particular purposes, such as accounting for student activity funds or to show that it is properly using certain revenues such as federal grants.

The District has three kinds of funds:

- **Governmental funds.** Most of the District's basic services are included in governmental funds, which generally focus on (1) how cash and other financial assets that can readily be converted to cash flow in and out and (2) the balances left at year-end that are available for spending. Consequently, the governmental fund statements provide a detailed short-term view that helps determine whether there are more or fewer financial resources that can be spent in the near future to finance the District's programs. Because this information does not encompass the additional long-term focus of the government-wide statements, additional information following the governmental fund statements explains the relationship or differences between the two statements.
 - ✓ The District's governmental funds include the General Fund, Physical Plant and Equipment Levy Fund, Management Fund, Student Activity Fund, Debt Service Fund and two Capital Projects Funds.
- **Proprietary funds.** Services for which the District charges a fee are generally reported in proprietary funds. Proprietary funds are reported in the same way as the government-wide statements.
 - ✓ The District's enterprise fund, one type of proprietary fund, is encompassed in the District's business-type activities, but provide more detail and additional information, such as cash flows. The District currently has one enterprise fund, the School Nutrition Fund.

Iowa City Community School District

Management's Discussion and Analysis For Fiscal Year Ended June 30, 2018

- ✓ Internal service funds, the other type of proprietary fund, are optional and available to report activities that provide supplies and services for other District programs and activities. The District currently uses an Internal Service Fund to account for its self-insured health insurance and dental insurance funds.
- Fiduciary funds. The District is the trustee, or fiduciary, for assets that belong to others. These funds include Private-Purpose Trust and Agency funds.
 - ✓ Private-Purpose Trust Fund – The District accounts for assets for scholarships for individual students in this fund according to the terms of the donor's request.
 - ✓ Agency Fund – These are funds for which the District administers and accounts for certain assets in a fiduciary capacity as an agent on behalf of others.

The District is responsible for ensuring that the assets reported in the fiduciary funds are used only for their intended purposes and by those to whom the assets belong. The District excludes these activities from the government-wide financial statements because it cannot use these assets to finance its operations.

Financial Analysis of the District as a Whole

Net position: Figure A-3 below provides a summary of the District's net position for the year ended June 30, 2018 compared to 2017:

Figure A-3
Condensed Statement of Net Position

	Governmental Activities		Business-Type Activities		Total School District		Total Change 2018-2017
	2018	2017	2018	2017	2018	2017	
	As Restated	Not Restated	As Restated	Not Restated	As Restated	Not Restated	
Current and other assets	\$ 230,068,610	\$ 163,851,553	\$ 3,228,431	\$ 2,869,452	\$ 233,297,041	\$ 166,721,005	\$ 66,576,036
Capital assets	339,407,593	300,399,985	543,571	513,229	339,951,164	300,913,214	39,037,950
Total assets	569,476,203	464,251,538	3,772,002	3,382,681	573,248,205	467,634,219	105,613,986
Deferred outflows of resources	28,574,364	25,504,841	888,435	500,433	29,462,799	26,005,274	3,457,525
Long-term obligations	249,101,277	165,243,064	1,748,090	1,612,907	250,849,367	166,855,971	83,993,396
Other liabilities	52,191,031	37,462,622	505,119	309,665	52,696,150	37,772,287	14,923,863
Total liabilities	301,292,308	202,705,686	2,253,209	1,922,572	303,545,517	204,628,258	98,917,259
Deferred inflows of resources	101,128,483	89,001,243	369,430	29,541	101,497,913	89,030,784	12,467,129
Net position:							
Net investment in capital assets	232,565,407	216,162,177	543,571	513,229	233,108,978	216,675,406	16,433,572
Restricted	3,457,317	14,880,016	-	-	3,457,317	14,880,016	(11,422,699)
Unrestricted	(40,392,948)	(32,992,743)	1,494,227	1,417,772	(38,898,721)	(31,574,971)	(7,323,750)
Total net position	\$ 195,629,776	\$ 198,049,450	\$ 2,037,798	\$ 1,931,001	\$ 197,667,574	\$ 199,980,451	\$ (2,312,877)

The District's total assets increased by 22.5 percent during the year ended June 30, 2018. The increase occurred primarily as a result of the investment in capital assets as detailed in Note 5. During the year ended June 30, 2018, the District completed construction on a new elementary school, a comprehensive third high school and major classroom additions for three elementary schools as part of the ten year facility master plan. The District also expended approximately \$2,750,000 for furniture, fixtures and equipment for the new facilities. In addition, the District completed approximately \$750,000 of safety and security upgrades and expended approximately \$600,000 of technology infrastructure upgrades.

Iowa City Community School District

Management's Discussion and Analysis For Fiscal Year Ended June 30, 2018

Deferred outflows of resources increased by \$3,457,525, primarily from amounts recorded for the IPERS defined benefit pension program as detailed in Note 7.

Long-term obligations and other liabilities increased by \$83,993,396 and \$14,923,863, respectively, compared to the prior year. During the year ending June 30, 2018, the District issued over \$89,000,000 of bonds to fund its ten-year facility master plan as detailed in Note 6 to the financial statements. Long-term obligations also increased by approximately \$12,700,000 for amounts recorded for postemployment related to the implementation of GASB 75 and changes in the net pension liabilities as detailed in Note 7.

The total net position of the District's business-type activities increased by \$106,797 over the prior year's balance. This increase is due primarily to increased revenues of the District's nutrition program and control of food and personnel costs.

Changes in net position – Figure A-4 shows the changes in net position for the years ended June 30, 2018 and 2017:

Figure A-4
Changes in Net Position

	Governmental Activities		Business-Type Activities		Total School District	
	2018	2017	2018	2017	2018	2017
	As Restated	Not Restated	As Restated	Not Restated	As Restated	Not Restated
Revenues:						
Program revenues:						
Charges for service and sales	\$ 2,157,635	\$ 1,964,586	\$ 2,659,506	\$ 2,626,442	\$ 4,817,141	\$ 4,591,028
Operating grants and contributions	26,877,570	25,806,402	3,912,283	3,722,874	30,789,853	29,529,276
Capital grants and contributions	904,490	191,741	-	-	904,490	191,741
General revenues:						
Property taxes	88,006,323	84,555,214	-	-	88,006,323	84,555,214
Sales tax	13,165,538	13,096,050	-	-	13,165,538	13,096,050
Unrestricted state grants	65,993,465	64,814,688	-	-	65,993,465	64,814,688
Unrestricted investment earnings	1,379,124	461,313	16,996	8,102	1,396,120	469,415
Other	1,621,865	850,565	-	-	1,621,865	850,565
Total revenues	200,106,010	191,740,559	6,588,785	6,357,418	206,694,795	198,097,977
Expenses:						
Governmental activities:						
Instruction	127,747,232	113,110,337	-	-	127,747,232	113,110,337
Support services	65,119,000	57,024,539	-	-	65,119,000	57,024,539
Noninstructional programs	745,049	677,754	-	-	745,049	677,754
Other expenses	3,866,591	2,174,493	-	-	3,866,591	2,174,493
Business-type activities,						
nutritional services	-	-	6,481,988	6,036,498	6,481,988	6,036,498
Total expenses	197,477,872	172,987,123	6,481,988	6,036,498	203,959,860	179,023,621
Change in net position	2,628,138	18,753,436	106,797	320,920	2,734,935	19,074,356
Net position, beginning of year	193,001,638	179,296,014	1,931,001	1,610,081	194,932,639	180,906,095
Net position, end of year	\$ 195,629,776	\$ 198,049,450	\$ 2,037,798	\$ 1,931,001	\$ 197,667,574	\$ 199,980,451

Property and sales taxes and unrestricted state grants account for 81 percent and 82 percent of the total revenue for the years ended June 30, 2018 and 2017, respectively. The District's expenses primarily relate to instruction and support services which account for 95 percent of the total expenses for the years ended June 30, 2018 and 2017.

Iowa City Community School District

Management's Discussion and Analysis For Fiscal Year Ended June 30, 2018

Governmental Accounting Standards Board Statement No. 75, *Accounting and Financial Reporting for Postemployment Benefits Other Than Pensions*, was implemented during fiscal year 2018. The beginning net position as of July 1, 2017 for governmental activities was restated by \$6,047,812 to retroactively report the net postemployment benefits (OPEB) liability as of June 30, 2017. Fiscal year 2017 financial statement amounts for net OPEB liabilities, OPEB expense, deferred outflows of resources and deferred inflows of resources were not restated because the information was not available. In the past, OPEB expense was the amount of the employer contribution. Current reporting provides a more comprehensive measure of OPEB expense which is more reflective of the amounts employees earned during the year.

Governmental Activities

Revenues for governmental activities were \$200,106,010 and expenses were \$197,477,872. This difference of \$2,628,138 was used primarily for the repayment of the general obligations bonds and capital loan notes. Revenues in the governmental activities increased approximately \$8,400,000 or 4.3 percent over 2017. Most of this increase is from property taxes and state sources as provided through the school funding formula and supplemental state aid. In addition, investment earnings increased approximately \$900,000 compared to 2017 due to investment of idle funds and bond funds received in the capital projects funds.

The increase in expenses in governmental activities of \$24,490,749 or 14 percent is related to expenses for increased staff to serve the rising enrollments, increased salary and benefits from negotiated contract settlements and amounts recorded as pension expense. The District also recorded \$901,507 in the current year for other postemployment benefit liabilities which are attributable to the statutory requirement that the District allows retirees the ability to purchase District sponsored health insurance at the employee's own cost. The District does not offer any voluntary postretirement benefits.

The following table presents the total and net cost of the District's major governmental activities: instruction, support services, noninstructional programs and other expenses.

Figure A-5
Total and Net Cost of Governmental Activities

	2018		2017	
	Total Cost of Services	Net Cost of Services	Total Cost of Services	Net Cost of Services
Instruction	\$ 127,747,232	\$ (105,373,848)	\$ 113,110,337	\$ (91,722,826)
Support services	65,119,000	(57,552,689)	57,024,539	(50,449,321)
Noninstructional programs	745,049	(745,049)	677,754	(677,754)
Other expenses	3,866,591	(3,866,591)	2,174,493	(2,174,493)
Totals	\$ 197,477,872	\$ (167,538,177)	\$ 172,987,123	\$ (145,024,394)

- The cost financed by users of the District's programs was \$2,157,635 for 2018 and \$1,964,586 for 2017. This increase was primarily from an increase in tuition received from services provided to students from other school districts.
- Federal and state governments subsidized certain programs with grants and contributions totaling \$27,782,060 for 2018 and \$25,998,143 for 2017. The increase in grants and contributions was provided through the Aid & Levy calculations for the state funding formula.
- The remaining net cost of governmental activities was financed with property tax, sales tax, state foundation aid and investment earnings.

Iowa City Community School District

Management's Discussion and Analysis For Fiscal Year Ended June 30, 2018

Business-Type Activities

Revenues of the District's business-type activities were \$6,571,789, excluding \$16,996 of investment earnings, and expenses were \$6,481,988. The District's business-type activities include the School Nutrition Fund. Revenues of these activities were comprised of charges for service, federal and state reimbursements and interest income. Revenues increased by approximately 3.6 percent due to an increase in the number of meals served from the higher enrollment levels and higher reimbursement rates from federal and state programs compared to prior years. Expenses increased by 6.8 percent due to additional food and supply costs to serve the larger enrollments and increased staff costs from negotiated settlements and addition of a new kitchen at Liberty High School.

Financial Analysis of the District's Funds

As previously noted, the Iowa City Community School District uses fund accounting to ensure and demonstrate compliance with finance-related legal requirements.

Governmental fund highlights: The financial performance of the District as a whole is reflected in its governmental funds as well. As the District completed the year, its governmental funds reported combined fund balances of \$85,832,625 which was an increase from last year's ending fund balances of \$36,814,339. The primary reason for the net increase in combined fund balances in fiscal year 2018 is due to the sale of sales tax revenue bonds and general obligation bonds to fund projects in the facility master plan.

- The District's General Fund financial position is the product of many factors. The primary factor resulting in the General Funds decreased balance for the year ending June 30, 2018 was due to the District's staffing of new facilities and increased enrollment for fiscal year 2018.
- The GO Bond Fund balance was added in fiscal year 2018 to account for the general obligation bonds sold in December 2017 and the construction expenditures of the District's ten year facility master plan. Bond sale proceeds and related investment earnings provided approximately \$63 million with approximately \$13 million expended for projects in the facility plan.
- The Capital Projects Fund balance increased from a balance of \$9,282,542 in fiscal year 2017 to \$9,837,463 in fiscal year 2018. This increase is primarily due to the sale of sales tax revenue bonds to fund construction expenditures as part of the District's ten year facility master plan.

Proprietary fund highlights: The School Nutrition Fund's net position decreased from \$1,067,841 as of June 30, 2017 to \$1,041,333 as of June 30, 2018, representing a decrease of approximately 2.5 percent for 2018 compared to an increase of 27.2 percent for 2017. The decrease was primarily due to the increased personnel costs of the district nutrition program due to the addition of an additional production kitchen in the newly opened Liberty High School.

The Internal Service Fund for the District's self-insured health insurance fund and dental insurance funds increased net position from \$14,498,585 in 2017 to \$16,110,838 in 2018. This increase was due to favorable claims experience compared to prior years and the decrease to the liability for unpaid claims as of June 30, 2018.

Budgetary Highlights

In accordance with the Code of Iowa, the Board of Education annually adopts a certified budget following required public notice and hearing for all funds, except its internal service, private-purpose trust and agency funds. The legal level of control is at the aggregated functional level, not at the fund or fund type level. The budget may be amended during the year utilizing similar statutorily prescribed procedures. The District's certified budget is prepared on the GAAP basis. Over the course of the year, the District amended its annual (operating) budget one time to reflect additional revenue and expenditures associated with programs and activities added or changed during the fiscal year. A schedule showing the original certified and final budget amounts compared to the District's actual financial activity is included in the required supplementary information section of this report.

Iowa City Community School District

Management's Discussion and Analysis For Fiscal Year Ended June 30, 2018

Legal budgetary highlights: The District's total actual revenues were \$2,131,900 greater than the total budgeted revenues, a variance of 1.05 percent from the final budget.

Total expenditures were less than budgeted. It is the District's practice to budget expenditures at the maximum authorized spending authority as defined by the Code of Iowa. The District then manages or controls General Fund spending through its line-item budget. As a result, the District's certified budget should always exceed the actual expenditures during the year. In addition, the Board of Directors has implemented a resource allocation model to manage the expenditure levels with available resources and to address the educational needs of the district's student enrollment. The increased expenditures related to the budget were primarily in the other expenditure category due to construction expenditures as planned in the District's facility master plan and funded by capital loan notes, sales tax revenue bonds in fiscal years 2015 to 2018 and general obligation bonds.

Capital Asset and Debt Administration

Capital assets: As of June 30, 2018, the District had invested \$340 million, net of accumulated depreciation, in the broad range of capital assets, including land, buildings, athletic facilities, computers and equipment. (See Figure A-6) This amount represents a net increase of \$39 million from last year. More detailed information about capital assets is available in Note 5 to the financial statements. Depreciation expense for the year was \$8,714,874.

The original costs of the District's capital assets were approximately \$444.9 million. Governmental funds account for approximately \$443.1 million with the remainder of \$1.8 million in the Proprietary, School Nutrition Fund.

The largest change in capital asset activity during the year occurred in the building, construction in progress and furniture and equipment categories. The building category increased primarily from the completion of Hoover East Elementary School, Liberty High School and major classroom additions for three elementary schools, safety and security upgrades throughout the district and various building remodels and improvements. The construction-in-progress category decreased from the completed construction of these facilities that opened in August 2017. The furniture and equipment category also increased due to the equipment purchased for these new facilities.

Figure A-6
Capital Assets, Net of Depreciation

	Governmental Activities		Business-Type Activities		Total School District		Total Change
	2017	2017	2017	2017	2017	2017	2018-2017
Land	\$ 11,862,498	\$ 11,568,737	\$ -	\$ -	\$ 11,862,498	\$ 11,568,737	\$ 293,761
Construction-in-progress	55,138,136	97,975,298	-	-	55,138,136	97,975,298	(42,837,162)
Buildings	250,030,429	171,753,162	-	-	250,030,429	171,753,162	78,277,267
Improvements other than buildings	16,639,094	15,338,767	-	-	16,639,094	15,338,767	1,300,327
Furniture and equipment	5,737,436	3,764,021	543,571	513,229	6,281,007	4,277,250	2,003,757
Total	\$ 339,407,593	\$ 300,399,985	\$ 543,571	\$ 513,229	\$ 339,951,164	\$ 300,913,214	\$ 39,037,950

Iowa City Community School District

Management's Discussion and Analysis For Fiscal Year Ended June 30, 2018

Long-Term Debt: As of June 30, 2018, the District had \$171.8 million in general obligation and other long-term debt outstanding. This represents an increase of approximately \$79.9 million from last year. The increase in the early retirement obligation is due to an increase in the number of employees accepting the District's early retirement incentive in 2018 than 2017. The increase in general obligation bonds was related to the District's issuance of \$58,955,000 of bonds. Capital loan notes decreased by approximately \$825,000 from the previously stated maturities. The District issued \$30,285,000 of Sales Tax Revenue Bonds during the year. (See Figure A-7) More detailed information about the District's long-term liabilities are available in Note 6 to the financial statements.

**Figure A-7
Outstanding Long-Term Obligations**

	Total School District		Total Change
	2018	2017	2018-2017
General obligation bonds	\$ 58,955,000	\$ 3,205,000	\$ 55,750,000
Premium on general obligation bonds	3,384,862	165,969	3,218,893
Discount on general obligation bonds	(73,328)	-	(73,328)
Capital loan notes	6,190,000	7,015,000	(825,000)
Sales tax revenue bonds	97,780,000	73,960,000	23,820,000
Premium on sales tax revenue bonds	3,118,395	3,682,502	(564,107)
Capital lease	1,115,393	1,500,000	(384,607)
Early retirement	2,366,466	1,439,865	926,601
Compensated absences	859,001	849,384	9,617
Totals	\$ 173,695,789	\$ 91,817,720	\$ 81,878,069

Factors Bearing on the District's Future

At the time these financial statements were prepared and audited, the District was aware of several existing circumstances that could significantly affect its financial health in the future:

- The District received allowable growth of two percent, zero percent and two percent for fiscal year 2011, 2012 and 2013, respectively, supplemental state aid (formerly allowable growth) of two percent and a one-time two percent supplemental state aid allocation for fiscal year 2014 and supplemental state aid at four percent, 1.25 percent, 2.25 percent and 1.11 percent for fiscal years 2015, 2016, 2017 and 2018, respectively. For the fiscal year 2019, the District received supplemental state aid of 1 percent. The Iowa Legislature will take up the issue to determine the level of the supplemental state aid for FY2020 and beyond starting in their January 2019 session. As the District's General Fund budget is comprised of approximately 85 percent salary and benefits, wage and salary adjustments realized through the negotiations process will have a significant impact on future budget spending decisions. In February 2017, significant legislative changes to Chapter 20 of the Code of Iowa as it relates to formal negotiations were enacted. The long-term impact of these changes on future wage and salary adjustments has not been determined, however, the District continues to review the flexibility for control of these expenditures.

Iowa City Community School District

Management's Discussion and Analysis For Fiscal Year Ended June 30, 2018

- The Iowa school funding formula is highly dependent upon student enrollment. The District has experienced enrollment growth of 443, 321, 386, 168, 343, 309 and 213 students in the last seven years, respectively. The enrollment growth of 86 students in fiscal year ending 2019 will assist the District's budget in fiscal year ending 2020. These increases in enrollment have required additional staff and materials for educational programs and the demand for additional space to the existing facilities and construction of new facilities. New facilities as well as additions and renovations to existing facilities are included in the District's Facility Master Plan and will also increase expenditures related to utilities, custodial, maintenance and support staff. However, the slower growth in enrollment in the last two years will continue to be reviewed and monitored for the impact on the district's budget needs for additional staffing. The District utilizes a demographer to assist with projecting future enrollment increases with updates provided to the District every two years. The next enrollment report from the demographer is anticipated to be completed in November 2019.
- In December 2017, the District issued General Obligation Bonds of \$58,955,000 to fund identified construction and renovation projects of the Facility Master Plan. During fiscal year 2018, the District expended approximately \$13 million of these funds for projects at Lincoln Elementary School, Mann Elementary School, renovation at West High School, construction of Grant Elementary School and the construction of athletic facilities at Liberty High School, all with expected completion dates prior to August 2019.
- The District sold Capital Loan Notes of \$9,435,000 in December 2014. The proceeds from the sale of these Notes funded various construction projects in the Facility Master Plan and will be repaid from the existing Physical Plant and Equipment Levy (PPEL) through 2025. In addition, the District sold School Infrastructure Sales, Services and Use Tax Revenue Bonds of approximately \$60 million in September 2015, \$10,000,000 in December 2016, \$11,185,000 in January 2017, \$21,200,000 in August 2017 and \$9,085,000 in June 2018. These revenue funds have been used for projects at Coralville Central Elementary, Lucas Elementary School, City High School, construction of Liberty High School and Hoover (East) Elementary School and major renovation projects at Lucas Elementary School and West High School. The Revenue Bonds will be repaid from sales tax revenues collected through 2029.
- The construction of Liberty High School, a new comprehensive high school, began in May 2015 and opened in August 2017 with an enrollment of 740 students. The total cost of this facility is approximately \$57 million. The District has experienced, as anticipated, additional operating costs of approximately \$2 million annually for this high school. In addition to the building, the District completed the construction of the football and track stadium in August 2018 and is in the process of completing the construction of athletic venues for soccer, softball and baseball near the high school building. The funding and completion of these athletic fields was identified in the bond referendum and will be funded from the sale general obligation bonds. The District anticipates student attendance at Liberty will approach 1,500 students by 2020 creating the need for additional classroom space. This will require increased expenditures for instructional staff, support and custodial expenditure in future fiscal years. The District has not determined the extent of timing or amount of these expenditures in the future periods.
- The enrollment increases experienced in recent years has included significant additional student needs for students requiring English language learning programs. The District has hired additional staff with the appropriate certifications to serve these students. The District expended approximately \$1,400,000 more during the year ended June 30, 2018 than direct categorical program revenue. The District will continue to request additional modified supplemental spending authority for this Limited English Program deficit from the School Budget Review Committee to support these expenditures in future periods.

Iowa City Community School District

Management's Discussion and Analysis For Fiscal Year Ended June 30, 2018

- The District provides health insurance to its employees utilizing a self-funded insurance plan with specific and aggregate reinsurance coverage as required by the State of Iowa. The District's plan is subject to various insurance coverage and reporting provisions of the Patient Protection and Affordable Care Act (ACA) and the District believes it has completed all coverage and reporting requirements of the ACA in a timely and complete manner. The transitional reinsurance fees included in the ACA rules are being paid from the current premium levels of the self-funded plan and the District anticipates the impact of the coverage and reporting rules to be minimal based upon existing insurance benefits offered to its staff. However, the insurance industry continues to operate in an extremely uncertain and rising cost environment and the District will continue to monitor the potential impact of any changes on the plan and its employees.
- The District's Board of Directors is currently in the process of revising in-district transfer policies and attendance areas within the District for the opening of new facilities and relocation of students for buildings during renovation in fiscal periods after 2019. These decisions will impact certain staffing and transportation expenditures for future fiscal periods as students and staff transition to these facilities, however, the impact of these decisions has not been determined at this time.
- The ten year Facility Master Plan, originally approved in December 2013 and subsequently updated in April 2015 and February 2017, includes nearly \$192 million of future construction and renovation projects. On September 12, 2017, taxpayers within the District approved a bond referendum authorizing \$191,925,000 of general obligation bonds to fund the projects in the Facility Master Plan. The District anticipates the sale of approximately \$66 million of general obligation bonds in January 2019 to fund major renovation projects and additions at all three junior high buildings, City High School and several elementary buildings.
- The district is on schedule to complete the construction and opening of Christine Grant Elementary School in North Liberty in August 2019. This is the final new elementary building included in the current Facility Master Plan. This new 600 student elementary building will decrease the overcrowded conditions currently at Penn, Garner, and Van Allen elementary schools. It will also provide for much needed growth capacity in the North Liberty area, one of the fastest growing communities in Iowa. Additional General Fund expenditures are estimated to be \$550,000 for staffing, maintenance and utilities will result from opening this building.
- State legislators are expected to take up beginning with their 2019 legislative session the extension of SAVE. If extended 20 years to 2049, the SAVE program would provide the District with additional borrowing capacity estimated to be as much as \$145 million for facility improvement projects with \$35 million being available as early as October 2022. The Board of Education has the option, and could choose to use the annual SAVE revenue stream to pay down general obligation bond debt rather than spending on additional facility related projects.

Contacting the District's Financial Management

This financial report is designed to provide the District's citizens, taxpayers, customers, investors and creditors with a general overview of the District's finances and to demonstrate the District's accountability for the money it receives. If you have questions about this report or need additional financial information, contact Craig Hansel, District Chief Financial Officer, Iowa City Community School District, 1725 North Dodge Street, Iowa City, Iowa 52245.

Iowa City Community School District

Statement of Net Position
June 30, 2018

	Governmental Activities	Business-Type Activities	Total
Assets			
Current assets:			
Cash, cash equivalents, and investments	\$ 120,357,633	\$ 1,942,826	\$ 122,300,459
Restricted Cash	5,587,205	-	5,587,205
Receivables:			
Property tax:			
Current year	318,900	-	318,900
Succeeding year	92,349,637	-	92,349,637
Income surtax	6,820,672	-	6,820,672
Sales taxes	670,000	-	670,000
Other	343,272	-	343,272
Due from other governments	3,091,483	21,693	3,113,176
Internal balances	(1,003,440)	1,003,440	-
Inventories	-	170,554	170,554
Prepaid expenses	1,533,248	89,918	1,623,166
Total current assets	230,068,610	3,228,431	233,297,041
Noncurrent assets:			
Capital assets:			
Nondepreciable:			
Land	11,862,498	-	11,862,498
Construction-in-progress	55,138,136	-	55,138,136
Depreciable capital assets, net of accumulated depreciation	272,406,959	543,571	272,950,530
Total noncurrent assets	339,407,593	543,571	339,951,164
Total assets	569,476,203	3,772,002	573,248,205
Deferred Outflows of Resources , pension related amounts	28,574,364	888,435	29,462,799

See notes to basic financial statements.

	Governmental Activities	Business-Type Activities	Total
Liabilities			
Current liabilities:			
Accounts payable	10,907,201	4,081	10,911,282
Salaries and benefits payable	15,927,113	338,338	16,265,451
Claims payable	2,432,473	-	2,432,473
Accrued interest payable	471,783	-	471,783
Unearned revenues	14,516	162,700	177,216
General obligation bonds	10,505,000	-	10,505,000
Capital loan notes	835,000	-	835,000
Capital lease	362,478	-	362,478
Revenue bonds	7,510,000	-	7,510,000
Early retirement	2,366,466	-	2,366,466
Compensated absences	859,001	-	859,001
Total current liabilities	52,191,031	505,119	52,696,150
Noncurrent liabilities:			
Other postemployment benefit liability	9,070,319	-	9,070,319
Net pension liability	88,773,114	1,748,090	90,521,204
General obligation bonds, net of unamortized premium and discounts	51,761,534	-	51,761,534
Capital loan notes	5,355,000	-	5,355,000
Capital lease	752,915	-	752,915
Revenue bonds, net of unamortized premium	93,388,395	-	93,388,395
Total noncurrent liabilities	249,101,277	1,748,090	250,849,367
Total liabilities	301,292,308	2,253,209	303,545,517
Deferred Inflows of Resources			
Property tax	92,349,637	-	92,349,637
Income surtax	6,820,672	-	6,820,672
Pension related amounts	1,730,837	369,430	2,100,267
Other post employment benefit related amounts	227,337	-	227,337
Total deferred inflows of resources	101,128,483	369,430	101,497,913
Net Position			
Net investment in capital assets	232,565,407	543,571	233,108,978
Restricted for:			
Capital improvement and equipment	542,613	-	542,613
Federal and state programs	2,478,299	-	2,478,299
Student activities	436,405	-	436,405
Unrestricted	(40,392,948)	1,494,227	(38,898,721)
Total net position	\$ 195,629,776	\$ 2,037,798	\$ 197,667,574

Iowa City Community School District

Statement of Activities Year Ended June 30, 2018

Functions/Programs	Expenses	Program Revenues		
		Charges for Services and Sales	Operating Grants, and Contributions	Capital Grants, and Contributions
Governmental Activities				
Instruction:				
Regular instruction	\$ 81,639,713	\$ 450,539	\$ 9,808,511	\$ -
Special instruction	39,606,386	1,355,093	7,533,681	-
Other instruction	6,501,133	15,000	3,210,560	-
	127,747,232	1,820,632	20,552,752	-
Support services:				
Student services	5,933,064	-	-	-
Instructional services	11,199,206	-	-	-
Administration services	17,946,142	-	-	-
Operation and maintenance	18,877,434	253,482	-	904,490
Transportation services	5,000,963	83,521	162,627	-
Other support services, AEA flowthrough	6,162,191	-	6,162,191	-
	65,119,000	337,003	6,324,818	904,490
Noninstructional programs	745,049	-	-	-
Other:				
Long-term debt interest	3,831,530	-	-	-
Depreciation (unallocated), excluding direct depreciation	35,061	-	-	-
	3,866,591	-	-	-
Total governmental activities	197,477,872	2,157,635	26,877,570	904,490
Business-type activities , nutritional services	6,481,988	2,659,506	3,912,283	-
Total primary government	\$ 203,959,860	\$ 4,817,141	\$ 30,789,853	\$ 904,490

General revenues:

- Property taxes levied for:
 - General purposes
 - Debt service
 - Capital outlay
- Local option sales tax
- Unrestricted state grants
- Unrestricted investment earnings
- Other

Total general revenues

Changes in net position

Net position, beginning of year, as restated

Net position, end of year

See notes to basic financial statements.

Net (Expense) Revenue and Changes in Net Position			
Governmental		Business-Type	
Activities	Activities		Total
\$ (71,380,663)	\$ -	\$	(71,380,663)
(30,717,612)	-		(30,717,612)
(3,275,573)	-		(3,275,573)
(105,373,848)	-		(105,373,848)
(5,933,064)	-		(5,933,064)
(11,199,206)	-		(11,199,206)
(17,946,142)	-		(17,946,142)
(17,719,462)	-		(17,719,462)
(4,754,815)	-		(4,754,815)
-	-		-
(57,552,689)	-		(57,552,689)
(745,049)	-		(745,049)
(3,831,530)	-		(3,831,530)
(35,061)	-		(35,061)
(3,866,591)	-		(3,866,591)
(167,538,177)	-		(167,538,177)
-	89,801		89,801
(167,538,177)	89,801		(167,448,376)
74,276,771	-		74,276,771
3,301,317	-		3,301,317
10,428,235	-		10,428,235
13,165,538	-		13,165,538
65,993,465	-		65,993,465
1,379,124	16,996		1,396,120
1,621,865	-		1,621,865
170,166,315	16,996		170,183,311
2,628,138	106,797		2,734,935
193,001,638	1,931,001		194,932,639
\$ 195,629,776	\$ 2,037,798	\$	197,667,574

Iowa City Community School District

Balance Sheet—Governmental Funds

June 30, 2018

	General	Physical Plant and Equipment Levy
Assets		
Cash, cash equivalents, and investments	\$ 35,749,416	\$ 1,569,693
Restricted cash	-	-
Receivables:		
Property tax:		
Current year	248,698	39,712
Succeeding year	63,927,908	10,927,163
Income surtax	6,820,672	-
Sales tax	-	-
Other	343,272	-
Due from other governments	1,988,224	-
Due from other funds	93,140	-
Prepaid items	1,395,556	54,619
Total assets	\$ 110,566,886	\$ 12,591,187
Liabilities, Deferred Inflows of Resources and Fund Balances		
Liabilities:		
Accounts payable	\$ 2,776,112	\$ 1,044,149
Salaries and benefits payable	15,908,169	-
Due to other funds	8,086	22,643
Unearned revenue	14,516	-
Total liabilities	18,706,883	1,066,792
Deferred inflows of resources:		
Unavailable revenue—property tax	63,927,908	10,927,163
Unavailable revenue—income surtax	6,820,672	-
Unavailable revenue—sales tax	-	-
Total deferred inflows of resources	70,748,580	10,927,163
Fund balance:		
Nonspendable	1,395,556	54,619
Restricted	2,478,299	542,613
Unassigned	17,237,568	-
Total fund balances	21,111,423	597,232
Total liabilities, deferred inflows of resources and fund balances	\$ 110,566,886	\$ 12,591,187

See notes to basic financial statements.

Capital Projects	Debt Service	General Obligation Bonds	Nonmajor Governmental Funds	Total Governmental Funds
\$ 6,411,450	\$ 402,793	\$ 53,638,555	\$ 4,041,715	\$ 101,813,622
5,587,205	-	-	-	5,587,205
-	12,572	-	17,918	318,900
-	12,794,596	-	4,699,970	92,349,637
-	-	-	-	6,820,672
670,000	-	-	-	670,000
-	-	-	-	343,272
1,103,259	-	-	-	3,091,483
-	-	-	700	93,840
83,073	-	-	-	1,533,248
<u>\$ 13,854,987</u>	<u>\$ 13,209,961</u>	<u>\$ 53,638,555</u>	<u>\$ 8,760,303</u>	<u>\$ 212,621,879</u>
\$ 3,290,977	\$ -	\$ 3,491,737	\$ 304,226	\$ 10,907,201
18,944	-	-	-	15,927,113
37,603	-	-	31,783	100,115
-	-	-	-	14,516
<u>3,347,524</u>	<u>-</u>	<u>3,491,737</u>	<u>336,009</u>	<u>26,948,945</u>
-	12,794,596	-	4,699,970	92,349,637
-	-	-	-	6,820,672
670,000	-	-	-	670,000
<u>670,000</u>	<u>12,794,596</u>	<u>-</u>	<u>4,699,970</u>	<u>99,840,309</u>
83,073	-	-	-	1,533,248
9,754,390	415,365	50,146,818	3,724,324	67,061,809
-	-	-	-	17,237,568
<u>9,837,463</u>	<u>415,365</u>	<u>50,146,818</u>	<u>3,724,324</u>	<u>85,832,625</u>
<u>\$ 13,854,987</u>	<u>\$ 13,209,961</u>	<u>\$ 53,638,555</u>	<u>\$ 8,760,303</u>	<u>\$ 212,621,879</u>

Iowa City Community School District

**Reconciliation of Total Governmental Fund Balances to Net Position
of Governmental Activities
June 30, 2018**

Total governmental fund balances		\$ 85,832,625
Amounts reported for governmental activities in the statement of net position are different because:		
Capital assets used in governmental activities are not financial resources and, therefore, are not reported as assets in the governmental funds.		339,407,593
Other long-term assets are not available to pay for current period expenditures and, therefore, are reported as a deferred inflow of resources in the funds.		670,000
Internal service funds are used by management to charge the costs of certain services to individual funds. The assets and liabilities of the internal service funds are included in governmental activities in the statement of net position:		
Current assets	\$ 18,544,011	
Liabilities	(2,433,173)	16,110,838
Internal service funds allocated to business-type activities		(996,465)
Accrued interest payable on long-term liabilities is not due and payable in the current period and, therefore, is not reported as a liability in the governmental funds.		(471,783)
Deferred outflows of resources and deferred inflows of resources are not due and payable in the current year and, therefore, are not reported in the governmental funds, as follows:		
Deferred outflows, pension	28,574,364	
Deferred inflows, pension	(1,730,837)	
Deferred inflows, other post employment benefit	(227,337)	26,616,190
Long-term liabilities, including bonds payable and compensated absences, are not due and payable in the current period and, therefore, are not reported as liabilities in the governmental funds:		
General obligation bonds, current	(10,505,000)	
General obligation bonds, noncurrent	(48,450,000)	
Capital loan notes, current	(835,000)	
Capital loan notes, noncurrent	(5,355,000)	
Sales tax revenue bonds, current	(7,510,000)	
Sales tax revenue bonds, noncurrent	(90,270,000)	
Capital lease	(1,115,393)	
Early retirement, current	(2,366,466)	
Net pension liability	(88,773,114)	
Other postemployment benefits liability	(9,070,319)	
Compensated absences, current	(859,001)	
Unamortized discount	73,328	
Unamortized premium	(6,503,257)	(271,539,222)
Net position of governmental activities		\$ 195,629,776

See notes to basic financial statements.

Iowa City Community School District

**Statement of Revenues, Expenditures and Changes in Fund Balances
Governmental Funds
Year Ended June 30, 2018**

	General	Physical Plant and Equipment Levy
Revenues:		
Local sources:		
Local tax	\$ 69,764,737	\$ 10,428,235
Tuition	1,357,878	-
Other	2,546,600	58,544
State sources	81,903,894	269,142
Federal sources	7,321,701	-
Total revenues	162,894,810	10,755,921
Expenditures:		
Current:		
Instruction:		
Regular instruction	71,235,329	-
Special instruction	38,072,657	-
Other instruction	2,262,161	-
	111,570,147	-
Support services:		
Student services	5,263,475	-
Instructional services	10,858,679	-
Administration services	14,161,678	-
Operation and maintenance	14,129,231	405,160
Transportation services	3,587,382	967,313
Other support services, AEA flowthrough	6,162,191	-
	54,162,636	1,372,473
Noninstructional programs	28,274	-
Capital outlay	-	9,267,774
Debt service:		
Principal	-	-
Interest and fiscal charges	-	-
	-	-
Total expenditures	165,761,057	10,640,247
Excess (deficiency) of revenues over expenditures	(2,866,247)	115,674
Other financing sources (uses):		
Transfers in	-	1,000,000
Transfers out	(200,000)	(968,163)
Insurance proceeds	344,565	-
Issuance of bonds	-	-
Bond premium	-	-
Bond discount	-	-
Total other financing sources (uses)	144,565	31,837
Net change in fund balances	(2,721,682)	147,511
Fund balances, beginning of year	23,833,105	449,721
Fund balances, end of year	\$ 21,111,423	\$ 597,232

Capital Projects	Debt Service	General Obligation Bonds	Nonmajor Governmental Funds	Total Governmental Funds
\$ -	\$ 3,301,316	\$ -	\$ 4,512,034	\$ 88,006,322
-	-	-	-	1,357,878
1,111,640	16,171	578,151	3,059,045	7,370,151
13,015,538	85,203	-	117,707	95,391,484
-	-	-	-	7,321,701
14,127,178	3,402,690	578,151	7,688,786	199,447,536
-	-	-	1,428,917	72,664,246
-	-	-	-	38,072,657
-	-	-	3,167,400	5,429,561
-	-	-	4,596,317	116,166,464
-	-	-	-	5,263,475
-	-	-	-	10,858,679
212,043	5,750	123,392	895,799	15,398,662
-	-	-	1,168,024	15,702,415
-	-	-	446,268	5,000,963
-	-	-	-	6,162,191
212,043	5,750	123,392	2,510,091	58,386,385
701,006	-	-	-	729,280
30,898,158	-	12,680,865	-	52,846,797
-	10,879,607	-	-	10,879,607
-	4,423,206	-	-	4,423,206
-	15,302,813	-	-	15,302,813
31,811,207	15,308,563	12,804,257	7,106,408	243,431,739
(17,684,029)	(11,905,873)	(12,226,106)	582,378	(43,984,203)
-	12,014,213	-	200,000	13,214,213
(12,046,050)	-	-	-	(13,214,213)
-	-	-	-	344,565
30,285,000	-	58,955,000	-	89,240,000
-	-	3,491,252	-	3,491,252
-	-	(73,328)	-	(73,328)
18,238,950	12,014,213	62,372,924	200,000	93,002,489
554,921	108,340	50,146,818	782,378	49,018,286
9,282,542	307,025	-	2,941,946	36,814,339
\$ 9,837,463	\$ 415,365	\$ 50,146,818	\$ 3,724,324	\$ 85,832,625

Iowa City Community School District

Reconciliation of the Statement of Revenues, Expenditures and Changes in Fund Balances of Governmental Funds to the Statement of Activities Year Ended June 30, 2018

Net change in fund balances, total governmental funds	\$	49,018,286
Amounts reported for governmental activities in the statement of activities are different because:		
Capital outlays to purchase or build capital assets are reported in governmental funds as expenditures. However, for governmental activities, those costs are shown in the statement of net position and allocated over their estimated useful lives as depreciation expense in the statement of activities. This is the amount by which capital outlay exceeds depreciation expense in the period:		
Capital outlay	\$	47,648,288
Depreciation expense		(8,640,680)
		39,007,608
Revenues in the statement of activities that do not provide current financial resources are not reported as revenues in the funds, change in unavailable revenues.		150,000
Proceeds from issuing long-term liabilities provide current financial resources to governmental funds, but issuing debt increases long-term liabilities in the statement of net position. Repayment of long-term liabilities is an expenditure in the governmental funds, but the repayment reduces long-term liabilities in the statement of net position and does not affect the statement of activities.		
Repayment of long-term debt		10,879,607
Proceeds from sale of revenue bonds		(30,285,000)
Proceeds from general obligation bonds		(58,955,000)
Proceeds from bond premium		(3,491,252)
Bond discounts		73,328
		(81,778,317)
Interest on long-term debt in the statement of activities differs from the amount reported in governmental funds because interest is recorded as an expenditure in the funds when due. In the statement of activities, however, interest expense is recognized as the interest accrues, regardless of when it is due.		(228,158)
Some expenses reported in the statement of activities do not require the use of current financial resources and, therefore, are not reported as expenditures in the governmental funds:		
Change in other postemployment benefits		(1,128,844)
Pension expense		(3,764,053)
Change in early retirement		(937,549)
Change in compensated absences		(9,617)
		(5,840,063)
Internal service funds are used by management to charge the costs of certain activities to individual funds. The change in net position in the internal service fund is reported with governmental activities in the statement of activities.		1,612,253
Change in Internal Service Fund allocation to business-type activities.		(133,305)
Amortization of bond premium		836,466
Amortization of deferred amount on refunding		(16,632)
		819,834
Change in net position of governmental activities	\$	2,628,138

Iowa City Community School District

**Statement of Net Position
Proprietary Funds
June 30, 2018**

	Nonmajor Enterprise Fund - School Nutrition	Internal Service Fund
Assets		
Current assets:		
Cash, cash equivalents, and investments	\$ 1,942,826	\$ 18,544,011
Due from other governments	21,693	-
Due from other funds	8,086	-
Inventories	170,554	-
Prepaid expenses and deposits	89,918	-
Total current assets	2,233,077	18,544,011
Noncurrent assets, capital assets, net of accumulated depreciation	543,571	-
Total assets	2,776,648	18,544,011
Deferred outflows of resources , pension related amounts	888,435	-
Total assets and deferred outflows of resources	\$ 3,665,083	\$ 18,544,011
Liabilities		
Current liabilities:		
Accounts payable	\$ 4,081	\$ -
Salaries and benefits payable	338,338	-
Due to other funds	1,111	700
Claims payable	-	2,432,473
Unearned revenue	162,700	-
Total current liabilities	506,230	2,433,173
Noncurrent liabilities, net pension liability	1,748,090	-
Total liabilities	2,254,320	2,433,173
Deferred inflows of resources , pension related amounts	369,430	-
Net position		
Investment in capital assets	543,571	-
Unrestricted	497,762	16,110,838
Total net position	1,041,333	16,110,838
Total liabilities, deferred inflows of resources and net position	\$ 3,665,083	\$ 18,544,011
Total enterprise funds net position	\$ 1,041,333	
Amounts reported for business-type activities in the statement of net position are different because:		
Internal service funds are used by management to charge the costs of certain services to individual funds. Certain assets and liabilities of the internal service funds are included in business-type activities in the statement of net position.	996,465	
Net position of business-type activities	\$ 2,037,798	

See notes to basic financial statements.

Iowa City Community School District

**Statement of Revenues, Expenses and Changes in Net Position
Proprietary Funds
Year Ended June 30, 2018**

	Nonmajor Enterprise Fund - School Nutrition	Internal Service Fund
Operating revenue:		
Charges for services:		
Food sales	\$ 2,659,506	\$ -
Internal service charges	-	13,449,983
Employee contributions	-	3,635,372
Total operating revenue	2,659,506	17,085,355
Operating expenses:		
Food consumed	2,854,527	-
Salaries and benefits	3,000,562	-
Supplies, services and repairs	357,452	-
Depreciation	56,024	-
Food and meal delivery:		
Salaries and benefits	320,158	-
Truck expenses	8,400	-
Depreciation	18,170	-
Claims, losses and administrative fees	-	15,562,529
Other	-	74,479
Total operating expenses	6,615,293	15,637,008
Operating income (loss)	(3,955,787)	1,448,347
Nonoperating revenues:		
Federal appropriations	3,419,153	-
State appropriations	50,179	-
Federal food commodities	442,951	-
Interest income	16,996	163,906
Total nonoperating revenues	3,929,279	163,906
Changes in net position	(26,508)	1,612,253
Net position, beginning of year	1,067,841	14,498,585
Net position, end of year	\$ 1,041,333	\$ 16,110,838

See notes to basic financial statements.

Iowa City Community School District

**Reconciliation of Changes in Net Position of Enterprise Funds to the
Statement of Activities
Year Ended June 30, 2018**

Net changes in net position in enterprise funds.	\$ (26,508)
Amounts reported for proprietary activities in the statement of activities are different because:	
Internal service funds are used by management to charge the costs of various activities internally to individual funds. The net expense of certain activities of internal service funds is reported with business-type activities.	<u>133,305</u>
Change in net position of business-type activities	<u><u>\$ 106,797</u></u>

See notes to basic financial statements.

Iowa City Community School District

Statement of Cash Flows Proprietary Funds Year Ended June 30, 2018

	Nonmajor Enterprise Fund - School Nutrition	Internal Service Fund
Cash flows from operating activities:		
Cash received from sales of breakfasts and lunches	\$ 2,822,206	\$ -
Cash received from charges for service	-	13,449,983
Cash received from employees for benefits	-	3,635,372
Cash payments to suppliers for goods and services	(2,842,921)	(74,479)
Cash payments to employees for services	(2,240,291)	-
Cash payments for employee benefits	(960,350)	-
Cash payments for claims, losses and administrative fees	-	(15,347,037)
Net cash provided by (used in) operating activities	(3,221,356)	1,663,839
Cash flows from noncapital financing activities:		
Operating grants received	3,477,800	-
Proceeds from interfund accounts	(723,194)	-
Payments to interfund accounts	-	11,272
Net cash provided by noncapital financing activities	2,754,606	11,272
Cash flows from capital and related financing activities, acquisition of capital assets	(104,536)	-
Cash flows from investing activities, interest on cash and cash equivalents	16,996	163,906
Net increase (decrease) in cash and cash equivalents	(554,290)	1,839,017
Cash and cash equivalents:		
Beginning	2,497,116	16,704,994
Ending	\$ 1,942,826	\$ 18,544,011
Operating income (loss)	\$ (3,955,787)	\$ 1,448,347
Adjustments to reconcile operating income (loss) to net cash provided by (used in) operating activities:		
Depreciation	74,194	-
Federal food commodities consumed	442,951	-
Change in assets and liabilities:		
(Increase) in purchased inventory	(53,936)	-
(Increase) in prepaid expenses and deposits	(11,302)	-
(Decrease) in accounts payable	(255)	-
Increase in salaries and benefits payable	33,009	-
Increase in unearned revenue	162,700	-
Increase in net pension liability	135,183	-
(Increase) in deferred outflows of resources	(388,002)	-
Increase in deferred inflows of resources	339,889	-
(Decrease) in claims payable	-	226,440
(Decrease) in early retirement	-	(10,948)
Total adjustments	734,431	215,492
Net cash provided by (used in) operating activities	\$ (3,221,356)	\$ 1,663,839
Noncash item, noncapital financing activities, food commodities donated to the District from the U.S. Department of Agriculture	\$ 442,951	\$ -

See notes to basic financial statements.

Iowa City Community School District

Statement of Fiduciary Net Position

Fiduciary Funds

June 30, 2018

	Private Purpose Trust Fund Winbigler Estate Trust Fund	Agency Funds
Assets , cash and cash equivalents	\$ 71,576	\$ 432,183
Liabilities , due to private individuals	-	\$ 432,183
Net Position , restricted for needs of students in need of financial assistance	\$ 71,576	

See notes to basic financial statements.

Iowa City Community School District

Statement of Changes in Fiduciary Net Position
Fiduciary Funds
Year Ended June 30, 2018

	Private Purpose Trust Fund Winbigler Estate Trust Fund
Net position held in trust, beginning of year	\$ 71,576
Net position held in trust, end of year	\$ 71,576

See notes to basic financial statements.

Iowa City Community School District

Notes to Basic Financial Statements

Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies

Nature of operations: The Iowa City Community School District (the District) is a political subdivision of the state of Iowa and operates public schools for children in grades pre-school through twelve. The geographic area served includes the cities of Iowa City, Coralville, University Heights, Hills, and North Liberty and the surrounding predominately agricultural territory in central Johnson County. The District is governed by a Board of Education whose members are elected on a nonpartisan basis.

Reporting entity: For financial reporting purposes, the Iowa City Community School District has included all funds, organizations, agencies, boards, commissions and authorities for which the District is financially accountable. The District has also considered all potential component units for which it is financially accountable, and other organizations for which the nature and significance of their relationship with the District are such that exclusion would cause the District's financial statements to be misleading or incomplete. The Governmental Accounting Standards Board (GASB) has set forth criteria to be considered in determining financial accountability. These criteria include appointing a voting majority of an organization's governing body, and (1) the ability of the District to impose its will on the organization, or (2) the potential for the organization to provide specific benefits to, or impose specific financial burdens on, the District. In addition, the GASB issued Statement No. 39, which sets forth additional criteria to determine whether certain organizations for which the District is not financially accountable should be reported as component units based on the nature and significance of their relationship with the District. These criteria include 1) the economic resources being received or held by the separate organization being entirely or almost entirely for the direct benefit of the District, its component units or its constituents, 2) the District being entitled to, or having the ability to otherwise access, a majority of the economic resources received or held by the Organization and 3) the economic resources received or held by an individual organization that the District is entitled to, or has the ability to otherwise access, are significant to the District. Based on these criteria, the District is considered a primary government and there are no other organizations or agencies whose financial statements should be combined and presented with these basic financial statements.

The District participates in several jointly governed organizations for which the District is not financially accountable or that the nature and significance of the relationships with the District are such that exclusion does not cause the District's financial statements to be misleading or incomplete. Among those organizations are the Johnson County Conference Board, Iowa City Conference Board, Johnson County Compensation Board and the Iowa City Assessors Examining Board.

Significant accounting policies:

Government-wide financial statements: The statement of net position and the statement of activities report information on all of the nonfiduciary activities of the District. For the most part, the effect of interfund activity has been removed from these statements. However, interfund services provided and used are not eliminated in the process of consolidation. Governmental activities, which normally are supported by tax and intergovernmental revenues, are reported separately from business-type activities, which rely to a significant extent on fees and charges for services.

The statement of net position presents the District's nonfiduciary assets, liabilities and deferred inflows/outflows of resources, with the difference reported as net position.

Iowa City Community School District

Notes to Basic Financial Statements

Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies (Continued)

The statement of activities demonstrates the degree to which the direct expenses of a given function or segment are offset by program revenues. Direct expenses are those that are clearly identifiable with a specific function. Program revenues include 1) charges to customers or applicants who purchase, use or directly benefit from goods, services or privileges provided by a given function and 2) grants, contributions and interest that are restricted to meeting the operational or capital requirements of a particular function. Property tax and other items not included among program revenues are reported instead as general revenues.

Fund financial statements: Separate financial statements are provided for governmental, proprietary and fiduciary funds, even though the latter are excluded from the government-wide financial statements. Major individual funds are reported as separate columns in the fund financial statements. Nonmajor governmental funds and nonmajor enterprise funds are aggregated and presented in a single column.

Fund accounting: The accounts of the District are organized on the basis of funds, each of which is considered to be a separate accounting entity. The operations of each fund are accounted for by providing a separate set of self-balancing accounts which comprise its assets, liabilities, deferred inflows/outflows of resources, fund balance/net position, revenues and expenditures or expenses, as appropriate. The District has the following funds:

Governmental Fund Types: Governmental fund types are those funds through which most governmental functions typically are financed. Governmental fund reporting focuses on the sources, uses and balances of current financial resources. Expendable assets are assigned to the various governmental funds according to the purposes for which they may or must be used. Current liabilities are assigned to the fund from which they will be paid. The difference between governmental fund assets, liabilities and deferred inflows/outflows of resources is reported as fund balance. The following are the District's major governmental funds:

General Fund: is the general operating fund of the District. All general tax revenues and other receipts that are not allocated by law or contractual agreement to some other fund are accounted for in this fund. The general operating expenses of the District, including instructional, support and other costs, are paid from the fund.

Physical Plant and Equipment Levy Fund: a capital projects fund, accounts for the property taxes levied and collected by the District to be used for the purchase and improvement of grounds; purchase, construction and remodeling of buildings; and major equipment purchases.

Capital Projects Fund: a capital projects fund, is used to account for all resources restricted for the acquisition and construction of major capital facilities as authorized by the voters in the District. Revenues of the Fund primarily consist of state-wide sales taxes.

Debt Service Fund: Accounts for property taxes levied and collected for the payment of general long-term debt principal, interest and related costs.

General Obligation Bonds Fund: A capital projects fund, used to account for all resources restricted for the acquisition and construction of major capital facilities as authorized by voters in the District. Revenue of the fund consists of sale of general obligation bonds.

Iowa City Community School District

Notes to Basic Financial Statements

Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies (Continued)

The other governmental funds of the District are considered nonmajor and are as follows:

Special Revenue Funds: Accounts for the revenue sources that are legally restricted to expenditures for specific purposes.

Management Fund: Accounts for property taxes levied and collected which are restricted for tort liability insurance premiums, unemployment compensation insurance claims and early retirement incentive payments.

Student Activity Fund: Accounts for money held by the District which is restricted on behalf of the students who have raised these funds and are responsible for their disposition for co-curricular or extracurricular activities of the District.

Proprietary Fund Types: Proprietary fund types are used to account for the District's ongoing operations and activities which are similar to those often found in the private sector. They are accounted for on the flow of economic resources measurement focus and use the accrual basis of accounting. Under this method, revenues are recorded when earned and expenses are recorded at the time the liabilities are incurred.

Enterprise Funds: Enterprise funds are used to account for those operations for which a fee is charged to external users for goods and/or services. The following enterprise fund of the District is considered nonmajor.

School Nutrition Fund: Accounts for the food service operations of the District.

Internal Service Fund: The Internal Service Fund is used to account for goods or services provided by one department to other departments of the District on a cost reimbursement basis. The District's Internal Service Fund is used to account for the premium and claim payments for the self-insured health insurance and dental plan for District employees and retirees.

The District also reports the following fiduciary fund types:

Private Purpose Trust Fund: This fund is utilized to account for assets held by the District in a fiduciary capacity according to the terms of the donor's request of granting scholarships at City High School.

Agency Funds: These funds are utilized to account for assets held by the District in the fiduciary capacity as an agent on behalf of others. The Agency fund is custodial in nature (assets equal liabilities) and does not involve measurement of results of operations. The Agency funds of the District include:

Flexible benefits account: for the District's flexible benefit plan activity.

School children's aid: for providing services to at risk students at any District building.

Opportunity funds: for providing services to at risk families in two District elementary buildings.

School based health clinics: partnerships with local medical community to provide health services to at risk children.

Iowa City Community School District

Notes to Basic Financial Statements

Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies (Continued)

The government-wide financial statements and the proprietary and fiduciary fund financial statements are reported using the "economic resources measurement focus" and accrual basis of accounting. Agency funds follow the accrual basis of accounting but do not have a measurement focus as they report only assets and liabilities. Revenues are recorded when earned and expenses are recorded when a liability is incurred, regardless of the timing of related cash flows. Property tax and income surtax is recognized as revenue in the year for which it is levied and budgeted for. Grants and similar items are recognized as revenue as soon as all eligibility requirements imposed by the provider have been satisfied.

Governmental fund financial statements are reported using the current financial resources measurement focus and the modified accrual basis of accounting. Revenues are recognized as soon as they are both measurable and available. Revenues are considered to be available when they are collectible within the current period or soon enough thereafter to pay liabilities of the current period. For this purpose, the District considers revenues to be available if they are collected within 60 days after year-end.

Property tax when levied and budgeted for, other taxes and intergovernmental revenues when eligibility requirements have been met (shared revenues, grants and reimbursements from other governments) and interest associated with the current fiscal period are all considered to be measurable and are recognized as revenue, if available. All other revenue items are recognized only when cash is received by the District.

Expenditures generally are recorded when a liability is incurred, as under accrual accounting. However, principal and interest on long-term debt, claims and judgments, early retirement payments, other postemployment benefits, pension contributions and compensated absences are recognized as expenditures only when payment is due. Capital asset acquisitions are reported as expenditures in governmental funds. Proceeds of general long-term debt and acquisitions under capital financing and capital leases are reported as other financing sources.

Under terms of grant agreements, the District funds certain programs by a combination of specific cost-reimbursement grants and general resources. When program expenses are incurred and there are both restricted and unrestricted net position available to finance the program it is the District's policy to first apply cost-reimbursement grant resources to such programs then the general revenues.

Proprietary funds distinguish operating revenues and expenses from nonoperating items. Operating revenues and expenses generally result from providing services and producing and delivering goods in connection with a proprietary fund's principal ongoing operations. The principal operating revenues of the District's proprietary funds are charges for services. Operating expenses for proprietary funds include the cost of sales and services, administrative expenses, depreciation on capital assets and claims. All revenues and expenses not meeting this definition are reported as nonoperating revenues and expenses.

Cash, cash equivalents and investments: The cash balances of most District funds are nonpooled and separately invested. Investments in the Iowa Schools Joint Investment Trust, nonnegotiable certificates of deposit and IPAS Education Money Market Fund are stated at amortized cost.

The IPAS Education Money Market Fund is a "money market fund" that seeks to maintain a stable net asset value of \$1.00 per share. The Fund qualifies as a legal investment for the District under Iowa law.

For purposes of the statement of cash flows, all short-term cash investments that are highly liquid are considered to be cash equivalents. Cash equivalents are readily convertible to known amounts of cash and, at the date of purchase have a maturity date of no more than three months.

Iowa City Community School District

Notes to Basic Financial Statements

Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies (Continued)

Property tax and income surtax receivable: Property tax receivable is recognized on the levy or lien date, which is the date the tax asking is certified by the Board of Education.

Current year property tax receivable represents unpaid taxes related to April 2017 levy certification. Property taxes become due and collectible in September and March of the following fiscal year with a 1½ percent per month penalty for delinquent payments. This tax levy is based on January 1, 2016 assessed property valuations and is revenue for fiscal year ended June 30, 2018.

The succeeding year property tax receivable represents taxes certified by the Board of Education in April 2018. By statute, the District is required to certify its budget in April of each year for the subsequent fiscal year. The tax asking represents a lien which is effective on the first day of that calendar year. Although the succeeding year property tax receivable has been recorded, the related revenue is a deferred inflow of resources in both the government-wide and fund financial statements and will not be recognized as revenue until the year ended June 30, 2019, the year for which it is levied and budgeted for.

The income surtax receivable represents the fiscal year 2018 levy which will be collected by the District in fiscal year 2019. Although the income surtax receivable has been recorded as of June 30, 2018, the related revenue is a deferred inflow of resources in both the government-wide and fund financial statements and will not be recognized as revenue until the year ended June 30, 2019, the year for which it is levied and budgeted for.

Due from other governments: Due from other governments represent amounts due from the state of Iowa, other school districts, and other various grants, reimbursements and shared revenues.

	General	Capital Projects	Nonmajor Enterprise
Due from other governments:			
Federal	\$ 1,380,103	\$ -	\$ 21,693
State	229,238	-	-
Local option sales tax	-	1,103,259	-
Other	378,883	-	-
	<u>\$ 1,988,224</u>	<u>\$ 1,103,259</u>	<u>\$ 21,693</u>

Prepaid expenses: Prepaid expenses consist primarily of insurance costs paid for the succeeding year and are recorded as prepaid expenses in both government-wide and fund financial statements on the consumption method.

Inventories: Inventories of the enterprise fund consist of food. The inventories are valued on a first-in, first-out basis, with purchased inventory valued at the lower of cost or market and government-contributed commodities valued at the acquisition value as of the date received. Unused commodities at balance sheet date are reported as inventory.

Iowa City Community School District

Notes to Basic Financial Statements

Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies (Continued)

Capital assets: Capital assets, which include land, construction-in-progress, buildings, improvements, furniture, equipment and vehicles, are reported in the applicable governmental or business-type activities columns in the government-wide statement of net position and the proprietary fund statement of net position. Capital assets are recorded at historical cost. Donated capital assets are recorded at estimated acquisition value at the date of donation. The costs of normal maintenance and repairs that do not add to the value of the asset or materially extend asset lives are not capitalized. Capital assets are defined by the District as assets with an initial, individual cost in excess of the following thresholds and estimated useful lives in excess of one year.

	<u>Threshold</u>
Description:	
Buildings and improvements other than buildings	\$ 2,500
Furniture and equipment:	
School Nutrition Fund equipment	500
Other furniture and equipment	2,500
Vehicles	2,500

Capital assets are depreciated using the straight-line method of depreciation over the following estimated useful lives:

	<u>Estimated Lives</u>
Description:	
Buildings	50 years
Improvements other than buildings	20 years
Furniture and equipment:	
School Nutrition Fund equipment	12 years
Other furniture and equipment	5 years
Vehicles:	
School Nutrition Fund vehicles	5 years
Other vehicles	7 years

The District's collection of library books and other similar assets are not capitalized. These collections are unencumbered, held for public exhibition and education, protected, cared for and preserved and subject to District policy that requires proceeds from the sale of these items, if any, to be used to acquire other collection items.

Deferred outflows of resources: Deferred outflows of resources on the statement of net position represent a consumption of net position that applies to a future period(s) and will not be recognized as an outflow of resources (expense/expenditure) until then. Deferred outflows of resources consist of unrecognized items not yet charged to pension expense, pension contributions from the District after the measurement date but before the end of the District's reporting period.

Iowa City Community School District

Notes to Basic Financial Statements

Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies (Continued)

Salaries and benefits payable: Payroll and related expenditures for teachers with annual contracts corresponding to the current school year, which are payable in July and August, have been accrued as liabilities. Incurred but unpaid payroll expense for all employees as of June 30, 2018, has also been accrued as a liability as of June 30, 2018.

Unearned revenue: Unearned revenue consists of grant awards received but unearned by the fulfillment of an eligibility provision and cash received in the School Nutrition Fund for meals to be provided for fiscal year 2019.

Deferred inflows of resources: Deferred inflows of resources represent an acquisition of net position that applies to a future period(s) and will not be recognized as an inflow of resources (revenue) until that time. Although certain revenues are measurable, they are not available. Available means collected within the current year or expected to be collected soon enough thereafter to be used to pay liabilities of the current year. Deferred inflows of resources in the governmental fund financial statements represent the amount of assets that have been recognized, but the related revenue has not been recognized since the assets are not collected within the current year or expected to be collected soon enough thereafter to be used to pay liabilities of the current year. The governmental funds report unavailable revenues from three sources: property taxes, income surtaxes and intergovernmental revenue. The amounts related to intergovernmental revenue are deferred and recognized as an inflow of resources in the period that the amounts become available. In both the District's government-wide and governmental fund financial statements, property tax revenue and income surtaxes for the succeeding year are reported as a deferred inflow of resources and will become an inflow in the year they are levied and budgeted for. The District's statement of net position also includes unrecognized pension and OPEB related amounts as a deferred inflow.

Compensated absences: District employees with a contract of 200 days or more accumulate a limited amount of earned but unused vacation for subsequent use or for payment upon termination, death or retirement. A liability is recorded when incurred in the government-wide financial statements. A liability for these amounts is reported in governmental funds only for employees that have resigned or retired which is considered due. The compensated absences liability has been computed based on rates of pay in effect as of June 30, 2018. The compensated absences liability attributable to the governmental activities will be paid primarily by the General Fund.

Self-insurance: The District is self-insured for health and dental benefits. The District's premiums and claims are accounted for in the Internal Service Fund. Premiums are charged by the Internal Service Fund to operating funds based upon number of employees and selected coverage in each fund.

Long-term liabilities: In the governmental fund financial statements, principal and interest on long-term debt, early retirement payments, other postemployment benefits and compensated absences are recognized as liabilities only when payment has matured, or becomes due. The face amount of debt issued is reported as other financing sources. Premiums/discounts received on debt issuances are reported as other financing sources/uses. Principal payments and bond issuance costs are reported as debt service expenditures. In the government-wide financial statements, long-term debt and other long-term obligations are reported as liabilities in the governmental activities column in the statement of net position. As of June 30, 2018, the District did not have any long-term obligations related to its business-type activities. Bond premiums and deferred amounts on refunding are amortized over the life of the debt using a method which approximates the effective interest method. Bond issuance costs are recognized as an expense in the period they are incurred.

Iowa City Community School District

Notes to Basic Financial Statements

Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies (Continued)

Pensions: The net pension liability, deferred inflows and outflows of resources related to pensions, pension expense, information about the fiduciary net position of the Iowa Public Employees Retirement System (IPERS) and additions to/deductions from IPERS' fiduciary net position have been determined on the same basis as they are reported by IPERS. For this purpose, benefit payments (including refunds of employee contributions) are recognized when due and payable in accordance with the benefit terms. Investments are reported at fair value.

Total OPEB liability: For purposes of measuring the total other postemployment benefit (OPEB) liability, deferred inflows of resources related to OPEB and OPEB expense, information has been based on the actuary report. For this purpose, benefit payments are recognized when due and payable in accordance with the benefit terms. The total of OPEB liability will be paid primarily by the General Fund.

Fund balance: In the governmental fund financial statements, fund balances are classified as follows:

Nonspendable: Amounts which cannot be spent either because they are in a nonspendable form or because they are legally or contractually required to be maintained intact.

Restricted: Amounts restricted to specific purposes when constraints placed on the use of the resources are either externally imposed by creditors, grantors or state or federal laws or imposed by law through constitutional provisions or enabling legislation.

Committed: Amounts which can be used only for specific purposes pursuant to constraints formally imposed by the District's Board of Education through resolution approved prior to year-end. Those committed amounts cannot be used for any other purpose unless the Board of Education removes or changes the specified use by taking the same action it employed to commit those amounts through resolution.

Assigned: Amounts constrained by the District's intent to use them for a specific purpose. It is the District's policy that the authority to assign fund balance has been delegated by the District's Board of Education to the Chief Financial Officer through the budget process.

Unassigned: All amounts not included in other spendable classifications. The General Fund is the only fund that would report a positive amount in unassigned fund balance. Residual deficit amounts of other governmental funds would also be reported as unassigned.

When an expenditure is incurred in governmental funds which can be paid using either restricted or unrestricted resources, the District's policy is to pay the expenditure from restricted fund balance and then from less-restrictive classifications—committed, assigned and then unassigned fund balances.

Net position: Net position represents the difference between assets plus deferred outflows of resources and liabilities plus deferred inflows of resources. Net investment in capital assets consists of capital assets, net of accumulated depreciation, reduced by the outstanding balances of any borrowings used for the acquisition, construction or improvement of those assets and also excludes unspent debt proceeds. Unspent debt proceeds for sales tax revenue bonds are \$14,672,205 and for general obligation bonds are \$48,955,931 for governmental activities. Net position is reported as restricted when there are limitations imposed on their use either through the enabling legislation adopted by the District or through external restrictions imposed by creditors, grantors or laws or regulations of other governments. Net position restricted through enabling legislation consists of \$542,613 for capital improvements and equipment.

Iowa City Community School District

Notes to Basic Financial Statements

Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies (Continued)

The District first applies restricted resources when an expense is incurred for purposes for which both restricted and unrestricted net position are available.

Interfund activity: Exchange transactions between funds are reported as revenues in the seller funds and as expenditures/expenses in the purchaser funds. Flows of cash or goods from one fund to another without a requirement for repayment are reported as interfund transfers. Interfund transfers are reported as other financing sources/uses in governmental funds and after nonoperating revenues/expenses in proprietary funds.

Activity between funds that are representative of lending/borrowing arrangements at the end of the fiscal year are referred to as "due to/from other funds" in the fund financial statements. Any residual balances outstanding between the governmental activities and business-type activities are reported in the government-wide financial statements as "internal balances."

Estimates: The preparation of the financial statements in conformity with accounting principles generally accepted in the United States of America requires management to make estimates and assumptions that affect the amounts reported in the financial statements and accompanying notes. Actual results may differ from those estimates.

Budgets and budgetary control: As allowed by GASB Statement No. 41, *Budgetary Comparison Schedules—Perspective Differences*, the District presents budgetary comparison schedules as required supplementary information based on the program structure of functional areas as required by state statute for its legally adopted budget.

Note 2. Cash and Investments

Interest rate risk: As a means of limiting its exposure to fair value losses arising from rising interest rates, the District's investment policy requires operating funds to be invested in investments that mature within 397 days or less. When investing other than operating funds, the investments must mature according to the needs of the funds. Operating funds of the District are funds which are reasonably expected to be used during a current budget year or within 15 months of receipt.

Credit risk: The Board authorizes the District to invest funds in excess of current needs in interest-bearing savings, money market and checking accounts at the District's authorized depositories; the Iowa Schools Joint Investment Trust Program; obligations of the United States governments, its agencies and instrumentalities; and certificates of deposit and other evidences of deposit at federally insured Iowa depository institutions. The IPAS Education Money Market Fund is not rated. The Iowa Schools Joint Investment Trust is rated Aaa with Moody's Investor Services. The District's policy does not further limit the District's investments in relation to credit risk.

The IPAS Education Money Market Fund and Iowa Schools Joint Investment Trust are valued at an amortized cost based on the criteria set forth in GASB No. 79.

Iowa City Community School District

Notes to Basic Financial Statements

Note 2. Cash and Investments (Continued)

Concentration of credit risk: The District's general investment policy is to apply the prudent-person rule. In making investments, the District shall exercise the care, skill, prudence and diligence under the circumstances that a prudent person acting in a like capacity and familiar with such matters would use to meet the goals of the investment program.

The investments in Iowa Schools Joint Investment Trust and IPAS Education Money Market Fund are not subject to concentration of credit risk.

Custodial credit risk: For deposits, custodial credit risk is the risk that in the event of a bank failure, the government's deposits may not be returned to it. For an investment, custodial credit risk is the risk that in the event of the failure of the counterparty, the District will not be able to recover the value of its investments or collateral securities that are in the possession of an outside party.

It is the District's policy to require that time deposits in excess of FDIC insurable limits be secured by collateral or private insurance to protect public deposits in a single financial institution if it were to default. Chapter 12c of the Code of Iowa requires all District funds be deposited into an approved depository and be either insured or collateralized.

As of June 30, 2018, none of the District's deposit bank balance or investments were exposed to custodial credit risk. The District's deposits with financial institutions were entirely covered by federal depository insurance or insured by the state through pooled collateral, state sinking funds and by the state's ability to assess for lost funds. In addition, the District's investments were not insured but were held by the District or its Agent in the District's name.

A reconciliation of cash and investments as shown on the financial statements of the District follows:

Depository accounts	\$ 91,549,400
Iowa Schools Joint Investment Trust	3
IPAS Education Money Market Fund	36,842,020
Total cash, cash equivalents and investments	<u>\$ 128,391,423</u>
Government-wide statement of net position—unrestricted	\$ 122,300,459
Government-wide statement of net position—restricted	5,587,205
Statement of fiduciary net position	503,759
Total cash, cash equivalents and investments	<u>\$ 128,391,423</u>

Iowa City Community School District

Notes to Basic Financial Statements

Note 3. Interfund Receivables and Payables

Individual interfund receivable and payable balances as of June 30, 2018, are as follows:

Receivable Fund	Payable Fund	Amount
Major Fund, General Fund	Major Fund, Physical Plant and Equipment Levy Fund	\$ 22,643
Major Fund, General Fund	Major Fund, Capital Project Fund	37,603
Major Fund, General Fund	Nonmajor Fund, Student Activity Fund	31,783
Major Fund, General Fund	Nonmajor Internal Service Fund	700
Major Fund, General Fund	Nonmajor Enterprise Fund, School Nutrition Fund	411
Nonmajor Fund, Management Fund	Nonmajor Enterprise Fund, School Nutrition Fund	700
Nonmajor Enterprise Fund, School Nutrition Fund	Major Fund, General Fund	8,086
		<u>\$ 101,926</u>

Interfund balances result from the time lag between the dates that (1) interfund goods and services are provided or reimbursable expenditures occur, (2) transactions are recorded in the accounting system and (3) payments between funds are made.

Note 4. Interfund Transfers

Detail of interfund transfers for the year ended June 30, 2018, is as follows:

Transfer To	Transfer From	Amount
Major fund, Physical Plant and Equipment Levy	Major Fund, Capital Projects Fund	\$ 1,000,000
Nonmajor Governmental Funds:		
Special Revenue Fund, Student Activity	Major Fund, General Fund	200,000
Debt Service	Major Fund, Capital Projects Fund	11,046,050
Debt Service	Major Fund, Physical Plant and Equipment Levy	968,163
		<u>\$ 13,214,213</u>

Transfers are used to (1) move revenues from the fund that statute or budget requires to collect them to the fund that statute or budget requires to expend them and (2) use unrestricted revenues collected in the General Fund to finance various programs accounted for in other funds in accordance with budgetary authorization.

Iowa City Community School District

Notes to Basic Financial Statements

Note 5. Capital Assets

Capital assets activity for the year ended June 30, 2018, is as follows:

	Balance, Beginning of Year	Increases	Decreases	Balance, End of Year
Governmental Activities:				
Capital assets not being depreciated:				
Land	\$ 11,568,737	\$ 293,761	\$ -	\$ 11,862,498
Construction-in-progress	97,975,298	34,547,634	77,384,796	55,138,136
Total capital assets not being depreciated	109,544,035	34,841,395	77,384,796	67,000,634
Capital assets being depreciated:				
Buildings	240,406,468	84,299,272	-	324,705,740
Improvements other than buildings	23,414,338	2,356,849	-	25,771,187
Furniture, equipment and vehicles	22,110,289	3,535,568	-	25,645,857
Total capital assets being depreciated	285,931,095	90,191,689	-	376,122,784
Less accumulated depreciation for:				
Buildings	68,653,306	6,022,005	-	74,675,311
Improvements other than buildings	8,075,571	1,056,522	-	9,132,093
Furniture, equipment and vehicles	18,346,268	1,562,153	-	19,908,421
Total accumulated depreciation	95,075,145	8,640,680	-	103,715,825
Total capital assets being depreciated, net	190,855,950	81,551,009	-	272,406,959
Governmental activities capital assets, net	<u>\$ 300,399,985</u>	<u>\$ 116,392,404</u>	<u>\$ 77,384,796</u>	<u>\$ 339,407,593</u>
Business-Type Activities:				
Furniture, equipment and vehicles	\$ 1,624,261	\$ 104,536	\$ -	\$ 1,728,797
Less accumulated depreciation	1,111,032	74,194	-	1,185,226
Business-type activities capital assets, net	<u>\$ 513,229</u>	<u>\$ 30,342</u>	<u>\$ -</u>	<u>\$ 543,571</u>

Depreciation expense was charged by the District as follows:

Governmental activities:	
Instruction:	
Regular	\$ 5,486,599
Special	606,380
Other	749,034
Support services:	
Administration services	1,306,317
Operation and maintenance	457,289
	<u>8,605,619</u>
Unallocated depreciation, excluding direct depreciation	35,061
Total governmental activities depreciation expense	<u>\$ 8,640,680</u>
Business-type activities, nutritional services	<u>\$ 74,194</u>

Iowa City Community School District

Notes to Basic Financial Statements

Note 6. Long-Term Liabilities

Changes in long-term liabilities for the year ended June 30, 2018, are summarized as follows:

	Balance Beginning of Year	Additions	Reductions	Balance End of Year	Due Within One Year
Governmental activities:					
General obligation bonds	\$ 3,205,000	\$ 58,955,000	\$ 3,205,000	\$ 58,955,000	\$ 10,505,000
Capital loan notes	7,015,000	-	825,000	6,190,000	835,000
Premium on general obligation bonds	165,969	3,491,252	272,359	3,384,862	-
Discount on general obligation bonds	-	(73,328)	-	(73,328)	-
Sales tax revenue bonds	73,960,000	30,285,000	6,465,000	97,780,000	7,510,000
Premium on sales tax revenue bonds	3,682,502	-	564,107	3,118,395	-
Capital lease	1,500,000	-	384,607	1,115,393	362,478
Early retirement	1,439,865	2,366,466	1,439,865	2,366,466	2,366,466
Other postemployment benefits	8,168,812	901,507	-	9,070,319	-
Net pension liability	82,149,169	6,623,945	-	88,773,114	-
Compensated absences	849,384	900,429	890,812	859,001	859,001
Total	<u>\$ 182,135,701</u>	<u>\$ 103,450,271</u>	<u>\$ 14,046,750</u>	<u>\$ 271,539,222</u>	<u>\$ 22,437,945</u>
Business-type activities, net pension liability	<u>\$ 1,612,907</u>	<u>\$ 135,183</u>	<u>\$ -</u>	<u>\$ 1,748,090</u>	<u>\$ -</u>

Early retirement: The District provided early retirement incentives for certain employees who met certain qualifications as established by the Board of Education. The cost of the incentives is borne by the District in whole. Eligible participants cannot, and do not, contribute to the incentive program.

Early retirement participation is based on the following criteria:

1. It is available to employees who are at least 55 years of age. The Board of Directors reserves the right to limit the number of early retirements.
2. The employee has completed at least ten (10) years of service to the District and has been actively employed during the school year that they request early retirement benefits.
3. The employee must be eligible for the receipt of IPERS retirement benefits or allowance pursuant to Chapter 97B of the Code of Iowa.
4. The employee submits a written notification of their intent to apply for early retirement benefits prior to March 1 in the year the early retirement is to begin.
5. The benefits offered to District employees shall be a District contribution to a Special Pay Deferral Plan (SPDP) of 50 – 60 percent of current year's base salary depending on years of service and calculated on the average full time equivalence (FTE) during the years of service.

During the year ended June 30, 2018, 46 District employees requested early retirement, to be payable during the year ending June 30, 2019. The benefits to be paid to these employees will be made in October 2018 and January 2019 and the total of \$2,366,466 are generally liquidated from the Management Fund. During the year ended June 30, 2018, the District paid \$1,428,917 of early retirement benefits approved during the year ended June 30, 2017 from the Management Fund. In addition, \$10,948 was paid by the Health Self Insurance Internal Service Fund for early retirees insurance benefits that were provided under the early retirement incentives prior to 2009.

Iowa City Community School District

Notes to Basic Financial Statements

Note 6. Long-Term Liabilities (Continued)

Compensated absences: Compensated absences are generally liquidated by the General Fund. The District's liability for compensated absences is expected to be utilized or paid out within one year.

Bonds payable: Details of the District's general obligation bond, general obligation notes and revenue bonds indebtedness as of June 30, 2018 are as follows:

On November 29, 2017, the District issued \$58,955,000 in General Obligation Bonds, Series 2017C maturing June 1, 2019 through June 2037 with an interest rate of 3.25 to 5 percent to finance the remaining projects of the District's facility master plan.

General Obligation Bonds - Series 2017C				
Years ending June 30,	Interest		Principal	Interest
	Rates			
2019	5.000%	\$	10,505,000	\$ 2,289,580
2020	5.000		1,855,000	1,764,330
2021	5.000		1,945,000	1,671,580
2022	5.000		2,040,000	1,574,330
2023	5.000		2,145,000	1,472,330
2024	5.000		2,250,000	1,365,080
2025	5.000		2,365,000	1,252,580
2026	5.000		2,485,000	1,134,330
2027	4.000		2,605,000	1,010,080
2028	2.500		2,710,000	905,880
2029	2.500		2,780,000	838,130
2030	2.750		2,850,000	768,630
2031	2.900		2,925,000	690,255
2032	2.950		3,010,000	605,430
2033	3.000		3,100,000	516,635
2034	3.050		3,195,000	423,635
2035	3.150		3,290,000	326,188
2036	3.200		3,395,000	222,553
2037	3.250		3,505,000	113,916
		\$	58,955,000	\$ 18,945,472

Iowa City Community School District

Notes to Basic Financial Statements

Note 6. Long-Term Liabilities (Continued)

On December 3, 2014, the District issued \$9,430,000 in General Obligation School Capital Loan Notes, Series, 2014, maturing June 1, 2015 through June 1, 2025 with a interest rates of 2.00—2.25 percent to provide funds to purchase, construct, equip and relocate the One Vision Transitional Schoolhouse; remodel, improve, furnish, and equip Van Allen Elementary; install air-conditioning in and renovate Hoover Elementary; remodel, improve, furnish, and equip Hills Elementary, Weber Elementary and Coralville Central Elementary; Phase I renovation of City High School; and construct, build, furnish and equip East (Hoover) Elementary School. The Notes are general obligations of the District to be paid from a continuing annual levy upon all of the taxable valuation not to exceed one dollar thirty-four cents (\$1.34) per one thousand dollars (\$1,000).

Capital Loan Notes, Series 2014				
Years ending June 30,	Interest		Principal	Interest
	Rates			
2019	2.00	\$	835,000	\$ 126,163
2020	2.00		845,000	109,463
2021	2.00		865,000	92,562
2022	2.00		880,000	75,262
2023	2.00		900,000	57,662
2024	2.00		920,000	39,662
2025	2.25		945,000	21,262
		\$	6,190,000	\$ 522,036

On August 25, 2015, the District issued \$60,030,000 in Sales Tax Revenue Bonds, maturing June 1, 2016 through June 1, 2029 with interest rates of 3.00—5.00 percent to provide funds to build, furnish and equip a new high school building; to build, furnish, and equip addition(s) to existing school buildings in the District; to remodel, repair, expand and improve existing school buildings in the District. The Bonds are not general obligations of the District. The Bonds are payable solely from the proceeds of the Bonds and tax revenues received by the District under the tax.

Sales Tax Revenue Bonds, Series 2015				
Years ending June 30,	Interest		Principal	Interest
	Rates			
2019	5.00	\$	3,540,000	\$ 2,044,955
2020	5.00		3,715,000	1,867,955
2021	5.00		3,900,000	1,682,205
2022	5.00		4,100,000	1,487,205
2023	5.00		4,300,000	1,282,205
2024	5.00		4,515,000	1,067,205
2025	3.00		4,745,000	841,455
2026	3.25		4,885,000	699,105
2027	3.50		5,045,000	540,343
2028	3.50		5,220,000	363,768
2029	3.35		5,405,000	181,067
		\$	49,370,000	\$ 12,057,468

Iowa City Community School District

Notes to Basic Financial Statements

Note 6. Long-Term Liabilities (Continued)

On December 22, 2016, the District issued \$10,000,000 in Sales Tax Revenue Bonds, maturing June 1, 2018 through June 1, 2029 with interest rates of 2.25 percent to provide funds to construct, build, furnish and equip a new elementary building and construct a road to the building and to remodel, repair, improve, renovate, furnish and equip existing school buildings in the District. The Bonds are payable solely from the proceeds of the Bonds and tax revenues received by the District under the tax.

Sales Tax Revenue Bonds, Series 2016			
Years ending June 30,	Interest	Principal	Interest
	Rates		
2019	2.25	\$ 755,000	\$ 208,350
2020	2.25	775,000	191,363
2021	2.25	790,000	173,925
2022	2.25	805,000	156,150
2023	2.25	825,000	138,037
2024	2.25	840,000	119,475
2025	2.25	855,000	100,575
2026	2.25	875,000	81,338
2027	2.25	895,000	61,650
2028	2.25	915,000	41,512
2029	2.25	930,000	20,925
		<u>\$ 9,260,000</u>	<u>\$ 1,293,300</u>

On January 19, 2017, the District issued \$11,185,000 in Sales Tax Revenue Bonds, maturing June 1, 2018 through June 1, 2029 with interest rates of 2.56 percent to provide funds to construct, build, furnish and equip a new elementary building and construct a road to the building and to remodel, repair, improve, renovate, furnish and equip existing school buildings in the District. The Bonds are payable solely from the proceeds of the Bonds and tax revenues received by the District under the tax.

Sales Tax Revenue Bonds, Series 2017			
Years ending June 30,	Interest	Principal	Interest
	Rates		
2019	2.56	\$ 845,000	\$ 265,088
2020	2.56	865,000	243,456
2021	2.56	885,000	221,312
2022	2.56	900,000	198,656
2023	2.56	920,000	175,616
2024	2.56	940,000	152,064
2025	2.56	960,000	128,000
2026	2.56	980,000	103,424
2027	2.56	1,000,000	78,336
2028	2.56	1,020,000	52,736
2029	2.56	1,040,000	26,624
		<u>\$ 10,355,000</u>	<u>\$ 1,645,312</u>

Iowa City Community School District

Notes to Basic Financial Statements

Note 6. Long-Term Liabilities (Continued)

On August 2, 2017, the District issued \$21,200,000 in Sales Tax Revenue Bonds, maturing June 1, 2018 through June 1, 2029 with interest rates of 2.38 percent to provide funds to construct, build furnish and equip a new elementary building and construct a road to the building and to remodel, repair, improve, renovate, furnish and equip existing school buildings in the District. The Bonds are payable solely from the proceeds of the Bonds and tax revenues received by the District under the tax law.

Sales Tax Revenue Bonds, Series 2018			
Years ending June 30,	Interest	Principal	Interest
	Rates		
2019	2.380%	\$ 1,535,000	\$ 469,098
2020	2.380	1,580,000	432,565
2021	2.380	1,630,000	394,961
2022	2.380	1,680,000	356,167
2023	2.380	1,730,000	316,183
2024	2.380	1,785,000	275,009
2025	2.380	1,840,000	232,526
2026	2.380	1,895,000	188,734
2027	2.380	1,950,000	143,633
2028	2.380	2,010,000	97,223
2029	2.380	2,075,000	49,385
		<u>\$ 19,710,000</u>	<u>\$ 2,955,484</u>

On June 26, 2018, the District issued \$9,085,000 in Sales Tax Revenue Bonds, maturing June 1, 2019 through June 1, 2020 with interest rates of 3.30 percent to remodel, repair, improve, renovate, furnish and equip existing school buildings in the District. The Bonds are payable solely from the proceeds of the Bonds and tax revenues received by the District under the tax law.

Sales Tax Revenue Bonds, Series 2019			
Years ending June 30,	Interest	Principal	Interest
	Rates		
2019	3.300%	\$ 835,000	\$ 278,985
2020	3.300	840,000	272,250
2021	3.300	860,000	244,530
2022	3.300	740,000	216,150
2023	3.300	750,000	191,730
2024	3.300	775,000	166,980
2025	3.300	800,000	141,405
2026	3.300	830,000	115,005
2027	3.300	855,000	87,615
2028	3.300	885,000	59,400
2029	3.300	915,000	30,195
		<u>\$ 9,085,000</u>	<u>\$ 1,804,245</u>

Iowa City Community School District

Notes to Basic Financial Statements

Note 6. Long-Term Liabilities (Continued)

The District has pledged a portion of future sales tax revenues to repay \$60,030,000 in sales tax increment bonds issued in August 2015, \$10,000,000 in sales tax revenue bonds issued December 2016 and \$11,185,000 in sales tax revenue bonds issued January 2017, \$21,200,000 in sales tax revenue bonds issued August 2017 and \$9,085,000 in sales tax revenue bonds issued June 2018. The bonds are payable solely from the sales taxes received by the District. Total principal and interest remaining on the bonds is \$117,535,809, payable through 2029. For the current year, principal and interest paid and total incremental sales tax revenues were \$9,576,556 and \$13,165,538, respectively.

Capital lease: The District has entered into a lease agreement as lessee for financing the acquisition of computer equipment. This agreement qualifies as a capital lease for accounting purposes and therefore, has been recorded at the present value of the future minimum lease payments as of the inception date.

The net book value of assets under capital lease are as follows:

Computer equipment	<u><u>\$ 1,018,250</u></u>
--------------------	----------------------------

The future minimum lease obligations and the net present value of these minimum lease payments as of June 30, 2018, were as follows:

Years ending June 30:	
2019	\$ 390,913
2020	390,913
2021	<u>390,913</u>
Total minimum lease payments	1,172,739
Less amount representing interest	<u>(57,346)</u>
Present value of minimum lease payments	<u><u>\$ 1,115,393</u></u>

As of June 30, 2018, the District did not exceed its legal debt margin computed as follows:

Total assessed valuation	<u><u>\$ 9,758,583,755</u></u>
Debt limit, 5% of total assessed valuation	\$ 487,929,188
Amount of debt applicable to debt limitation, general obligation bonds and capital loan notes	<u>65,145,000</u>
Excess of debt limit over debt outstanding, legal debt margin	<u><u>\$ 422,784,188</u></u>

Iowa City Community School District

Notes to Basic Financial Statements

Note 7. Pension and Retirement Benefits

Plan description: Employees of the District are provided with pensions through the Iowa Public Employees Retirement System (IPERS)—a cost-sharing multiple-employer defined benefit pension plan administered by the State of Iowa. IPERS provides retirement and death benefits which are established by State statute to plan members and beneficiaries. IPERS issues a publicly available financial report that includes financial statements and required supplementary information. The report may be obtained by writing to IPERS, P.O. Box 9117, Des Moines, Iowa 50306-9117.

Benefits provided: IPERS provides retirement, disability and death benefits. Retirement benefits are determined based on the employee's highest five-year average salary and a multiplier based on the years of service. Employees are eligible for full retirement at age 65; at age 62 with at least 20 years of covered employment or when the years of service plus the employee's age equals or exceeds 88. Four years of service is required for nonservice-related disability eligibility. Disability benefits are determined in the same manner as retirement benefits but are payable immediately without an actuarial reduction. Death benefits are calculated based on the actuarial present value of the employee's accrued benefit at the time of death or a calculation based on the employee's contributions, highest covered annual wage and years of service.

Contributions: Per Iowa Code Section 97B.4(4)(d) the required contribution rate is determined by the IPERS actuary as the rate necessary to fully fund the benefits as defined by Iowa Code Chapter 97B. Employees are required to contribute 5.95 percent of their annual pay. The District contractually required contribution rate for the year ended June 30, 2018, was 8.93 percent of annual payroll, actuarially determined as an amount that, when combined with employee contributions, is expected to finance the costs of benefits earned by employees during the year, with an additional amount to finance any unfunded accrued liability. Contributions to the pension plan from the District were \$9,734,619 for the year ended June 30, 2018.

Pension Liabilities, Pension Expense, and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions: At June 30, 2018, the District reported a liability of \$90,521,204 for its proportionate share of the net pension liability. The net pension liability was measured as of June 30, 2017, and the total pension liability used to calculate the net pension liability was determined by an actuarial valuation as of that date. The District's proportion of the net pension liability was based on a projection of the District's long-term share of contributions to the pension plan relative to the projected contributions of all participating governments, actuarially determined. At June 30, 2017, the District's proportion was 1.3711 percent an increase of 0.0402 percent from its proportion measured as of June 30, 2016. Net pension liability attributable to governmental activities are generally liquidated by the general fund and management fund.

Iowa City Community School District

Notes to Basic Financial Statements

Note 7. Pension and Retirement Benefits (Continued)

For the year ended June 30, 2018, the District recognized pension expense of \$3,764,053. At June 30, 2018, the District reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	\$ 831,071	\$ (784,297)
Changes of assumptions	15,728,411	-
Net difference between projected and actual earnings on pension plan investments	-	(945,462)
Changes in proportion and differences between District contributions and proportionate share of contributions	3,168,698	(370,508)
Total deferred amounts to be recognized in pension expense in future periods	19,728,180	(2,100,267)
District contributions subsequent to measurement date	9,734,619	-
Total	\$ 29,462,799	\$ (2,100,267)

Deferred pension outflows totaling \$9,734,619 resulting from the District contributions subsequent to the measurement date, will be recognized as a reduction of the net pension liability in the year ended June 30, 2019. The deferred outflows and deferred inflows resulting from the difference between projected and actual earnings on pension plan investments will be recognized as a reduction of pension expense over five years. The deferred outflows resulting from differences between expected and actual experience, the deferred outflows resulting from changes of assumptions and the deferred outflows and deferred inflows resulting from changes in proportion and differences between District contributions and proportionate share of contributions will be recognized in pension expense using the average expected remaining service lives of all IPERS members. The average is determined by taking the calculated total future service years of the Plan divided by the number of the people in the Plan including retirees. Deferred outflows of resources and deferred inflows of resources will be recognized in pension expense as follows:

Years ending June 30:	
2019	\$ 3,329,652
2020	7,605,413
2021	4,683,546
2022	854,440
2023	1,154,862
	<u>\$ 17,627,913</u>

Iowa City Community School District

Notes to Basic Financial Statements

Note 7. Pension and Retirement Benefits (Continued)

Actuarial assumptions: The total pension liability in the June 30, 2017 actuarial valuation was determined using the following actuarial assumptions, applied to all periods included in the measurement:

Rate of inflation (effective June 30, 2017)	2.60 percent per annum
Rates of salary increases (effective June 30, 2017)	3.25 to 16.25 percent, average, including inflation. Rates vary by membership group.
Long-term effective investment rate of return (effective June 30, 2017)	7.00 percent, compounded annually, net of investment expense, including inflation.
Wage growth (effective June 30, 2017)	3.25 percent, per annum, based on 2.60 percent inflation and 0.65 percent real wage inflation.

Mortality rates were based on the RP-2000 Mortality Table for Males or Females, as appropriate, with adjustments for mortality improvements based on Scale AA.

The actuarial assumptions used in the June 30, 2017 valuation were based on the results of an actuarial experience study for the four-year period ending March 24, 2017.

The long-term expected rate of return on pension plan investments was determined using a building-block method in which best-estimate ranges of expected future real rates of return (expected returns, net of pension plan investment expense and inflation) are developed for each major asset class. These ranges are combined to produce the long-term expected rate of return by weighting the expected future real rates of return by the target asset allocation percentage and by adding expected inflation. The target allocation and best estimates of arithmetic real rates of return for each major asset class are summarized in the following table:

Asset Class	Asset Allocation	Long-Term Expected Real Rate of Return
Core-plus fixed income	27.0%	2.25%
Domestic equity	24.0	6.25
International equity	16.0	6.71
Private equity	11.0	11.15
Private real assets	7.5	4.18
Public real assets	7.0	3.27
Public credit	3.5	3.46
Private credit	3.0	4.25
Cash	1.0	(0.31)
	<u>100.0%</u>	

Iowa City Community School District

Notes to Basic Financial Statements

Note 7. Pension and Retirement Benefits (Continued)

Discount rate: The discount rate used to measure the total pension liability was 7.00 percent. The projection of cash flows used to determine the discount rate assumed that employee contributions will be made at the current contribution rate and that contributions from the District will be made at contractually required rates, actuarially determined. Based on those assumptions, the pension plan's fiduciary net position was projected to be available to make all projected future benefit payments of current active and inactive employees. Therefore, the long-term expected rate of return on pension plan investments was applied to all periods of projected benefit payments to determine the total pension liability.

Sensitivity of the District's proportionate share of the net pension liability to changes in the discount rate: The following presents the District's proportionate share of the net pension liability calculated using the discount rate of 7.00 percent, as well as what the District's proportionate share of the net pension liability would be if it were calculated using a discount rate that is 1-percentage-point lower (6.00 percent) or 1-percentage-point higher (8.00 percent) than the current rate:

	1% Decrease (6.00%)	Discount Rate (7.00%)	1% Increase (8.00%)
District's proportionate share of the net pension liability	\$ 149,142,628	\$ 90,521,204	\$ 41,267,944

Pension plan fiduciary net position: Detailed information about the pension plan's fiduciary net position is available in the separately issued IPERS financial report; which can be located at www.ipers.org.

Payables to the pension plan: At June 30, 2018, the District reported payables to the defined benefit pension plan of \$1,940,669 for legally required employer contributions and legally required employee contributions which had been withheld from employee wages but not yet remitted to IPERS.

Note 8. Risk Management

The Iowa City Community School District is exposed to various risks of loss related to torts, theft, damage to and destruction of assets, errors and omissions, injuries to employees and natural disasters.

Workers' Compensation, Property, General Liability and Other Insurance: The District is a member of the Iowa Public School Insurance Program (IPSIP), a public entity risk pool formed in July of 2012 between certain Iowa school districts, created in accordance with Chapter 28E of the Code of Iowa. The purpose of IPSIP is to jointly provide or obtain casualty, property, employer liability, general liability, risk management, professional liability, group coverage and other protections so as to effectively manage and contain costs for insurance coverage and related administration. IPSIP has 26 members as of July 1, 2018. IPSIP is governed by an eleven-member board of directors elected by the members of IPSIP. The District has no direct control over budgeting, financing, the governing body or management selection.

Iowa City Community School District

Notes to Basic Financial Statements

Note 8. Risk Management (Continued)

IPSIP is not intended to function as an insurance company for the participants; rather, it is a means of combining the administration of claims and of obtaining lower insurance rates through the creation of a self-insurance pool and through the purchase of commercial insurance. The District's participation in IPSIP represents a risk-sharing pool as defined by GASB Statement No. 10 in which the District pools its risks and funds with other members and shares in the cost of losses. The District is required to make annual payments, which are determined by IPSIP, based upon its direct proportion to the pro rata share of insurance costs for coverage administered by IPSIP. IPSIP may require the participating Districts to make supplemental payments if the funds on hand are insufficient to pay expenses of the administration of IPSIP. The District was not required to make any supplemental payments to IPSIP in fiscal years 2018 or 2017. Payments to IPSIP by the District in order to maintain adequate insurance coverage in fiscal year 2018 was \$1,325,364.

Employee Health Insurance: During the year ended June 30, 2018, employees of the District were covered by the District's health and dental self-insurance plan. The contributions made by the District are part of the negotiated agreements with specific employee groups. Employees authorize payroll withholdings to pay contributions for dependents or increased coverage. Claims were paid by a third-party administrator acting on behalf of the District. The plans are authorized by Chapter 509A of the Code of Iowa.

The administrative contract between the District and the third-party administrator is renewable annually and administrative fees and stop loss premiums are included in the contractual provisions. In accordance with state statute, the District was protected against unanticipated catastrophic individual or aggregate loss by stop loss coverage from a private insurance company. Stop loss coverage was in effect for individual claims that exceeded \$250,000 and for an aggregate amount of 125 percent of expected claims.

All claim handling procedures are performed by an independent claims administrator. Liabilities are recognized when it is probable that a loss has occurred and the amount of the loss can be reasonably estimated. Recognized liabilities include a provision for all estimated claims incurred but not reported. Changes in the medical claims liability amounts for the years ended June 30, 2018 and 2017 were as follows:

Self-Insurance Liability	Beginning	Claims and Changes in Estimates	Claims Payments	Ending
Health:				
2018	\$ 2,206,033	\$ 13,830,976	\$ 13,604,536	\$ 2,432,473
2017	2,464,078	12,392,412	12,650,457	2,206,033

Note 9. Area Education Agency

The District is required by the Code of Iowa to budget for its share of media, educational services and special education services provided through the Area Education Agency. The District's actual amount for this purpose totaled \$6,162,191 for the year ended June 30, 2018. The District's actual constructive revenue and constructive expenses are included in the General Fund.

Iowa City Community School District

Notes to Basic Financial Statements

Note 10. Commitments

As of June 30, 2018, the District had outstanding construction commitments totaling approximately \$53,392,786, which will be paid with bond proceeds, property taxes and sales taxes.

Note 11. Nonvested Employee Benefits

District employees accumulate sick leave hours for subsequent use and can be carried over in limited amounts for use in future years. The contingent liability for this sick leave is approximately \$32,665,000 as of June 30, 2018. This liability does not vest and is not included as a liability in the statement of net position. This contingent liability has been computed based on rates of pay as of June 30, 2018.

Note 12. Lease Commitments

The District leases warehouse space as of June 30, 2018. Rental expense during the year ended June 30, 2018 was \$204,175.

Lease commitments as of June 30, 2018, for these leases are as follows:

Years ending June 30:

2019	\$ 171,336
2020	171,336
2021	57,112
	<u>\$ 399,784</u>

Note 13. Contingencies

As of June 30, 2018, the District is involved in various claims and lawsuits against the District that arise in the normal course of operations, which are covered by insurance. The outcome and eventual liability of the District, if any, from these claims and any unasserted claims is not known at this time; however, management does not believe they will be material to the basic financial statements.

Note 14. Jointly Governed Organization

The District is a member of a cooperative agreement with the City of Coralville, Iowa organized under 28E of the Code of Iowa to provide for the operation of a joint swimming pool facility. The mayor of the City of Coralville, Iowa is designated as the administrator of the agreement. Under the agreement, the District is responsible for 30 percent of the City's costs and expenses in operating and maintaining the facility payable monthly throughout the year. For the fiscal year 2018, monthly payments were approximately \$7,951 per month, which were paid from the Physical Plant and Equipment Levy Fund.

Iowa City Community School District

Notes to Basic Financial Statements

Note 15. Other Postemployment Benefits (OPEB)

As a result of the adoption of GASB Statement No. 75, the beginning net position of the governmental activities was restated. The Statement replaces the requirements of GASB Statement No. 45, *Accounting and Financial Reporting by Employers for Postemployment Benefits Other Than Pensions*. The net OPEB obligation recorded in accordance with GASB Statement No. 45 was removed and the total OPEB liability was recorded in accordance with GASB Statement No. 75. The effect on the beginning net position is as follows:

	Governmental Activities
Net position July 1, 2017, as previously reported	\$ 198,049,450
OPEB liability	(8,168,812)
Removal of net OPEB obligation	3,121,000
Net position June 30, 2017, as restated	<u>\$ 193,001,638</u>

Plan description: The District's defined benefit OPEB plan, a single health care plan provides OPEB for all active and retired employees and their eligible dependents. The plan is administered by the District and the District has the authority to establish or amend the plan provisions or contribution requirements. No assets are accumulated in a trust that meets the criteria in paragraph 4 of Statement 75. The plan does not issue a stand-alone financial report.

Benefits provided: As required under Iowa Code Chapter 509A-3, the District provides postemployment health benefits. Health benefits include medical, prescription drug and dental. The benefits are provided until the participant is Medicare eligible, are self-insured by the District and administered through First Administrators, Inc.

Contributions: All participants of the postemployment medical, dental and prescription drug plan are required to contribute an amount equal to the premium equivalent. Since the premium equivalent is developed from the claims experience of active employee and retiree lives, an implicit subsidy is provided to retirees and their spouses. The implicit subsidy results from a lower premium equivalent to what a retiree would otherwise pay had the claims experience been based just on retiree health claims. The full active/retire premiums as of July 1, 2018 are as follows:

Rate Tier	Medical	Dental
Retiree only	\$ 675	\$ 32
Retiree and family	1,400	97

Employees covered by benefit terms: At June 30, 2018, the following employees were covered by the benefit terms:

Inactive employees currently receiving benefits	60
Active employees	<u>2,003</u>
	<u>2,063</u>

Iowa City Community School District

Notes to Basic Financial Statements

Note 15. Other Postemployment Benefits (OPEB)

Total OPEB Liability

The District's total OPEB liability of \$9,070,319 was measured as of June 30, 2018, and was determined by an actuarial valuation as of that date.

Actuarial methods and assumptions:

The total OPEB liability in the June 30, 2018 actuarial valuation was determined using the following actuarial assumptions and other inputs, applied to all periods included in the measurement, unless otherwise specified:

Inflation	3.0%
Salary increases	3.5%
Discount rate	3.87%
Health care cost trend rates	7.0% for 2018 decreasing by 0.50% per year to an ultimate rate of 4.5%
Mortality rates	RP-2014 generational table using MP-17 and applied on a gender-specific basis

The discount rate was based on a 20-year tax-exempt municipal bond yield.

The actuarial assumptions used in the June 30, 2018 valuation were based on the results of an actuarial experience study for the period using 24 months of historical claim experience through March 2018.

Changes in the Total OPEB Liability

	Total OPEB Liability
Balance as of June 30, 2017	<u>\$ 8,168,812</u>
Changes for the year:	
Service cost	1,066,666
Interest	352,150
Changes in assumptions or other inputs	(245,309)
Contributions and payments made	<u>(272,000)</u>
Net changes	901,507
Balance as of June 30, 2018	<u><u>\$ 9,070,319</u></u>

Iowa City Community School District

Notes to Basic Financial Statements

Note 15. Other Postemployment Benefits (OPEB)

Sensitivity of the total OPEB liability to changes in the discount rate: The following presents the total OPEB liability of the District, as well as what the District's approximate total OPEB liability would be if it were calculated using a discount rate that is 1-percentage-point lower (2.87 percent) or 1-percentage-point higher (4.87 percent) than the current discount rate:

	1% Decrease 2.87%	Discount Rate 3.87%	1% Increase 4.87%
Total OPEB liability	\$ 8,262,466	\$ 9,070,319	\$ 9,928,395

Sensitivity of the total OPEB liability to changes in the healthcare cost trend rates: The following presents the total OPEB liability of the District, as well as what the District's total OPEB liability would be if it were calculated using healthcare cost trend rates that are 1-percentage-point lower (6 percent decreasing to 3.5 percent) or 1-percentage-point higher (8 percent decreasing to 5.5 percent) than the current health care cost trend rates:

	(6.00% Decreasing to 3.50%)	Health Care Cost Trend Rates (7.00% Decreasing to 4.50%)	(8.00% Decreasing to 5.50%)
Total OPEB liability	\$ 7,273,153	\$ 9,070,319	\$ 9,928,395

OPEB Expense and deferred outflows of resources and deferred inflows of resources related to OPEB: For the year ended June 30, 2018, the District recognized OPEB expense of \$1,128,844. At June 30, 2018, the District reported deferred outflows of resources and deferred inflows of resources related to OPEB from the following source:

	Deferred Inflow of Resources
Changes of assumptions or other inputs	\$ (227,337)

Iowa City Community School District

Notes to Basic Financial Statements

Note 15. Other Postemployment Benefits (OPEB)

Amounts reported as the deferred inflows of resources related to OPEB will be recognized in OPEB expense over the average future service to retirement of plan participants as follows:

Years ending June 30:

2019	\$ 17,972
2020	17,972
2021	17,972
2022	17,972
2023	17,972
Thereafter	137,477
	<u>\$ 227,337</u>

Note 16. Fund Balances

GASB Statement No. 54, *Fund Balance Reporting and Governmental Fund Type Definitions*, establishes criteria for classifying fund balances into specifically defined classifications. The details for the District's fund balances are as follows:

Fund Balances:	General	Physical Plant and Equipment Levy	Capital Projects	Debt Service	General Obligation Bonds	Nonmajor Governmental	Total
Nonspendable, prepaids	\$ 1,395,556	\$ 54,619	\$ 83,073	\$ -	\$ -	\$ -	\$ 1,533,248
Restricted:							
Categorical funding:							
Gifted and talented program	91,224	-	-	-	-	-	91,224
Home school assistance program	246,632	-	-	-	-	-	246,632
Supplemental weighting	149,055	-	-	-	-	-	149,055
Drop out prevention	209,391	-	-	-	-	-	209,391
State preschool	51,715	-	-	-	-	-	51,715
Beginning Teacher	25,058	-	-	-	-	-	25,058
Teacher salary supplement	367,876	-	-	-	-	-	367,876
Teacher quality market factor	17,147	-	-	-	-	-	17,147
State class size reduction	45,000	-	-	-	-	-	45,000
Rec Ed programs	126	-	-	-	-	-	126
State mentoring	14,140	-	-	-	-	-	14,140
Early Literacy	99,448	-	-	-	-	-	99,448
Teacher quality-core curriculum	163,535	-	-	-	-	-	163,535
Teacher leadership program	600,729	-	-	-	-	-	600,729
Teacher quality	378,426	-	-	-	-	-	378,426
Teacher quality market factor 2008	6,245	-	-	-	-	-	6,245
Other	12,552	-	-	-	-	-	12,552
Debt service	-	-	5,587,205	415,365	-	-	6,002,570
Management levy purposes	-	-	-	-	-	3,287,919	3,287,919
Student activities	-	-	-	-	-	436,405	436,405
Capital improvements and equipment	-	542,613	4,167,185	-	50,146,818	-	54,856,616
Total restricted	2,478,299	542,613	9,754,390	415,365	50,146,818	3,724,324	67,061,809
Unassigned	17,237,568	-	-	-	-	-	17,237,568
Total fund balances	\$ 21,111,423	\$ 597,232	\$ 9,837,463	\$ 415,365	\$ 50,146,818	\$ 3,724,324	\$ 85,832,625

Iowa City Community School District

Notes to Basic Financial Statements

Note 17. Tax Abatements

GASB Statement No. 77 defines tax abatements as a reduction in tax revenues that results from an agreement between one or more governments and an individual or entity in which (a) one or more governments promise to forgo tax revenues to which they are otherwise entitled and (b) the individual or entity promises to take a specific action, after the agreement that has been entered into, that contributes to economic development or otherwise benefits the governments or the citizens of those governments.

Property tax revenues of the District were reduced by the following amounts for the year ended June 30, 2018 under agreements entered into by the following entities:

Entity	Tax Abatement Program	Amount of Tax Abated
City of Coralville	Urban renewal and economic development	\$ 400,169
City of North Liberty	Urban renewal and economic development	256,976
City of Iowa City	Urban renewal and economic development	127,647
City of University Heights	Urban renewal and economic development	19,906
		<u>\$ 804,698</u>

The state of Iowa reimburses the District an amount equivalent to the increment of valuation on which property tax is divided times \$5.40 per \$1,000 of taxable valuation. For the year ended June 30, 2018, this reimbursement amounted to \$372,722.

Note 18. Pending Governmental Accounting Standards Board (GASB) Statements

As of June 30, 2018, the GASB had issued several Statements not yet implemented by the District. The Statements which may impact the District are as follows:

- GASB Statement No. 84, *Fiduciary Activities*, issued February 2017, will be effective for the District beginning with its fiscal year ending June 30, 2020. The objective of Statement No. 84 is to improve guidance regarding the identification of fiduciary activities for accounting and financial reporting purposes and how those activities should be reported. This Statement establishes criteria for identifying fiduciary activities of all state and local governments. The focus of the criteria generally is on (1) whether a government is controlling the assets of the fiduciary activity and (2) the beneficiaries with whom a fiduciary relationship exists. Separate criteria are included to identify fiduciary component units and postemployment benefit arrangements that are fiduciary activities.

An activity meeting the criteria should be reported in a fiduciary fund in the basic financial statements. Governments with activities meeting the criteria should present a statement of fiduciary net position and a statement of changes in fiduciary net position. An exception to that requirement is provided for a business-type activity that normally expects to hold custodial assets for three months or less. This Statement describes four fiduciary funds that should be reported, if applicable: (1) pension (and other employee benefit) trust funds, (2) investment trust funds, (3) private-purpose trust funds, and (4) custodial funds. Custodial funds generally should report fiduciary activities that are not held in a trust or equivalent arrangement that meets specific criteria.

A fiduciary component unit, when reported in the fiduciary fund financial statements of a primary government, should combine its information with its component units that are fiduciary component units and aggregate that combined information with the primary government's fiduciary funds.

Iowa City Community School District

Notes to Basic Financial Statements

Note 18. Pending Governmental Accounting Standards Board (GASB) Statements (Continued)

This Statement also provides for recognition of a liability to the beneficiaries in a fiduciary fund when an event has occurred that compels the government to disburse fiduciary resources. Events that compel a government to disburse fiduciary resources occur when a demand for the resources has been made or when no further action, approval or condition is required to be taken or met by the beneficiary to release the assets

- GASB Statement No. 87, *Leases*, issued June 2017, will be effective for the District beginning with its fiscal year ending June 30, 2021, with earlier adoption encouraged. Statement No. 87 establishes a single approach to accounting for and reporting leases by state and local governments. Under this statement, a government entity that is a lessee must recognize (1) a lease liability and (2) an intangible asset representing the lessee's right to use the leased asset. In addition, the District must report the (1) amortization expense for using the lease asset over the shorter of the term of the lease or the useful life of the underlying asset, (2) interest expense on the lease liability and (3) note disclosures about the lease. The Statement provides exceptions from the single-approach for short-term leases, financial purchases, leases of assets that are investments and certain regulated leases. This statement also addresses accounting for lease terminations and modifications, sale-leaseback transactions, non-lease components embedded in lease contracts (such as service agreements), and leases with related parties.
- GASB Statement No. 88, *Certain Disclosures Related to Debt, Including Direct Borrowings and Direct Placement*, issued March 2018, will be effective for the District beginning with its fiscal year ending June 30, 2019. Statement No. 88 clarifies which liabilities governments should include in their note disclosures related to debt. This Statement defines debt that must be disclosed in the notes to financial statements as a liability that arises from a contractual obligation to pay cash in one or more payments to settle an amount that is fixed at the date the contractual obligation is established. Governments must also disclose amounts of unused lines of credit, assets pledged as collateral for debt and the terms specified in debt agreements related to significant events of default with finance-related consequences, termination events with finance-related consequences, and subjective acceleration clauses. Within the notes, governments should separate information regarding direct borrowings and direct placements of debt from other debt.

The District's management has not yet determined the effect these Statements will have on the District's financial statements. However, the District plans to implement the standards by the effective date.

Iowa City Community School District

**Required Supplementary Information
Schedule of the District's Proportionate Share of the Net Pension Liability
Iowa Public Employees' Retirement System**

	June 30,			
	2018	2017	2016	2015
Measurement date	June 30, 2017	June 30, 2016	June 30, 2015	June 30, 2014
District's proportion of the net pension liability	1.3711820%	1.3309690%	1.3168825%	1.3572122%
District's proportionate share of the net pension liability	\$ 90,521,204	\$ 83,762,076	\$ 65,060,367	\$ 53,825,764
District's covered-employee payroll	101,421,937	95,494,737	90,210,145	88,810,145
District's proportionate share of the net pension liability as a percentage of its covered payroll	89.25%	87.71%	72.12%	60.61%
Plan fiduciary net position as a percentage of the total pension liability	82.21%	81.82%	85.19%	87.61%

Note: GASB Statement No. 68 requires ten years of information to be presented in this table. However, until a full 10-year trend is compiled, the District will present for those years which information is available.

Iowa City Community School District

**Required Supplementary Information
Schedule of District Contributions
Iowa Public Employees' Retirement System**

Fiscal year ended June 30,	Statutorily required contribution	Contributions in relation to the statutorily required contribution	Contributions deficiency (excess)	District's covered-employee payroll	Contributions as a percentage of covered employee payroll
2018	\$ 9,734,619	\$ 9,734,619	\$ -	\$ 109,010,291	8.93%
2017	9,056,979	9,056,979	-	101,421,937	8.93
2016	8,527,680	8,527,680	-	95,494,737	8.93
2015	8,055,766	8,055,766	-	90,210,145	8.93
2014	7,930,746	7,930,746	-	88,810,145	8.93
2013	7,093,021	7,093,021	-	N/A	N/A
2012	6,149,781	6,149,781	-	N/A	N/A
2011	5,160,450	5,160,450	-	N/A	N/A
2010	4,877,682	4,877,682	-	N/A	N/A
2009	4,558,004	4,558,004	-	N/A	N/A

N/A - Information was not available.

Iowa City Community School District

Notes to Required Supplementary Information—Pension Liability

Note 1. Changes of Benefit Terms

Changes of benefit terms: Legislation passed in 2010 modified benefit terms for current Regular members. The definition of final average salary changed from the highest three to the highest five years of covered wages. The vesting requirement changed from four years of service to seven years. The early retirement reduction increased from 3 percent per year measured from the member's first unreduced retirement age to a 6 percent reduction for each year of retirement before age 65.

Changes of assumptions: The 2017 valuation implemented the following refinements as a result of an experience study dated March 24, 2017:

- Decreased the inflation assumption from 3.00 percent to 2.60 percent.
- Decreased the assumed rate of interest on member accounts from 3.75 percent to 3.50 percent per year.
- Decreased the discount rate from 7.50 percent to 7.00 percent.
- Decreased the wage growth assumption from 4.00 percent to 3.25 percent.
- Decreased the payroll growth assumption from 4.00 percent to 3.25 percent.

Iowa City Community School District

Required Supplementary Information

Schedule of Changes in the District's Total OPEB Liability and Related Ratios
Last 10 Fiscal Years

	2018
Total OPEB liability	
Service cost	\$ 1,066,666
Interest	352,150
Changes of assumptions or other inputs	(245,309)
Benefit payments	<u>(272,000)</u>
Net change in total OPEB liability	901,507
Total OPEB liability—beginning	<u>8,168,812</u>
Total OPEB liability—ending	<u><u>\$ 9,070,319</u></u>
Covered-employee payroll	\$ 106,063,467
Total OPEB liability as a percentage of covered-employee payroll	9%

Changes of benefit terms: There were no significant changes in benefit terms.

Changes of assumptions: Changes of assumptions and other inputs reflect the effects of changes in the discount rate each period. The following are the discount rates used in each period:

2017	3.58%
2018	3.87

Note: This schedule is presented to illustrate the requirement to show information for 10 years. However, until a full 10-year trend is compiled, governments should present information for those years for which information is available.

Iowa City Community School District

Required Supplementary Information
Budgetary Comparison Schedule
All Governmental Funds and Enterprise Fund
Year Ended June 30, 2018

	Governmental Fund Types Actual	Enterprise Fund Type Actual	Total Actual
Revenues:			
Local sources	\$ 96,734,351	\$ 2,676,502	\$ 99,410,853
State sources	95,391,484	50,179	95,441,663
Federal sources	7,321,701	3,862,104	11,183,805
Total revenues	199,447,536	6,588,785	206,036,321
Expenditures:			
Instruction	116,166,464	-	116,166,464
Support services	58,386,385	-	58,386,385
Noninstructional programs	729,280	6,615,293	7,344,573
Other expenditures	68,149,610	-	68,149,610
Total expenditures	243,431,739	6,615,293	250,047,032
Excess of revenues over (under) expenditures/expenses	(43,984,203)	(26,508)	(44,010,711)
Other financing sources, net	93,002,489	-	93,002,489
Net change in fund balances/net position	49,018,286	(26,508)	48,991,778
Fund balances/net position, beginning of year	36,814,339	1,067,841	37,882,180
Fund balances/net position, end of year	\$ 85,832,625	\$ 1,041,333	\$ 86,873,958

See note to required supplementary information.

Budgeted Amounts		Final to Actual Variance- Over (Under)	
Original	Final		
\$ 97,443,743	\$ 97,443,743	\$	1,967,110
96,711,678	96,711,678		(1,270,015)
9,749,000	9,749,000		1,434,805
203,904,421	203,904,421		2,131,900
112,581,255	119,132,875		(2,966,411)
49,290,195	53,573,290		4,813,095
6,781,840	8,412,997		(1,068,424)
80,495,967	91,319,120		(23,169,510)
249,149,257	272,438,282		(22,391,250)
(45,244,836)	(68,533,861)		24,523,150
21,100,000	21,100,000		71,902,489
\$ (24,144,836)	\$ (47,433,861)	\$	96,425,639

Iowa City Community School District

Note to Required Supplementary Information—Budgetary Reporting

The Board of Education annually adopts and certifies a budget by program which includes all funds except for internal service funds, agency funds and private-purpose trust funds on the GAAP basis following required public notice and hearing in accordance with the Code of Iowa. The budget may be amended during the year utilizing similar statutorily prescribed procedures. Formal and legal budgetary control for the certified budget is based upon four major classes of expenditures known as functional areas, not by fund. These four functional areas are instruction, support services, noninstructional programs and other expenditures. The legal level of control is at the aggregated functional level, not at the fund or fund type level. The Code of Iowa also provides that District expenditures in the General Fund may not exceed the amount authorized by the school finance formula (spending authority).

During the year ended June 30, 2018, the District adopted one budget amendment which increased the budgeted expenditures by \$23,289,025.

Actual expenditures for support services exceed final budget by \$4,813,095.

Iowa City Community School District

Combining Balance Sheet
Nonmajor Governmental Funds
June 30, 2018

	Special Revenue		Total Nonmajor Governmental Funds
	Management	Student Activity	
Assets			
Cash, cash equivalents, and investments	\$ 3,307,206	\$ 734,509	\$ 4,041,715
Receivables:			
Property tax:			
Current year	17,918	-	17,918
Succeeding year	4,699,970	-	4,699,970
Due to other funds	700	-	700
Total assets	\$ 8,025,794	\$ 734,509	\$ 8,760,303
Liabilities, Deferred Inflows of Resources and Fund Balances			
Liabilities:			
Accounts payable	\$ 37,905	\$ 266,321	\$ 304,226
Due to other funds	-	31,783	31,783
Total liabilities	37,905	298,104	336,009
Deferred inflows of resources, unavailable revenue—property tax	4,699,970	-	4,699,970
Fund balances, restricted	3,287,919	436,405	3,724,324
Total liabilities, deferred inflows of resources and fund balances	\$ 8,025,794	\$ 734,509	\$ 8,760,303

Iowa City Community School District

Combining Statement of Revenues, Expenditures and Changes in
Fund Balances

Nonmajor Governmental Funds

Year Ended June 30, 2018

	Special Revenue		Total Nonmajor Governmental Funds
	Management	Student Activity	
Revenues:			
Local sources:			
Local tax	\$ 4,512,034	\$ -	\$ 4,512,034
State sources	117,707	-	117,707
Other	8,289	3,050,756	3,059,045
Total revenues	4,638,030	3,050,756	7,688,786
Expenditures:			
Current:			
Instruction:			
Regular	1,428,917	-	1,428,917
Other instruction	-	3,167,400	3,167,400
Support services:			
Administration services	895,799	-	895,799
Operations and maintenance	1,165,615	2,409	1,168,024
Transportation services	-	446,268	446,268
Total expenditures	3,490,331	3,616,077	7,106,408
Excess (deficiency) of revenues over expenditures	1,147,699	(565,321)	582,378
Other financing sources, transfers in	-	200,000	200,000
Net change in fund balances	1,147,699	(365,321)	782,378
Fund balances, beginning of year	2,140,220	801,726	2,941,946
Fund balances, end of year	\$ 3,287,919	\$ 436,405	\$ 3,724,324

Iowa City Community School District

**Statement of Changes in Fiduciary
Assets and Liabilities—Agency Funds
Year Ended June 30, 2018**

	Balance June 30, 2017	Additions	Deductions	Balance June 30, 2018
Flexible Benefits Account				
Assets,				
cash and cash equivalents	\$ 323,102	\$ 1,236,441	\$ 1,190,389	\$ 369,154
Liabilities,				
due to private individuals	\$ 323,102	\$ 1,236,441	\$ 1,190,389	\$ 369,154
School Children's Aid				
Assets,				
cash and cash equivalents	\$ 5,302	\$ 21,067	\$ 18,345	\$ 8,024
Liabilities,				
due to private individuals	\$ 5,302	\$ 21,067	\$ 18,345	\$ 8,024
Opportunity Funds				
Assets,				
cash and cash equivalents	\$ 2,188	\$ -	\$ -	\$ 2,188
Liabilities,				
due to private individuals	\$ 2,188	\$ -	\$ -	\$ 2,188
School Based Health Clinics				
Assets,				
cash and cash equivalents	\$ 10,926	\$ 174,989	\$ 133,098	\$ 52,817
Liabilities,				
due to private individuals	\$ 10,926	\$ 174,989	\$ 133,098	\$ 52,817
Total Agency Funds				
Assets,				
cash and cash equivalents	\$ 341,518	\$ 1,432,497	\$ 1,341,832	\$ 432,183
Liabilities,				
due to private individuals	\$ 341,518	\$ 1,432,497	\$ 1,341,832	\$ 432,183

Iowa City Community School District

Statistical Section

Contents

The statistical section of the District's comprehensive annual financial report presents detailed information as a context for understanding what the information presented in the financial statements, note disclosures and required supplementary information say about the District's overall financial health.

Contents	Page
Financial Trends	
These schedules contain trend information to help the reader understand how the District's financial performance and well being have changed over time.	71–85
Revenue Capacity	
These schedules contain information to help the reader assess the District's most significant local revenue sources, the property tax (or sales tax).	86–89
Debt Capacity	
These schedules present information to help the reader assess the affordability of the District's current level of outstanding debt and the District's ability to issue additional debt in the future.	90–93
Demographic and Economic Information	
These schedules offer demographic and economic indicators to help the reader understand the environment within which the District's financial activities take place.	94–95
Operating Information	
These schedules contain service and infrastructure data to help the reader understand how the information in the District's financial report relates to the services the District provides and the activities it performs.	96–105

Sources: Unless otherwise noted, the information in these schedules is derived from the comprehensive annual report for the relevant year.

Iowa City Community School District

Net Position by Component Last Ten Fiscal Years (accrual basis of accounting) (Unaudited)

	Fiscal Year			
	2009	2010	2011	2012
Governmental activities:				
Net investment in capital assets	\$ 80,393,020	\$ 93,159,408	\$ 103,461,937	\$ 118,552,457
Restricted	5,416,705	6,784,465	34,107,364	38,265,060
Unrestricted	32,018,847	33,609,893	20,434,179	26,988,542
Total governmental activities net position	\$ 117,828,572	\$ 133,553,766	\$ 158,003,480	\$ 183,806,059
Business-type activities:				
Net investment in capital assets	\$ 490,509	\$ 498,303	\$ 434,533	\$ 372,306
Unassigned	2,560,254	2,752,849	3,102,508	3,340,591
Total business-type activities net position	\$ 3,050,763	\$ 3,251,152	\$ 3,537,041	\$ 3,712,897
Primary government:				
Net investment in capital assets	\$ 80,883,529	\$ 93,657,711	\$ 103,896,470	\$ 118,924,763
Restricted	5,416,705	6,784,465	34,107,364	38,265,060
Unrestricted	34,579,101	36,362,742	23,536,687	30,329,133
Total primary government net position	\$ 120,879,335	\$ 136,804,918	\$ 161,540,521	\$ 187,518,956

(1) Unrestricted net position declined significantly in fiscal year 2015 for both governmental and business-type activities due to the impact of GASB 68 compliance and a resulting impact of a new net pension liability of \$53,825,764 shared between governmental and business-type activities at \$52,732,793 and business-type activities at \$1,092,971.

(2) Unrestricted net position in fiscal year 2018 declined significantly for governmental activities due to the impact of GASB 75 compliance and a resulting impact of a new other postemployment benefit liability of \$9,070,319. Unrestricted net position also declined due to purchases of capital assets and issuance of debt in accordance with the District's master Plan.

Fiscal Year					
2013	2014	2015	2016	2017	2018
\$ 127,010,427	\$ 144,275,207	\$ 176,170,719	\$ 203,709,702	\$ 216,162,177	\$ 232,565,407
38,547,315	34,835,478	18,444,336	36,650,711	14,880,016	3,457,317
28,366,297	21,012,594	(33,554,068)	(60,864,399)	(32,992,743)	(40,392,948)
\$ 193,924,039	\$ 200,123,279	\$ 161,060,987	\$ 179,496,014	\$ 198,049,450	\$ 195,629,776
\$ 577,047	\$ 528,075	\$ 518,311	\$ 528,403	\$ 513,229	\$ 543,571
3,227,351	2,983,964	1,418,780	1,081,678	1,417,772	1,494,227
\$ 3,804,398	\$ 3,512,039	\$ 1,937,091	\$ 1,610,081	\$ 1,931,001	\$ 2,037,798
\$ 127,587,474	\$ 144,803,282	\$ 176,689,030	\$ 204,238,105	\$ 216,675,406	\$ 233,108,978
38,547,315	34,835,478	18,444,336	36,650,711	14,880,016	3,457,317
31,593,648	23,996,558	(32,135,288)	(59,782,721)	(31,574,971)	(38,898,721)
\$ 197,728,437	\$ 203,635,318	\$ 162,998,078	\$ 181,106,095	\$ 199,980,451	\$ 197,667,574

Iowa City Community School District

Expenses, Program Revenues and Net (Expense) Revenue Last Ten Fiscal Years (accrual basis of accounting) (Unaudited)

	Fiscal Year		
	2009	2010	2011
Expenses:			
Governmental activities:			
Instruction	\$ 80,135,420	\$ 85,736,202	\$ 88,288,063
Support services:			
Student services	3,410,990	4,189,268	3,833,693
Instructional services	6,277,063	5,950,476	6,017,524
Administration services	9,177,313	9,894,942	9,113,670
Operation and maintenance of plant	11,020,902	12,031,969	12,285,578
Pupil transportation services	5,670,355	4,440,490	4,791,918
Other, primarily AEA flowthrough	4,986,103	4,798,409	4,973,519
Noninstructional programs	44,222	47,444	6,026
Interest on long-term debt	1,028,590	958,922	882,375
Total governmental activities expenses	121,750,958	128,048,122	130,192,366
Business-type activities, nutrition	4,044,118	4,177,028	4,158,824
Total primary government expenses	\$ 125,795,076	\$ 132,225,150	\$ 134,351,190
Program revenues:			
Governmental activities:			
Charges for services:			
Instruction	\$ 3,875,751	\$ 3,494,113	\$ 3,703,065
Support services	113,293	102,924	122,442
Operating grants and contributions	17,401,300	25,053,119	23,180,191
Capital grants and contributions	-	-	-
Total governmental activities program revenues	21,717,231	28,650,156	27,005,698
Business-type activities:			
Charges for services, nutrition	2,321,754	2,262,408	2,175,411
Operating grants and contributions	1,906,739	2,106,387	2,262,074
Capital grants and contributions	-	-	-
Total business-type program revenues	4,228,493	4,368,795	4,437,485
Total primary government program revenues	\$ 25,945,724	\$ 33,018,951	\$ 31,443,183
Net (expense) revenue:			
Governmental activities	\$ (100,033,727)	\$ (99,397,966)	\$ (103,186,668)
Business-type activities	184,375	191,767	278,661
Total primary government net expense	\$ (99,849,352)	\$ (99,206,199)	\$ (102,908,007)

Fiscal Year						
2012	2013	2014	2015	2016	2017	2018
\$ 91,391,355	\$ 100,951,730	\$ 104,733,457	\$ 100,335,876	\$ 107,177,328	\$ 113,110,337	\$ 127,747,232
4,612,635	4,942,088	4,686,664	4,499,186	4,835,646	4,557,940	5,933,064
6,708,676	6,962,932	7,427,014	6,446,914	9,576,097	10,152,792	11,199,206
10,421,294	11,401,516	12,506,153	12,221,714	13,741,415	15,461,765	17,946,142
13,348,760	14,845,156	15,423,524	14,800,540	15,242,048	16,342,729	18,877,434
5,489,138	5,396,481	5,726,049	5,565,497	4,593,145	4,602,541	5,000,963
4,616,969	4,889,195	5,224,132	5,585,294	5,689,143	5,941,833	6,197,252
93,018	466,024	563,138	605,079	368,506	677,754	745,049
857,422	390,685	200,128	229,081	1,925,504	2,139,432	3,831,530
137,539,267	150,245,807	156,490,259	150,289,181	163,148,832	172,987,123	197,477,872
4,432,821	4,821,834	5,491,953	5,822,005	6,189,701	6,036,498	6,481,988
\$ 141,972,088	\$ 155,067,641	\$ 161,982,212	\$ 156,111,186	\$ 169,338,533	\$ 179,023,621	\$ 203,959,860
\$ 3,213,735	\$ 1,891,858	\$ 2,071,749	\$ 1,360,834	\$ 1,013,403	\$ 1,658,135	\$ 1,820,632
107,478	176,884	205,142	210,215	250,620	306,451	337,003
21,043,495	20,880,498	20,109,977	24,461,796	28,901,876	25,806,402	26,877,570
-	1,889,776	207,457	939,553	641,945	191,741	904,490
24,364,708	24,839,016	22,594,325	26,972,398	30,807,844	27,962,729	29,939,695
2,244,238	2,245,333	2,260,342	2,320,574	2,357,084	2,626,442	2,659,506
2,358,944	2,662,433	2,929,125	3,212,336	3,498,804	3,722,874	3,912,283
-	-	-	-	-	-	-
4,603,182	4,907,766	5,189,467	5,532,910	5,855,888	6,349,316	6,571,789
\$ 28,967,890	\$ 29,746,782	\$ 27,783,792	\$ 32,505,308	\$ 36,663,732	\$ 34,312,045	\$ 36,511,484
\$ (113,174,559)	\$ (125,406,791)	\$ (133,895,934)	\$ (129,078,091)	\$ (132,340,988)	\$ (145,024,394)	\$ (167,538,177)
170,361	85,942	(302,486)	(289,094)	(333,813)	312,818	89,801
\$ (113,004,198)	\$ (125,320,849)	\$ (134,198,420)	\$ (129,367,185)	\$ (132,674,801)	\$ (144,711,576)	\$ (167,448,376)

Iowa City Community School District

General Revenues and Total Change in Net Position

Last Ten Fiscal Years

(accrual basis of accounting)

(Unaudited)

	Fiscal Year		
	2009	2010	2011
Net (expense) revenue:			
Governmental activities	\$ (100,033,727)	\$ (99,397,966)	\$ (103,186,668)
Business-type activities	184,375	191,767	278,661
Total primary government net expense	(99,849,352)	(99,206,199)	(102,908,007)
General revenues and other changes in net position:			
Governmental activities:			
Taxes:			
Property taxes levied for general purposes	50,280,460	52,974,155	57,971,131
Property taxes levied for capital projects	7,131,726	7,481,779	7,769,270
Property taxes levied debt service	3,573,769	3,524,683	3,382,231
Sales taxes provided for capital projects *	12,870,778	13,207,890	13,643,664
Unrestricted grants and contributions	43,398,531	33,877,697	40,987,077
Investment earnings	642,596	317,079	197,048
Gain on sale of capital assets	-	-	-
Other	3,183,260	3,739,877	3,685,961
Total governmental activities	120,754,233	115,123,160	127,636,382
Business-type activities, investment earnings	24,571	8,622	7,228
Total primary government	120,778,804	115,131,782	127,643,610
Change in net position:			
Governmental activities	20,720,506	15,725,194	24,449,714
Business-type activities	208,946	200,389	285,889
Total primary government	\$ 20,929,452	\$ 15,925,583	\$ 24,735,603

* The District began receiving sales tax revenues in July 2007 based upon a voter approved plan from February 2007.

Fiscal Year						
2012	2013	2014	2015	2016	2017	2018
\$ (113,174,559)	\$ (125,406,791)	\$ (133,895,934)	\$ (123,316,783)	\$ (132,340,988)	\$ (145,024,394)	\$ (167,538,177)
170,361	85,942	(302,486)	(289,094)	(333,813)	312,818	89,801
(113,004,198)	(125,320,849)	(134,198,420)	(123,605,877)	(132,674,801)	(144,711,576)	(167,448,376)
59,722,769	60,395,065	61,055,235	63,617,123	66,430,760	71,261,883	74,276,771
8,026,572	8,389,497	8,705,266	9,151,358	9,287,340	9,999,172	10,428,235
3,599,933	3,502,939	3,310,092	3,278,652	3,259,578	3,294,159	3,301,317
13,833,210	10,813,815	11,125,642	12,515,712	12,815,660	13,096,050	13,165,538
45,509,708	48,024,527	52,004,652	56,396,516	57,802,551	64,814,688	65,993,465
268,335	253,529	216,168	233,928	465,432	461,313	1,379,124
4,384,550	-	4,571	-	-	-	-
3,632,061	4,145,399	3,673,548	1,462,366	714,694	850,565	1,621,865
138,977,138	135,524,771	140,095,174	146,655,655	150,776,015	163,777,830	170,166,315
5,495	5,559	10,127	7,509	6,803	8,102	16,996
138,982,633	135,530,330	140,105,301	146,663,164	150,782,818	163,785,932	170,183,311
25,802,579	10,117,980	6,199,240	23,338,872	18,235,027	18,753,436	2,628,138
175,856	91,501	(292,359)	(281,585)	(327,010)	320,920	106,797
\$ 25,978,435	\$ 10,209,481	\$ 5,906,881	\$ 23,057,287	\$ 17,908,017	\$ 19,074,356	\$ 2,734,935

Iowa City Community School District

**Fund Balances, Governmental Funds
Last Ten Fiscal Years
(modified accrual basis of accounting)
(Unaudited)**

	Fiscal Year		
	2009	2010	2011
General Fund:			
Nonspendable	\$ -	\$ -	\$ 771,671
Restricted	-	-	3,516,243
Committed	-	-	-
Assigned	-	-	502,365
Unassigned	-	-	9,292,774
Reserved	1,534,839	3,539,004	-
Unreserved	5,344,723	4,396,154	-
Total General Fund	\$ 6,879,562	\$ 7,935,158	\$ 14,083,053
All other governmental funds:			
Nonspendable	\$ -	\$ -	\$ -
Restricted	-	-	30,174,302
Committed	-	-	-
Assigned	-	-	-
Unassigned	-	-	-
Reserved	178,454	186,277	-
Unreserved, reported in:	-	-	-
Special revenue funds	5,491,255	4,944,259	-
Capital projects funds	17,028,974	19,289,186	-
Total all other governmental funds	\$ 22,698,683	\$ 24,419,722	\$ 30,174,302

GASB Statement No. 54, *Fund Balance Reporting and Governmental Fund Type Definitions*, implemented in fiscal year 2011.

Fiscal Year						
2012	2013	2014	2015	2016	2017	2018
\$ 876,455	\$ 996,786	\$ 1,174,203	\$ 1,095,801	\$ 1,127,628	\$ 1,251,954	\$ 1,395,556
3,621,399	3,642,566	3,575,202	3,303,867	3,963,463	4,030,600	2,478,299
-	-	-	-	-	-	-
609,563	669,699	877,237	-	-	-	-
15,382,598	13,271,679	8,112,212	11,544,614	15,339,260	18,550,551	17,237,568
-	-	-	-	-	-	-
-	-	-	-	-	-	-
\$ 20,490,015	\$ 18,580,730	\$ 13,738,854	\$ 15,944,282	\$ 20,430,351	\$ 23,833,105	\$ 21,111,423
\$ 50,372	\$ -	\$ -	\$ 1,540	\$ 1,310	\$ 267,973	\$ 137,692
34,446,676	34,939,533	31,288,237	16,413,698	34,191,190	12,713,261	64,583,510
-	-	-	-	-	-	-
-	-	-	-	-	-	-
-	-	-	-	-	-	-
-	-	-	-	-	-	-
-	-	-	-	-	-	-
-	-	-	-	-	-	-
-	-	-	-	-	-	-
\$ 34,497,048	\$ 34,939,533	\$ 31,288,237	\$ 16,415,238	\$ 34,192,500	\$ 12,981,234	\$ 64,721,202

Iowa City Community School District

Governmental Funds Revenues

Last Ten Fiscal Years

(modified accrual basis of accounting)

(Unaudited)

	Fiscal Year		
	2009	2010	2011
Federal sources, federal grants	\$ 5,440,340	\$ 11,278,777	\$ 8,222,274
State sources, state grants and other	54,506,988	46,487,840	53,955,043
Local sources:			
Ad valorem taxes	73,835,697	76,978,507	83,201,298
Interest and other income	196,284	60,266	42,246
Other revenues	7,991,035	8,623,115	9,251,854
Total local sources	82,023,016	85,661,888	92,495,398
Total revenues	\$ 141,970,344	\$ 143,428,505	\$ 154,672,715

Fiscal Year						
2012	2013	2014	2015	2016	2017	2018
\$ 8,321,085	\$ 7,463,516	\$ 5,861,754	\$ 6,379,586	\$ 6,580,460	\$ 6,678,886	\$ 7,321,701
58,148,506	61,319,723	77,184,727	83,805,768	90,008,338	93,878,875	95,391,484
85,292,389	82,777,217	72,945,024	76,047,134	78,977,678	84,555,214	88,006,322
191,372	161,781	125,569	124,419	407,023	363,541	1,215,219
6,712,504	8,767,902	7,022,831	7,812,866	6,153,188	6,111,910	7,512,810
92,196,265	91,706,900	80,093,424	83,984,419	85,537,889	91,030,665	96,734,351
\$ 158,665,856	\$ 160,490,139	\$ 163,139,905	\$ 174,169,773	\$ 182,126,687	\$ 191,588,426	\$ 199,447,536

Iowa City Community School District

Governmental Funds Expenditures and Debt Service Ratio

Last Ten Fiscal Years

(modified accrual basis of accounting)

(Unaudited)

	Fiscal Year			
	2009	2010	2011	2012
Instruction	\$ 79,469,308	\$ 80,550,680	\$ 85,334,071	\$ 85,181,022
Pupil personnel services	3,405,973	4,082,113	3,853,422	4,609,186
Instruction and curriculum development services	6,221,272	5,796,009	6,119,871	6,585,642
School administration	9,624,966	9,817,405	9,474,078	10,180,266
Plant operation and maintenance	10,583,745	10,468,714	10,877,956	11,207,615
Pupil transportation services	5,670,355	4,440,490	4,791,918	5,489,138
AEA flowthrough	4,265,250	4,766,004	4,940,696	4,587,779
Community services	24,542	38,690	34,444	27,462
Noncapital facilities acquisition/construction	674,733	3,145,655	2,158,361	4,542,517
Capital outlay, facilities acquisition/construction	8,082,813	14,027,658	11,619,445	16,458,827
Debt service:				
Principal	2,515,000	2,530,000	2,655,000	7,405,000
Interest	1,059,153	988,452	910,978	823,708
Bond issuance costs	-	-	-	83,266
Total expenditures	\$ 131,597,110	\$ 140,651,870	\$ 142,770,240	\$ 157,181,428
Debt service as a percentage of noncapital expenditures	2.89%	2.78%	2.72%	5.85%

Fiscal Year						
2013	2014	2015	2016	2017	2018	
\$ 93,842,840	\$ 96,348,768	\$ 100,113,327	\$ 101,899,548	\$ 109,549,193	\$ 116,166,464	
4,854,053	4,464,944	4,877,624	4,763,197	4,557,202	5,263,475	
7,040,962	7,409,098	6,585,412	9,713,120	9,994,547	10,858,679	
11,052,695	11,578,554	11,955,731	12,582,260	13,890,404	15,398,662	
12,219,182	13,580,269	13,229,990	13,092,362	14,138,848	15,702,415	
5,396,481	5,726,049	5,565,497	4,593,145	4,602,541	5,000,963	
4,861,844	5,193,678	5,551,884	5,654,082	5,906,772	6,162,191	
531,573	542,712	623,877	385,765	669,560	729,280	
8,785,850	4,401,635	947,459	2,188,919	745,028	5,198,509	
9,877,428	19,092,591	42,850,527	59,615,069	57,975,011	47,648,288	
2,825,000	2,885,000	3,735,000	7,775,000	7,235,000	10,879,607	
669,031	417,400	422,161	2,325,183	2,817,832	4,423,206	
-	-	-	-	-	-	
\$ 161,956,939	\$ 171,640,698	\$ 196,458,489	\$ 224,587,650	\$ 232,081,938	\$ 243,431,739	
2.30%	2.28%	2.71%	6.12%	5.82%	7.82%	

Iowa City Community School District

Other Financing Sources and Uses and Net Change in Fund Balances

Governmental Funds

Last Ten Fiscal Years

(modified accrual basis of accounting)

(Unaudited)

	Fiscal Year		
	2009	2010	2011
Excess of revenues over (under) expenditures	\$ 10,373,234	\$ 2,776,635	\$ 11,902,475
Other financing sources (uses):			
General long-term debt issued	\$ -	\$ -	\$ -
Premium on bond issuance	-	-	-
Discount on bond issuance	-	-	-
Payment to bond escrow agent	-	-	-
Other, including sale of capital assets	-	-	-
Capital lease financing	-	-	-
Transfers in	182,000	182,000	182,000
Transfers out	(182,000)	(182,000)	(182,000)
Total other financing sources (uses)	-	-	-
Net change in fund balances	\$ 10,373,234	\$ 2,776,635	\$ 11,902,475

Fiscal Year						
2012	2013	2014	2015	2016	2017	2018
\$ 1,484,428	\$ (1,466,800)	\$ (8,500,793)	\$ (22,288,716)	\$ (42,460,963)	\$ (40,493,512)	\$ (43,984,203)
\$ 15,890,000	\$ -	\$ -	\$ 9,430,000	\$ 60,030,000	\$ 21,185,000	\$ 89,240,000
1,232,599.00	-	-	191,145	4,694,294	-	3,491,252
-	-	-	-	-	-	(73,328)
(12,376,759.00)	-	-	-	-	-	-
4,499,440.00	-	7,621	-	-	-	344,565
-	-	-	-	-	1,500,000	-
182,000	172,000	182,000	1,056,061	6,729,315	8,937,632	13,214,213
(182,000)	(172,000)	(182,000)	(1,056,061)	(6,729,315)	(8,937,632)	(13,214,213)
9,245,280	-	7,621	9,621,145	64,724,294	22,685,000	93,002,489
\$ 10,729,708	\$ (1,466,800)	\$ (8,493,172)	\$ (12,667,571)	\$ 22,263,331	\$ (17,808,512)	\$ 49,018,286

Iowa City Community School District

Assessed Value and Actual Value of Taxable Property Last Ten Fiscal Years (Unaudited)

Fiscal Year	Actual Value			Total Actual Value	Total Taxable Value	Total Direct Rate
	Residential Property	Commercial Property	Agricultural and Other Property			
2009	\$ 5,573,480,587	\$ 1,956,025,455	\$ 147,983,455	\$ 7,677,489,497	\$ 4,272,156,417	14.192%
2010*	5,712,285,320	1,959,711,962	148,264,569	7,820,261,851	4,473,488,984	14.191
2011	5,868,493,394	1,985,199,157	147,989,706	8,001,682,257	4,643,640,687	14.690
2012	6,051,524,322	1,943,695,634	154,268,256	8,149,488,212	4,806,027,801	14.590
2013	6,300,549,300	2,064,767,753	182,998,016	8,548,315,069	5,010,901,831	14.073
2014	6,560,418,660	2,080,459,785	180,298,716	8,821,177,161	5,200,640,964	13.688
2015	7,083,834,010	2,025,642,591	189,592,895	9,299,069,496	5,471,006,291	13.700
2016	7,287,199,580	2,082,744,148	187,200,825	9,557,144,553	5,600,477,037	13.868
2017	7,777,625,340	2,364,423,414	85,321,327	10,227,370,081	5,978,490,538	13.989
2018	8,017,837,490	2,443,440,521	76,091,940	10,537,369,951	6,229,388,162	13.958

Source: Johnson County Auditor.

Note: The actual values are determined as of January 1, of the fiscal year indicated. These actual values are used to calculate the taxable values for the second budget following assessment date. For example, the total actual value of \$8,149,488,212 from January 1, 2012 are used for the taxable values for fiscal year 2014.

* Utility and gas and electric valuations are not included for 2014 as they have not been certified by the Department of Revenue

Iowa City Community School District

Direct and Overlapping Property Tax Rates

Last Ten Fiscal Years

(rate per \$1,000 of assessed value)

(Unaudited)

Fiscal Year Ended June 30	District Direct Rates				Overlapping Rates			
	General	Capital	Debt Service	Total	City of		Area	Other
	Purposes	Purposes	Purposes		County	Iowa City	School	
2009	11.685	\$ 1.670	\$ 0.837	\$ 14.192	\$ 7.486	\$ 17.717	\$ 0.852	\$ 0.320
2010	11.734	1.670	0.787	14.191	7.386	17.853	0.840	0.326
2011	12.293	1.670	0.727	14.690	7.222	17.756	0.926	0.321
2012	12.171	1.670	0.749	14.590	6.990	17.842	0.999	0.333
2013	11.706	1.670	0.697	14.073	6.749	17.269	1.079	0.329
2014	11.383	1.670	0.635	13.688	6.737	16.805	1.065	0.344
2015	11.432	1.670	0.598	13.700	6.742	16.705	1.058	0.323
2016	11.612	1.670	0.586	13.868	6.903	16.651	1.061	0.328
2017	11.771	1.670	0.550	13.991	6.771	16.583	1.080	0.324
2018	11.760	1.670	0.529	13.959	6.851	16.333	1.132	0.330

Source: Johnson County Auditor and Iowa Department of Management.

Iowa City Community School District

Principal Property Taxpayers Current Year and Nine Years Ago (Unaudited)

Taxpayer	2018			2009		
	Taxable Value	Rank	Percentage of Total Taxable Value	Taxable Value	Rank	Percentage of Total Taxable Value
Coral Ridge Mall LLC	\$ 81,718,400	1	1.31%	\$ -	-	-
American College Testing Program, Inc.	51,095,220	2	0.82	37,574,707	3	0.94
Hawkeye Housing LLC	45,356,700	3	0.73	-	-	-
City of Coralville	36,382,300	4	0.58	21,441,250	5	-
808 on 5th LLC	33,137,500	5	0.53			
College Fund Properties II LLC	33,054,140	6	0.53			
Hawk Landlord LLC	29,376,100	7	0.47	-	-	-
MidwestOne Bank	28,425,120	8	0.46	-	-	-
Rise at Riverfront Crossing Owner LLC	28,415,400	9	0.46			
Vesper Iowa City LLC	27,190,500	10	0.44	-	-	-
Mid American Energy Co	-	-	-	78,431,751	1	1.96
GGP Limited Partnership	-	-	-	75,640,000	2	1.89
Raycal Iowa LTD	-	-	-	24,547,440	4	0.61
Individual	-	-	-	19,794,750	6	0.49
Individual	-	-	-	19,044,546	7	0.47
Hawkeye Real Estate Investment	-	-	-	18,313,600	8	0.46
City Center Partners	-	-	-	18,267,820	9	-
Plaza Towers LLC	-	-	-	18,136,500	10	0.45
All other taxpayers	5,835,236,782	-	-	3,680,618,466	-	-
Total	\$ 6,229,388,162			\$ 4,011,810,830		

Source: Johnson County Auditor.

Iowa City Community School District

Property Tax Levies and Collections

Last Ten Fiscal Years

(Unaudited)

Fiscal Year	Taxes Levied for the Fiscal Year	Collected Within the Fiscal Year of the Levy		Delinquent Tax Collections ¹	Total Collections to Date	
		Amount	Percentage of Levy		Amount	Percentage of Levy
2009	\$ 55,532,389	\$ 55,450,275	99.85%	\$ 23,440	\$ 55,473,715	99.89%
2010	58,801,491	58,703,329	99.83	-	58,703,329	99.83
2011	63,761,728	63,688,547	99.88	11,073	63,699,620	99.90
2012	65,691,101	65,569,688	99.82	3,721	65,573,409	99.82
2013	66,443,766	66,421,113	99.96	4,512	66,425,625	99.97
2014	65,648,860	65,594,662	99.92	-	65,594,662	99.92
2015	68,524,114	69,442,154	101.34	3,060	69,445,214	101.34
2016	71,037,013	71,874,564	101.18	-	71,874,564	101.18
2017	77,594,186	77,537,625	99.93	769	77,538,394	99.93
2018	80,680,381	80,666,569	99.98	20,410	80,686,979	100.01

Source: Johnson County Auditor and District records.

¹ Delinquent tax collection is presented by collection year, rather than levy year, because information is not available from Johnson County Treasurer by levy year.

Iowa City Community School District

Ratios of Outstanding Debt by Type Last Ten Fiscal Years (Unaudited)

Fiscal Year	General Obligation Bonds Outstanding	Percent of Actual Taxable Value of Property	Per Capita
2009	\$ 26,842,483	0.62%	\$ 257.00
2010	24,284,620	0.54	232.31
2011	21,603,863	0.46	195.50
2012	18,874,126	0.37	163.55
2013	16,048,419	0.30	137.86
2014	12,874,476	0.24	111.64
2015	9,866,080	0.18	89.69
2016	6,633,240	0.12	60.30
2017	3,370,969	0.06	29.57
2018	62,266,534	0.95	512.65

	Other Governmental Activities Debt		Total Primary Government	Percentage of Personal Income	Per Capita
	Capital Loan Notes	Sales Tax Revenue Bonds			
2009	\$ -	\$ -	\$ 26,842,483	*	\$ 257.00
2010	-	-	24,284,620	*	232.31
2011	-	-	21,603,863	*	195.50
2012	-	-	18,874,126	*	163.55
2013	-	-	16,048,419	*	137.86
2014	-	-	12,874,476	*	111.64
2015	8,630,000	-	18,496,080	*	168.14
2016	7,830,000	60,352,252	74,815,492	*	680.12
2017	7,015,000	77,642,502	88,028,471	*	772.18
2018	6,190,000	100,898,395	169,354,929	*	1,394.33

Source: District records

* Information not available

Iowa City Community School District

Direct and Overlapping Governmental Activities Debt

As of June 30, 2018

(Unaudited)

Governmental Unit	Debt Outstanding	Estimated Percentage Applicable*	Estimated Share of Direct and Overlapping Debt
City of Iowa City	51,880,000	99.999%	\$ 51,879,481
City of Coralville	248,241,440	75.908	188,435,112
City of North Liberty	29,520,000	68.337	20,173,082
City of Hills	720,000	100.000	720,000
Kirkwood Community College	90,422,000	73.814	66,744,095
Johnson County	10,640,000	73.764	7,848,490
City of University Heights	1,215,000	100.000	1,245,000
Subtotal, overlapping debt			<u>337,045,260</u>
District direct debt			<u>58,955,000</u>
Total direct and overlapping debt			<u><u>\$ 396,000,260</u></u>

Source: Johnson County Auditor

* Estimate is based upon overlapping total assessed value and assessed value within Iowa City Community School District boundaries.

Iowa City Community School District

Legal Debt Margin Information Last Ten Fiscal Years (Unaudited)

	2009	2010	2011	2012
Debt limit	\$ 363,164,677	\$ 374,506,391	\$ 383,874,475	\$ 391,013,093
Total net debt applicable to limit	26,690,000	24,160,000	21,505,000	17,990,000
Legal debt margin	<u>\$ 336,474,677</u>	<u>\$ 350,346,391</u>	<u>\$ 362,369,475</u>	<u>\$ 373,023,093</u>
Total net debt applicable to the limit as a percentage of debt limit	7.35%	6.45%	5.60%	4.60%

Source: Johnson County Auditor and District records.

Legal Debt Margin Calculation for Fiscal Year 2018

Assessed value—2016 valuation	\$ 9,758,583,755
Debt limit (5% of assessed value)	\$ 487,929,188
Debt applicable to limit	65,145,000
Legal debt margin	\$ 422,784,188

2013	2014	2015	2016	2017	2018
\$ 400,084,113	\$ 407,474,411	\$ 427,415,753	\$ 441,058,858	\$ 477,857,228	\$ 487,929,188
15,165,000	12,280,000	9,345,000	6,320,000	10,220,000	65,145,000
\$ 384,919,113	\$ 395,194,411	\$ 418,070,753	\$ 434,738,858	\$ 467,637,228	\$ 422,784,188

3.79%	3.01%	2.19%	1.43%	2.13%	13.35%
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Iowa City Community School District

Demographic and Economic Statistics

Last Ten Calendar Years

(Unaudited)

Calendar Year	Iowa City Population	Total District Population (approximate)	Personal Income (000's) (Johnson County)	Per Capita Personal Income (Johnson County)	Iowa City MSA Unemployment Rate
2008	67,062	104,000	*	*	4.50%
2009	67,062	104,000	*	*	5.10
2010	67,862	110,000	*	*	5.00
2011	67,862	110,000	*	*	4.30
2012	67,862	110,000	*	*	3.80
2013	67,862	110,000	*	*	3.10
2014	67,862	110,000	*	*	2.50
2015	67,862	110,000	*	*	3.30
2016	67,862	114,000	*	*	2.80
2017	67,862	115,000	*	*	2.00

* Information not available

Source: City of Iowa City and Regional Economic Information System, Bureau of Economic Analysis, U.S. Department of Commerce, Iowa Workforce Development (August 2017) and Johnson County Auditor.

Iowa City Community School District

Principal Employers Current Year and Nine Years Ago (Unaudited)

Employer	2018			2009		
	Employees	Rank	Percentage of Total Employment	Employees	Rank	Percentage of Total Employment
The University of Iowa	18,650	1	19.15%	17,855	1	20.55%
The University of Iowa Hospitals and Clinics	8,704	2	8.94	7,638	2	0.09
Iowa City Community School District	2,346	3	2.41	1,200	7	0.01
Mercy Hospital	1,559	4	1.60	1,262	5	1.45
American College Testing	1,350	5	1.39	1,426	4	1.64
Pearson Educational Measurement	1,200	6	1.23	1,101	8	1.27
Hy-Vee Food Stores, Inc.	1,166	7	1.20	1,500	3	1.73
City of Iowa City	1,108	8	1.14	-	-	-
Systems Unlimited	838	9	0.86	760	12	0.87
International Automotive Comp (formerly United Tech)	750	10	0.77	772	11	0.89
General Dynamics	700	11	0.72	-	-	-
Rockwell International	700	12	0.72	828	10	0.95
Integrated DNA Technologies	620	13	0.64	-	0	-
All other employers	57,709	-	-	52,558	-	-
Total	97,400		43.16%	86,900		42.03%

Source: City of Iowa City, as last updated October 2007 and Iowa Department of Economic Development (2016 data).

Iowa City Community School District

Full-Time Equivalent District Employees By Type Last Ten Fiscal Years (Unaudited)

	Full-Time Equivalent Employees as of June 30			
	2009	2010	2011	2012
Supervisory:				
Instructional administrators	2.00	1.50	1.00	1.00
Noninstructional administrators	7.50	8.00	9.00	9.60
Athletic/activity directors	2.00	2.00	2.00	2.00
Principals	24.00	23.50	24.00	23.50
Assistant principals	8.00	8.50	7.00	7.00
Total supervisory	43.50	43.50	43.00	43.10
Instruction:				
Elementary classroom teachers	356.34	349.46	349.08	349.71
Secondary classroom teachers	239.68	230.25	230.82	238.13
Other classroom teachers	207.42	214.85	219.01	204.40
Paraprofessionals	323.00	311.90	307.70	336.18
Total instruction	1,126.44	1,106.46	1,106.61	1,128.42
Student services:				
Guidance counselors	28.93	29.05	29.93	29.30
Media specialists	26.80	26.80	26.82	26.80
Other professionals (noninstructional)	20.00	27.00	29.00	33.00
Consultants/supervisory	12.30	14.33	11.98	9.14
Total student services	88.03	97.18	97.73	98.24
Support and administration:				
Clerical/secretarial	107.75	109.00	111.00	109.50
Food service workers	81.00	93.00	87.00	76.63
Physical plant	121.80	117.80	116.20	117.70
Other	16.00	16.00	14.00	16.00
Total support and administration	326.55	335.80	328.20	319.83
Total	1,584.52	1,582.94	1,575.54	1,589.59

Source: District records

Full-Time Equivalent Employees as of June 30						Percentage Change 2009 - 2018
2013	2014	2015	2016	2017	2018	
1.00	1.00	1.00	2.00	2.00	2.00	0.00%
10.60	17.20	16.50	14.50	18.00	17.00	126.67%
2.00	2.50	2.50	2.50	2.50	3.50	75.00%
23.50	23.50	23.50	24.50	26.00	27.00	12.50%
6.00	7.50	6.50	7.00	7.00	9.00	12.50%
43.10	51.70	50.00	50.50	55.50	58.50	34.48%
372.77	390.44	384.64	403.48	415.62	435.26	22.15%
260.50	267.56	255.64	265.83	261.32	281.24	17.34%
208.82	229.12	235.97	243.38	245.09	251.75	21.37%
382.95	382.12	383.96	362.71	375.10	438.05	35.62%
1,225.04	1,269.24	1,260.21	1,275.40	1,297.13	1,406.30	24.84%
31.10	33.40	29.72	27.79	27.50	31.80	9.92%
25.80	27.00	26.00	25.80	25.80	27.75	3.54%
29.00	39.00	39.00	45.00	44.00	46.25	131.25%
11.03	8.70	9.76	8.50	43.40	47.06	282.60%
96.93	108.10	104.48	107.09	140.70	152.86	73.65%
112.00	122.00	122.00	124.00	115.00	122.97	14.13%
81.38	78.63	73.00	84.33	90.25	102.29	26.28%
116.90	123.75	130.06	124.44	127.37	138.25	13.51%
11.00	15.00	18.00	20.00	18.00	24.00	50.00%
321.28	339.38	343.06	352.77	350.62	387.51	18.67%
1,686.35	1,768.42	1,757.75	1,785.76	1,843.95	2,005.17	26.55%

Iowa City Community School District

Operating Statistics Last Ten Fiscal Years (Unaudited)

Fiscal Year	Official Enrollment	Operating Expenditures	Cost Per Pupil	Percentage Change
2009	11,749	\$ 120,722,368	\$ 10,275	4.95%
2010	11,903	127,089,200	10,677	3.91
2011	12,011	129,309,991	10,766	0.83
2012	12,454	136,681,845	10,975	1.94
2013	12,774	149,855,123	11,731	6.89
2014	13,159	156,290,131	11,877	1.23
2015	13,328	150,289,181	11,276	(5.06)
2016	13,671	163,148,832	11,934	5.83
2017	13,982	170,847,691	12,219	2.89
2018	14,198	193,646,342	13,909	13.83

Source: District records

Note: Operating expenditures represents governmental activity expenditures less interest on long-term debt. Expenses represent business-type activity expenses, which includes the District's School Nutrition Fund.

Expenses	Cost Per Pupil	Percentage Change	Teaching Staff (in FTE)	Pupil-Teacher Ratio	Percentage of Students Receiving Free or Reduced-Priced Meals
\$ 4,044,118	\$ 344	5.85%	803.44	14.62	27.45%
4,177,029	351	2.03	794.56	14.98	29.05
4,158,824	346	(1.42)	798.91	15.03	29.60
4,432,821	356	2.89	792.24	15.72	29.43
4,821,834	377	5.89	842.09	15.17	33.76
5,507,940	419	11.14	887.12	14.83	35.06
5,822,005	437	4.29	876.25	15.21	33.74
6,189,701	453	3.67	912.69	14.98	35.73
6,036,498	432	(4.63)	922.03	15.16	36.93
6,481,988	456	5.55	968.25	14.66	37.40

Iowa City Community School District

School Building Information Last Ten Fiscal Years (Unaudited)

School	Fiscal Year			
	2009	2010	2011	2012
Elementary:				
Coralville Central Elementary (1948,1959)				
Square feet	52,967	52,967	52,967	52,967
Capacity	462	462	462	462
Enrollment	427	430	430	437
Samuel Kirkwood Elementary (1963,1968,1987)				
Square feet	48,045	48,045	48,045	48,045
Capacity	352	352	352	352
Enrollment	439	345	314	321
Herbert Hoover Elementary (1954, 1968, 1986)				
Square feet	36,643	36,643	36,643	36,643
Capacity	330	330	330	330
Enrollment	306	362	377	375
Hills Elementary (1965, 1969)				
Square feet	24,449	24,449	24,449	24,449
Capacity	220	220	220	220
Enrollment	137	126	98	110
Ernest Horn Elementary (1969, 1978, 2011)				
Square feet	35,303	35,303	35,303	50,603
Capacity	286	286	286	436
Enrollment	279	331	363	364
Helen Lemme Elementary (1970, 1975, 1998)				
Square feet	36,293	36,293	36,293	36,293
Capacity	308	308	308	308
Enrollment	296	332	338	344
Lincoln Elementary (1926, 1988)				
Square feet	25,832	25,832	25,832	25,832
Capacity	220	220	220	220
Enrollment	253	263	250	241
Longfellow Elementary (1917)				
Square feet	30,148	30,148	30,148	30,148
Capacity	308	308	308	308
Enrollment	305	311	318	349
Robert Lucas Elementary (1962, 1978, 1990)				
Square feet	42,080	42,080	42,080	42,080
Capacity	418	418	418	418
Enrollment	424	416	411	441
Horace Mann Elementary (1917)				
Square feet	29,360	29,360	29,360	29,360
Capacity	286	286	286	286
Enrollment	244	259	250	245
Penn Elementary (1961, 1985, 1995)				
Square feet	38,838	38,838	38,838	38,838
Capacity	418	418	418	418
Enrollment	461	511	464	502

(Continued)

Fiscal Year					
2013	2014	2015	2016	2017	2018
52,967	52,967	52,967	52,967	52,967	52,967
506	506	506	506	506	506
445	426	40	422	439	431
48,045	48,045	48,045	48,045	48,045	48,045
437	437	437	437	437	437
319	378	363	314	343	324
36,643	36,643	36,643	36,643	36,643	36,643
437	437	437	437	437	437
372	325	311	272	261	256
24,449	24,449	24,449	24,449	24,449	24,449
276	276	276	276	276	276
112	100	111	184	199	198
50,603	50,603	50,603	50,603	50,603	50,603
506	506	506	506	506	506
461	464	493	500	480	413
36,293	36,293	36,293	36,293	36,293	36,293
368	368	368	368	368	368
372	399	407	395	377	376
25,832	25,832	25,832	25,832	25,832	25,832
253	253	253	253	253	253
246	239	237	239	227	228
30,148	30,148	30,148	30,148	30,148	30,148
391	391	391	391	391	391
334	322	329	338	336	304
42,080	42,080	42,080	42,080	42,080	42,080
506	506	506	506	506	506
436	424	405	442	442	455
29,360	29,360	29,360	29,360	29,360	29,360
345	345	345	345	345	345
260	245	223	222	242	223
38,838	38,838	38,838	38,838	38,838	38,838
460	460	460	460	460	460
516	524	530	552	576	636

Iowa City Community School District

School Building Information (Continued) Last Ten Fiscal Years (Unaudited)

School	Fiscal Year			
	2009	2010	2011	2012
Elementary:				
Theodore Roosevelt Elementary (1931, 1961) *				
Square feet	29,008	29,008	29,008	29,008
Capacity	264	264	264	264
Enrollment	365	309	299	283
Bouhmil Shimek Elementary (1970, 1991)				
Square feet	28,130	28,130	28,130	28,130
Capacity	242	242	242	242
Enrollment	191	201	202	208
Mark Twain Elementary (1954, 1961)				
Square feet	40,204	40,204	40,204	40,204
Capacity	330	330	330	330
Enrollment	234	229	203	226
Irving Weber Elementary (1993, 2001)				
Square feet	48,400	48,400	48,400	48,400
Capacity	484	484	484	484
Enrollment	540	544	553	568
Grant Wood Elementary (1969, 1993, 2006)				
Square feet	59,890	59,890	59,890	59,890
Capacity	484	484	484	484
Enrollment	510	492	474	523
Kate Wickham Elementary (1997)				
Square feet	56,049	56,049	56,049	56,049
Capacity	418	418	418	418
Enrollment	493	492	489	477
James Van Allen Elementary (2005)				
Square feet	61,081	61,081	61,081	61,081
Capacity	484	484	484	484
Enrollment	599	661	425	446
Buford Garner Elementary (2010)				
Square feet	-	-	63,715	63,815
Capacity	-	-	500	500
Enrollment	-	-	388	429
Norman Borlaug Elementary (2012)				
Square feet	-	-	-	-
Capacity	-	-	-	-
Enrollment	-	-	-	-
Alexander Elementary (2015)				
Square feet	-	-	-	-
Capacity	-	-	-	-
Enrollment	-	-	-	-
Junior High:				
Northwest Junior High School (1971, 1995)				
Square feet	124,436	124,436	124,436	124,436
Capacity	875	875	875	875
Enrollment	622	615	638	641

* During fiscal year 2013, the District changed the name of this school to Theodore Roosevelt Education Center and are serving students for various programs in this building.

(Continued)

Fiscal Year					
2013	2014	2015	2016	2017	2018
29,008	29,008	29,008	29,008	29,008	29,008
264	264	264	264	264	264
40	40	40	40	40	50
28,130	28,130	28,130	28,130	28,130	28,130
276	276	276	276	276	276
228	215	210	212	215	212
40,204	40,204	40,204	40,204	40,204	40,204
460	460	460	460	460	460
299	323	378	262	311	336
48,400	48,400	48,400	48,400	48,400	48,400
506	506	506	506	506	506
477	492	490	422	425	467
59,890	59,890	59,890	59,890	59,890	59,890
575	575	575	575	575	575
569	525	511	360	305	306
56,049	56,049	56,049	56,049	56,049	56,049
506	506	506	506	506	506
481	482	503	529	513	483
61,081	61,081	61,081	61,081	61,081	61,081
552	552	552	552	552	552
499	500	507	524	501	501
63,815	63,815	63,815	63,815	63,815	63,815
529	529	529	529	529	529
504	539	581	609	619	658
67,029.00	67,029	67,029	67,029	67,029	67,029
552.00	552	552	552	552	552
352.00	382	403	431	431	457
-	-	-	67,714.00	67,714	67,714
-	-	-	500.00	500	500
-	-	-	348.00	407	418
124,436	124,436	124,436	124,436	124,436	124,436
875	875	875	875	875	875
650	679	641	628	652	728

Iowa City Community School District

School Building Information (Continued) Last Ten Fiscal Years (Unaudited)

School	Fiscal Year			
	2009	2010	2011	2012
Junior High (continued):				
South East Junior High School (1959, 1982, 1995)				
Square feet	138,806	138,806	138,806	138,806
Capacity	775	775	775	775
Enrollment	705	688	674	733
North Central Junior High School (2006)				
Square feet	82,612	82,612	82,612	82,612
Capacity	450	450	450	450
Enrollment	359	398	400	414
High School:				
City High School (1939, 1974, 1982, 1985, 1990, 1995, 2005, 2013)				
Square feet	267,752	267,752	267,752	267,752
Capacity	1,600	1,600	1,600	1,600
Enrollment	1,383	1,371	1,409	1,410
West High School (1969, 1983, 1986, 1993, 1996, 2005)				
Square feet	339,217	339,217	339,217	339,217
Capacity	1,800	1,800	1,800	1,800
Enrollment	1,754	1,770	1,863	1,910
Elizabeth Tate High School (2005)				
Square feet	19,700	19,700	19,700	19,700
Capacity	160	160	160	160
Enrollment	110	120	118	162
Liberty High School (2017)				
Square feet	-	-	-	-
Capacity	-	-	-	-
Enrollment	-	-	-	-
Portable Classrooms (Various)				
Square feet	33,296	33,296	33,296	33,296
Capacity				
Number	37	37	37	37
Other:				
Central Administration Building (1917)				
Square feet	24,588	24,588	24,588	-
Educational Services Center (2011)				
Square feet	-	-	-	41,776
Physical Plant Building (1984)				
Square feet	19,638	19,638	19,638	19,638
Athletics:				
Football fields	5	5	5	5
Soccer fields	1	1	1	2
Running tracks	2	2	2	2
Baseball/softball fields	4	4	4	4
Tennis Courts	2	2	2	2
Playgrounds	18	18	19	19

Source: District records

Fiscal Year					
2013	2014	2015	2016	2017	2018
138,806	138,806	138,806	138,806	138,806	138,806
775	775	775	775	775	775
761	771	800	801	826	747
82,612	82,612	82,612	82,612	82,612	82,612
450	450	450	450	450	450
469	467	478	504	551	547
267,752	287,047	287,047	287,047	287,047	287,047
1,600	1,600	1,600	1,600	1,600	1,600
1,414	1,494	1,599	1,668	1,717	1,537
339,217	339,217	339,217	339,217	339,217	339,217
1,800	1,800	1,800	1,800	1,800	1,800
1,956	1,941	1,985	2,001	2,092	1,548
19,700	19,700	19,700	19,700	19,700	19,700
160	160	160	160	160	160
149	135	151	158	154	163
-	-	-	-	-	270,000
-	-	-	-	-	1,000
-	-	-	-	-	723
36,000	35,100	35,100	35,100	35,100	35,100
40	39	39	40	40	40
-	-	-	-	-	-
41,776	41,776	41,776	41,776	41,776	41,776
19,638	19,638	19,638	19,638	19,638	19,638
5	5	5	5	5	5
2	2	2	2	2	2
2	2	2	2	2	2
4	4	3	3	3	3
2	2	2	2	2	2
19	19	19	20	20	21

Iowa City Community School District

Schedule of Expenditures of Federal Awards Year Ended June 30, 2018

Federal Grantor/Pass-Through Grantor/Program Title	Federal CFDA Number	Pass-Through Entity Identifying Number	Pass Through To Subrecipients	Federal Expenditures
U.S. Department of Agriculture:				
Passed through the State Department of Agriculture and State of Iowa Department of Education: Child Nutrition Cluster:				
USDA Commodities (Noncash)	10.555	77-1737	\$ -	\$ 442,951
National School Lunch Program	10.555	77-1737	-	2,586,213
National School Summer Program	10.559	77-1737	-	66,937
National School Breakfast Program	10.553	77-1737	-	666,705
National School Lunch Program—After School Snacks	10.555	77-1737	-	5,294
Subtotal Child Nutrition Cluster			-	3,768,100
Fresh Fruit & Vegetable Grant	10.582	N/A	-	99,298
Total U.S. Department of Agriculture			-	3,867,398
U.S. Department of Defense:				
Passed through Johnson County, Iowa: Flood Control Projects	12.106	N/A	-	2,403
U.S. Department of Education:				
Passed through State of Iowa Department of Education:				
Title I - Grants to Local Educational Agencies	84.010A	N/A	-	1,971,683
Title I - Grants to Local Educational Agencies	84.010A	N/A	-	298,192
Title I - Grants to Local Educational Agencies—Schools in Need of Assistance	84.010A	N/A	-	112,506
Subtotal			-	2,382,381
IDEA - High Cost Claim *	84.027	N/A	-	8,921
Vocational Education Basic Grants to States	84.048A	77-6957	-	139,336
Education for Homeless Children and Youth	84.196	N/A	-	40,000
Twenty-First Century Learning Centers	84.287A	N/A	-	596,235
Title II - Improving Teacher Quality State Grant	84.367	N/A	-	396,605
Passed through Grant Wood Area Education Agency:				
Special Education Grants to States *	84.027	N/A	-	679,727
Title III - English Language Acquisition	84.365	N/A	-	74,552
Total U.S. Department of Education			-	4,317,757
U.S. Department of Health and Human Services:				
Passed through State of Iowa Department of Health and Human Services, Child Care and Development Block Grant	93.575	N/A	-	39,214
Total expenditures of federal awards			\$ -	\$ 8,226,772

* Total Special Education Grants to States (CFDA No. 84.027): \$688,648

See notes to schedule of expenditures of federal awards.

Iowa City Community School District

Notes to Schedule of Expenditures of Federal Awards Year Ended June 30, 2018

Note 1. Basis of Presentation

The accompanying schedule of expenditures of federal awards (the Schedule) federal award activity of Iowa City Community School District (the District), under programs of the federal government for the year ended June 30, 2018. The information in this schedule is presented in accordance with the requirements of Title 2 U.S. Code of Federal Regulations Part 200, *Uniform Administrative Requirements, Cost Principles and Audit Requirements for Federal Awards* (Uniform Guidance). Because the Schedule presents only a selected portion of the operations of the District, it is not intended to and does not present the financial position, changes in net position or cash flows of the District.

Note 2. Significant Accounting Policies

Expenditures of federal awards are reported on the modified accrual basis of accounting. Such expenditures are recognized following the cost principles contained in the Uniform Guidance, wherein certain types of expenditures are not allowable or are limited as to reimbursement.

Note 3. Indirect Cost Rate

The District has elected not to use the 10 percent de minimus indirect cost rate allowed under the Uniform Guidance.

**Report on Internal Control Over Financial Reporting
and on Compliance and Other Matters Based on
an Audit of Financial Statements Performed in
Accordance With *Government Auditing Standards***

Independent Auditor's Report

To the Board of Education
Iowa City Community School District

We have audited, in accordance with the auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States, the financial statements of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of Iowa City Community School District (the District), as of and for the year ended June 30, 2018, and the related notes to the financial statements, which collectively comprise the District's basic financial statements, and have issued our report thereon dated November 9, 2018. The District's beginning net position has been restated due to the implementation of GASB Statement No. 75 to recognize an other postemployment liability and deferred inflows of resources of the governmental activities.

Internal Control over Financial Reporting

In planning and performing our audit of the financial statements, we considered the District's internal control over financial reporting (internal control) to determine the audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of the District's internal control. Accordingly, we do not express an opinion on the effectiveness of the District's internal control.

A deficiency in internal control exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, misstatements on a timely basis. A *material weakness* is a deficiency, or a combination of deficiencies, in internal control, such that there is a reasonable possibility that a material misstatement of the entity's financial statements will not be prevented, or detected and corrected on a timely basis. A *significant deficiency* is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies. Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses. However, material weaknesses may exist that have not been identified. We did identify certain deficiencies in internal control described in the accompanying schedule of findings and questioned costs as 2018-001 and 2018-002 that we consider to be significant deficiencies.

Compliance and Other Matters

As part of obtaining reasonable assurance about whether the District's financial statements are free from material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements, noncompliance with which could have a direct and material effect on the determination of financial statement amounts. However, providing an opinion on compliance with those provisions was not an objective of our audit, and accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*.

Comments involving statutory and other legal matters about the District's operations for the year ended June 30, 2018 are based exclusively on knowledge obtained from procedures performed during our audit of the basic financial statements of the District. Since our audit was based on tests and samples, not all transactions that might have an impact on the comments were necessarily audited. The comments involving statutory and other legal matters are not intended to constitute legal interpretations of those statutes.

The District's Responses to Findings

The District's responses to the findings identified in our audit are described in the accompanying schedule of findings and questioned costs. The District's responses were not subjected to the auditing procedures applied in the audit of the financial statements and, accordingly, we express no opinion on them.

Purpose of this Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the entity's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the District's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

RSM US LLP

Davenport, Iowa
November 9, 2018

**Report on Compliance for the Major Federal
Program and Report on Internal Control Over Compliance
Required by the Uniform Guidance**

Independent Auditor's Report

To the Board of Education
Iowa City Community School District

Report on Compliance for the Major Federal Program

We have audited Iowa City Community School District's (the District) compliance with the types of compliance requirements described in the *OMB Compliance Supplement* that could have a direct and material effect on the District's major federal program for the year ended June 30, 2018. The District's major federal program is identified in the summary of auditor's results section of the accompanying schedule of findings and questioned costs.

Management's Responsibility

Management is responsible for compliance with the federal statutes, regulations, and the terms and conditions of its federal awards applicable to its federal programs.

Auditor's Responsibility

Our responsibility is to express an opinion on compliance of the District's major federal program based on our audit of the types of compliance requirements referred to above. We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America; the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States; and the audit requirements of Title 2 U.S. Code of Federal Regulations Part 200, *Uniform Administrative Requirements, Cost Principles and Audit Requirements for Federal Awards* (Uniform Guidance). Those standards and Uniform Guidance require that we plan and perform the audit to obtain reasonable assurance about whether noncompliance with the types of compliance requirements referred to above that could have a direct and material effect on a major federal program occurred. An audit includes examining, on a test basis, evidence about the District's compliance with those requirements and performing such other procedures as we considered necessary in the circumstances.

We believe that our audit provides a reasonable basis for our opinion on compliance of the major federal program. However, our audit does not provide a legal determination of the District's compliance.

Opinion on the Major Federal Program

In our opinion, the District complied, in all material respects, with the types of compliance requirements referred to above that could have a direct and material effect of its major federal programs for the year ended June 30, 2018.

Report on Internal Control Over Compliance

Management of the District is responsible for establishing and maintaining effective internal control over compliance with the types of compliance requirements referred to above. In planning and performing our audit of compliance, we considered the District's internal control over compliance with the types of requirements that could have a direct and material effect on the major federal program to determine the auditing procedures that are appropriate in the circumstances for the purpose of expressing an opinion on compliance for the major federal program and to test and report on internal control over compliance in accordance with Uniform Guidance, but not for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, we do not express an opinion on the effectiveness of the District's internal control over compliance.

A deficiency in internal control over compliance exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, noncompliance with a type of compliance requirement of a federal program on a timely basis. *A material weakness in internal control over compliance* is a deficiency, or combination of deficiencies, in internal control over compliance, such that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a federal program will not be prevented, or detected and corrected, on a timely basis. *A significant deficiency in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance with a type of compliance requirement of a federal program that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance.

Our consideration of internal control over compliance was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies. We did not identify any deficiencies in internal control over compliance that we consider to be material weaknesses. However, material weaknesses may exist that have not been identified.

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the requirements of Uniform Guidance. Accordingly, this report is not suitable for any other purpose.

RSM US LLP

Davenport, Iowa
November 9, 2018

Iowa City Community School District

**Schedule of Findings and Questioned Costs
Year Ended June 30, 2018**

I. Summary of the Independent Auditor's Results

Financial Statements

Type of auditor's report issued: Unmodified

Internal control over financial reporting:

- | | | |
|---|---|--|
| ▪ Material weakness(es) identified? | ☐ Yes | ☒ No |
| ▪ Significant deficiency(ies) identified? | ☒ Yes | ☐ None Reported |
| ▪ Noncompliance material to financial statements noted? | ☐ Yes | ☒ No |

Federal Awards

Internal control over major programs:

- | | | |
|---|------------------------------|---|
| ▪ Material weakness(es) identified? | ☐ Yes | ☒ No |
| ▪ Significant deficiency(ies) identified? | ☐ Yes | ☒ None Reported |

Type of auditor's report issued on compliance for major programs: Unmodified

- | | | |
|---|------------------------------|--|
| ▪ Any audit findings disclosed that are required to be reported in accordance with
Section 2 CFR 200.516 | ☐ Yes | ☒ No |
|---|------------------------------|--|

Identification of major program:

CFDA Number	Name of Federal Program
-------------	-------------------------

10.553, 10.555, 10.559	Child Nutrition Cluster
------------------------	-------------------------

Dollar threshold used to distinguish between type A and type B programs: \$750,000

Auditee qualified as low-risk auditee?	☐ Yes	☒ No
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(Continued)

Iowa City Community School District

Schedule of Findings and Questioned Costs (Continued)
Year Ended June 30, 2018

II. Findings Relating to the Financial Statement Audit as Required to be Reported in
Accordance with Generally Accepted Government Auditing Standards

A. Internal Control

2018-001

Finding: The District does not have adequate approvals of credit card transactions for certain individuals.

Condition: During our testing of credit card transactions in the current year, we noted the following:

- A member of senior management's credit card activity is reviewed by a subordinate.
- A member of management has the ability to make purchases on a District card, but those transactions are not reviewed by another member of management.
- Airline tickets purchased by a member of senior management were upgraded to a Comfort+ seat.
- There was no documentation of approval for 1 of 40 credit card transactions tested.

Criteria: A system of internal control contemplates an adequate approval process. An adequate approval process requires that all transactions are approved by an independent member of the Board or management. The District also does not have a policy which establishes limits for travel, meals or other related expenses.

Context: Credit card transactions.

Effect: Could result in errors or fraud not being detected in a timely manner.

Cause: The District does not have adequate policies to evaluate, review and approve credit card purchases.

Recommendation: We recommend the District strengthen internal controls by having the Board or a designee of the Board review credit card transactions made by senior management and report to the Board. We also recommend the District establish a travel policy establishing clear guidelines on acceptable travel expenditures and approvals required for travel.

Management response: Management agrees with the finding.

2018-002

Finding: The District did not have an adequate process in place to identify unearned revenue in the School Nutrition Fund.

Condition: The District allows students to prepay for School Nutrition Services. Unspent balances can be carried over to the subsequent year. The District had recorded approximately \$163,000 in revenue related to School Nutrition Services which are for services to be provided in fiscal year 2019. These amounts were subsequently adjusted.

Criteria: Operating revenues should not be recognized until the underlying service has been provided.

Iowa City Community School District

Schedule of Findings and Questioned Costs (Continued) Year Ended June 30, 2018

Context: Approximately \$163,000 of prepayments which had been recognized as revenue in the School Nutrition Fund.

Effect: Not determining unearned revenue could result in material misstatements of the financial systems.

Cause: The District did not review the School Nutrition Fund to ensure all cash received was for services provided.

Recommendation: We recommend the District develop a process to ensure all unearned revenue is properly identified at year-end.

Management response: Management agrees with the finding.

B. Instances of Noncompliance

None reported.

III. Findings and Questioned Costs for Federal Awards

A. Internal Control

None reported.

B. Instances of Noncompliance

None reported.

IV. Other Findings Related to Required Statutory Reporting

18-IV-A – Certified Budget and General Fund Spending Authority

Finding: Support services for the year ended June 30, 2018 exceeded the certified budget.

Recommendation: The certified budget should have been amended in accordance with Chapter 24.9 of the Code of Iowa before expenditures are allowed to exceed the budget.

Response and corrective action plan: The District included “other support services related to AEA flowthrough” of \$6,162,191 in the other expenditure category instead of support services. The District will correct this classification in its calculations for future amendments. If this amount was correctly grouped during the budget amendment computation, the support services actual would have been \$1,349,096 less than the budget amount.

18-IV-B – Questionable Disbursements

No expenditures that may not meet the requirements of public purpose defined in the Attorney General's opinion dated April 25, 1979, were noted.

18-IV-C – Travel Expenses

No disbursements of District money for travel expenses of spouses of District officials or employees were noted. No travel advances to District officials or employees were noted.

Iowa City Community School District

Schedule of Findings and Questioned Costs (Continued) **Year Ended June 30, 2018**

18-IV-D – Business Transactions with District Officials and Employees

No business transactions between the District and District officials and/or employees were noted.

18-IV-E – Bond Coverage

Surety bond coverage of District officials and employees is in accordance with statutory provisions. The amount of coverage is reviewed annually to ensure the coverage is adequate for current operations.

18-IV-F – Board Minutes

No transactions requiring Board approval which had not been approved in the Board minutes were noted.

18-IV-G – Certified Enrollment

Finding: There were various certified enrollment variances identified by the state and the District that resulted in a decrease of 2.66 students from the October 1, 2017 certified enrollment numbers reported by the District.

Recommendation: The District should correct errors prior to providing the information to the state to avoid adjustments made by the state.

Response and corrective action plan: The District will contact the Iowa Department of Education and Iowa Department of Management notifying them of the above changes. The District will continue to monitor supporting information and reconciliation of data submitted to the Iowa Department of Education.

18-IV-H – Supplementary Weighting

No variances regarding the supplementary weighting certified to the Iowa Department of Education were noted.

18-IV-I – Deposits and Investments

No instances of noncompliance with the deposit and investment provisions of Chapter 12B and Chapter 12C of the Iowa Code and the District's investment policy were noted.

18-IV-J – Certified Annual Report

The Certified Annual Report (CAR) was filed with the Department of Education timely.

18-IV-K – Categorical Funding

No instances were noted of categorical funding being used to supplant rather than supplement other funds.

Iowa City Community School District

Schedule of Findings and Questioned Costs (Continued) Year Ended June 30, 2018

18-IV-L – State-Wide Sales, Services and Use Tax

No instances of noncompliance with the use of the state-wide sales, services and use tax revenue provisions of Chapter 423F.3 of the Code of Iowa were noted.

Pursuant to Chapter 423F.5 of the Code of Iowa, the annual audit is required to include certain reporting elements related to the state-wide sales, services and use tax revenue. For the year ended June 30, 2018, the District's financial activity and other required information for the state-wide sales, services and use tax revenue are as follows:

Beginning balance	\$ 9,282,542
State-wide sales, services and use tax	13,015,538
Interest	242,754
Contributions and rebates	868,886
Sale of revenue tax bonds, net of premium	30,285,000
Expenditures/transfers out:	
Family Resource Programs	(701,006)
School infrastructure:	
Buildings	(25,377,891)
Equipment	(5,732,310)
Transfer to physical plant and equipment levy	(1,000,000)
Transfer to debt service	(11,046,050)
Ending balance	<u>\$ 9,837,463</u>

For the year ended June 30, 2018, the District did not reduce any levies as a result of the moneys received under Chapter 423E or 423F of the Code of Iowa.

18-IV-M – Deficit Balances

None of the District's funds had deficit fund balances as of June 30, 2018.

18-IV-N – Revenue Bonds

The District has an appropriate sinking fund as required for revenue bonds outstanding as of June 30, 2018.

18-IV-O – Student Activity Fund

No instances of noncompliance with the use of student activity funds provisions of Chapter 298A.8 of the Code of Iowa and Iowa Administrative Rule 281-12.6(1).

18-IV-P – Early Childhood Iowa Area Board

The District is not the fiscal agent for the Early Childhood Iowa Area Board.

Iowa City Community School District

**Summary Schedule of Prior Audit Findings
Year Ended June 30, 2018**

Current Number	Comment	Corrective Action Plan	Anticipated Date of Completion	Contact Person
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None reported.